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**EXECUTIVE  
BOARD  
MEETING**

EBS/15/99

September 3, 2015

To: Members of the Executive Board

From: The Secretary

Subject: **Kenya—First Review Under the Twelve-Month Stand-By Arrangement and the Arrangement Under the Standby Credit Facility, Request for Waivers for Non-Observance of Performance Criterion, and Request for Modification of Performance Criteria**

|                                                                                          |                                                                                                                                                          |
|------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| Board Action:                                                                            | Executive Directors' <b>consideration</b> (Formal)                                                                                                       |
| Tentative Board Date:                                                                    | <b>Wednesday, September 16, 2015</b>                                                                                                                     |
| Proposed Decisions:                                                                      | Pages 18–22                                                                                                                                              |
| Publication:                                                                             | Yes*                                                                                                                                                     |
| Questions:                                                                               | Mr. Mecagni, AFR (ext. 38202)<br>Mr. Alper, AFR (ext. 35907)<br>Mr. Hobdari, AFR (ext. 36276)                                                            |
| Document Transmittal in the Absence of an Objection and in accordance with Board policy: | Monday, September 14, 2015—WTO<br>After Board Consideration—African Development Bank, Common Market for Eastern and Southern Africa, European Commission |

**\*The authorities have indicated that they consent to the Fund's publication of this paper.**





# KENYA

## FIRST REVIEW UNDER THE TWELVE-MONTH STAND-BY ARRANGEMENT AND THE ARRANGEMENT UNDER THE STANDBY CREDIT FACILITY, REQUEST FOR WAIVERS FOR NON-OBSERVANCE OF PERFORMANCE CRITERION, AND REQUEST FOR MODIFICATION OF PERFORMANCE CRITERIA

### EXECUTIVE SUMMARY

**Precautionary program:** The Executive Board approved on February 2, 2015 a 12-month Stand-By Arrangement (SBA) and an arrangement under the Standby Credit Facility (SCF), with combined access of SDR 488.52 million (180 percent of quota). The first tranche of SDR 379.96 million (140 percent of quota) was made available upon approval of the arrangements, and a further SDR 54.28 million (20 percent of quota) will become available upon completion of the first review. The authorities intend to continue treating both arrangements as precautionary, and to draw only if exogenous shocks lead to an actual balance of payment need.

**Program status:** All quantitative performance criteria for end-March 2015 were met, but the continuous performance criterion on external arrears was not observed due to the emergence of temporary technical arrears on external debt—since fully repaid—for which the authorities request waivers under both arrangements. These arrears reflect a coordination failure among government's entities rather than inability to pay, and the authorities have adopted corrective measures. The indicative target on net international reserves (NIR) for end-June 2015 was missed, as was the target on Central Bank of Kenya's (CBK) net domestic assets (NDA). All other end-June 2015 indicative targets were met. There were delays in implementing some structural benchmarks, which have been reset.

**Program modalities:** The adverse impact of heightened volatility in global markets and of the recent terrorist attacks warrant a modest revision of the program's macroeconomic framework and quantitative targets, notably on growth and the inflation outlook, the fiscal targets, and the international reserves floor. Given Kenya's low risk of external debt distress, and in line with the Fund's new debt limits policy, staff recommends elimination of the ceiling on non-concessional external debt for end-September 2015, while maintaining the ceiling on the primary fiscal deficit.

**Staff views:** The authorities' economic program supported by the precautionary SBA-SCF arrangements maintains a sustainable public debt position while addressing infrastructure gaps. The CBK has taken decisive actions to tighten monetary policy to keep inflation expectations in check, and has continued to strengthen financial sector oversight. On that basis, and given the corrective actions to avoid new external payment arrears, staff recommends completion of the first review and supports the authorities' request for a modification of performance criteria for end-September 2015, and for waivers for non-observance of the performance criterion on external arrears.

September 1, 2015

## KENYA

**Approved By**  
**Roger Nord (AFR) and**  
**Chris Lane (SPR)**

Discussions were held in Nairobi during May 20- June 2, 2015 and continued in subsequent weeks. The staff team comprised Messrs M. Mecagni (head), E. Alper, N. Hobdari (all AFR); D. Moore (SPR); C. Abdallah (FAD); and M. Souto (MCM). Mr. R. Morales (Resident Representative) participated in the discussions. Ms. Kapwepwe, Executive Director, participated in some policy meetings, and Ms. Rose Ngugi from the Executive Director's office joined the mission. The mission met with Cabinet Secretary to the Treasury Rotich, CBK Deputy Governor Sirima as well as other senior government officials, members of the CBK Monetary Policy Committee, and representatives of the private sector and the donor community.

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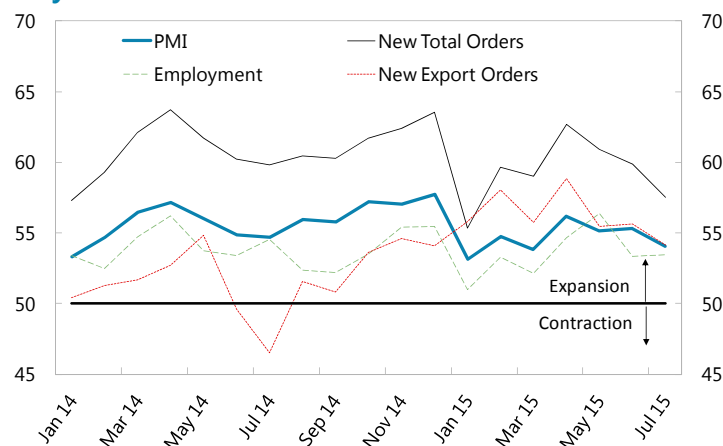
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## DEVELOPMENTS UNDER THE PROGRAM

**1. Kenya's economic growth has been robust despite headwinds from the global slowdown and ongoing domestic security problems** (Figure 1). Real GDP grew by 5.3 percent in 2014, and by 4.9 percent in 2015 Q1. Confidence indicators suggest continued growth momentum in 2015, with export orders and employment creation accelerating in recent months. This momentum is underpinned by higher private final consumption benefitting from lower oil prices, and higher public infrastructure investment—notably the construction of the standard gauge railway (SGR), and the expansion of geo-thermal electricity generation. However, the tourism sector remains weak.

**Kenya: Business Confidence Indicators**

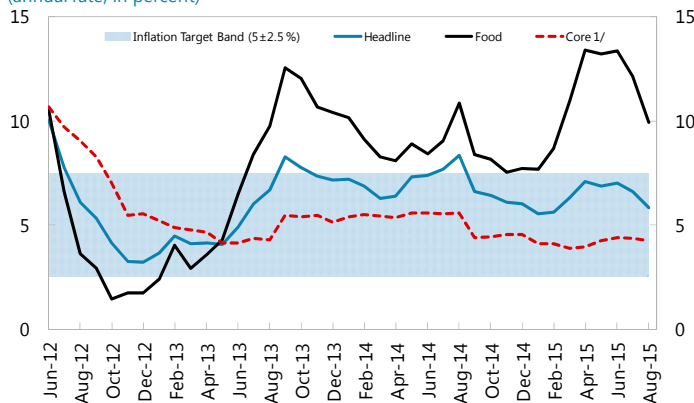


Sources: Markit Economics Limited.

**2. Inflation remains within the authorities' target band despite higher food prices and shilling depreciation** (Figure 2). Core inflation has remained below the government's 5 percent target since mid-2014. However, there has been renewed pressure in recent months on prices of domestic crops. In addition, the shilling weakened in nominal effective terms by over 10 percent between March and July 2015, with an impact on import prices. To contain the possible impact of these factors on inflationary expectations, the CBK first raised rates on longer-maturity instruments for central bank operations (from 0 to 250 basis points above the policy rate) in May 2015, followed by increases in its policy rate (CBR) in June (the first CBR change since May 2013) and again in July, for a cumulative 300 basis point increase to 11.5 percent. These steps have started to translate into higher T-Bill rates (see ¶16).

**Kenya: Recent Inflation Developments**

(annual rate, in percent)



Sources: Kenyan authorities and Fund staff estimates.

1/ Core inflation excludes, food, energy, and transportation.

**3. Preliminary data suggest that the 2014/15 program target for the primary fiscal deficit (excluding SGR) was met, despite a higher-than-envisaged overall deficit** (Table 2). The higher overall deficit reflected mainly a faster-than-projected implementation of the SGR ( $\frac{3}{4}$  percent of GDP), and a shortfall in revenue collection ( $1\frac{3}{4}$  percent of GDP). In addition, following the Garissa

terrorist attack, security-related spending increased (0.3 percent of GDP), and the government provided financial support to Kenya Airways (0.1 percent of GDP), which is under pressure from a sharp decline in tourist arrivals. To contain these pressures, the authorities froze expenditure commitments from early June. According to preliminary data, the program target for 2014/15 on the primary deficit target excluding SGR was met, while the overall deficit reached 8.2 percent of GDP, compared with 7.6 percent envisaged under the program.

**Kenya: Central Government Financial Operations for 2014/15**  
(percent of GDP)

|                                  | Program 1/ | Supplementary<br>Budget 2/ | Preliminary<br>Outturn |
|----------------------------------|------------|----------------------------|------------------------|
| Revenue and grants               | 21.1       | 21.6                       | 19.4                   |
| Tax revenue                      | 17.9       | 17.5                       | 16.8                   |
| Non-tax revenue                  | 2.7        | 3.0                        | 2.1                    |
| Grants                           | 0.5        | 1.2                        | 0.5                    |
| Expenditure and net lending      | 28.7       | 31.9                       | 27.9                   |
| Recurrent expenditure            | 19.7       | 20.5                       | 18.8                   |
| Development and net lending      | 9.0        | 11.3                       | 9.0                    |
| Overall balance                  | -7.6       | -10.2                      | -8.2                   |
| Primary balance                  | -5.1       | -7.3                       | -5.5                   |
| Primary balance excluding SGR 3/ | -3.7       | -5.1                       | -3.3                   |
| Financing                        | 7.6        | 10.2                       | 8.2                    |
| Foreign                          | 3.3        | 4.6                        | 3.8                    |
| Domestic                         | 4.3        | 5.5                        | 4.4                    |

Source: Kenyan authorities.

1/ IMF Country Report No. 15/31.

2/ Approved by parliament in June 2015.

3/ Program indicative target for end-June 2015.

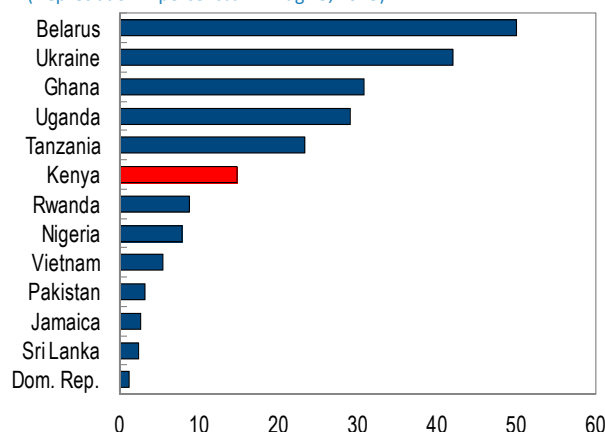
**4. The external current account deficit widened in 2014 and remains high, while capital inflows are tapering** (Figures 4-5). The current account deficit in 2014 reached 10.4 percent of GDP, reflecting higher machinery imports associated with investment projects, lower tea prices, weaker terms of trade, and a decline in tourism receipts. Net capital inflows were also large in 2014, with new portfolio inflows from debut Eurobond issuances totaling US\$2.75 billion. However, inflows have been tapering more recently amid increasing volatility in global markets, and tourism receipts have contracted further in the wake of the Garissa attack.<sup>1</sup> As a result, the Kenyan shilling has depreciated in recent months, in line with developments in the region and other frontier economies, and reflecting the strengthening of the U.S. dollar in global markets. With the recent depreciation, Kenya's real exchange rate is broadly in line with fundamentals.<sup>2</sup> Kenya's Eurobond spreads have increased, but compare favorably with those of other SSA countries.

<sup>1</sup> The preliminary external current account and international reserves' outturn for the first half of 2015 implies a downward revision of short-term capital flows estimates by about US\$750million (Table 4c).

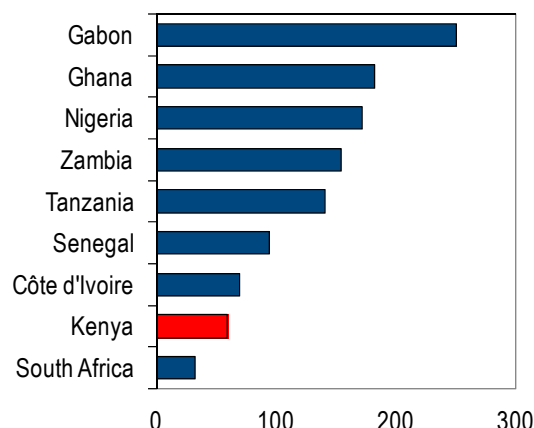
<sup>2</sup> An update of the exchange rate assessment in IMF Country Report No. 14/302 suggests that Kenya's real exchange rate was moderately overvalued in early 2015. However, the depreciation of the shilling since April 2015 has brought the real exchange rate back broadly in line with fundamentals.

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**Frontier Economies: Exchange Rate to U.S. Dollar**  
(Depreciation in percent Jan 1-Aug 25, 2015)

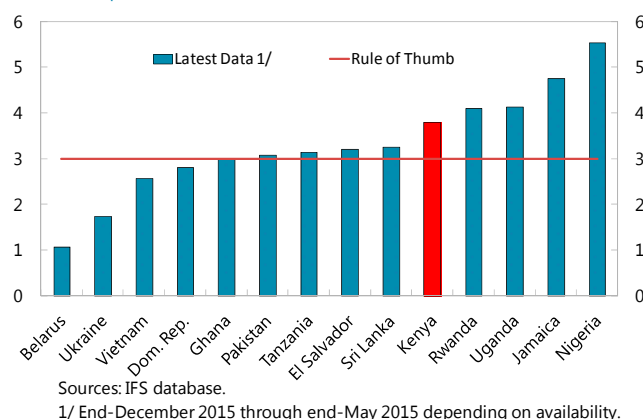


**Sub-Saharan Africa: Sovereign Spreads**  
(Basis points change Oct 1, 2014-Aug 21, 2015)

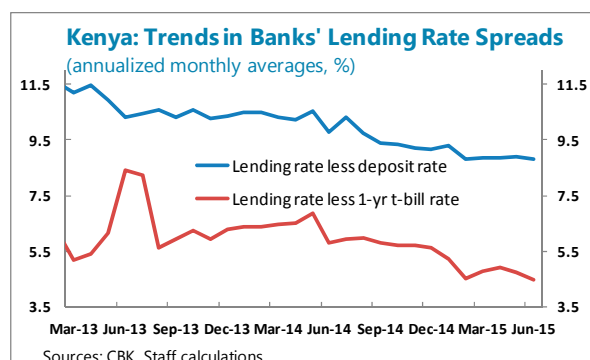
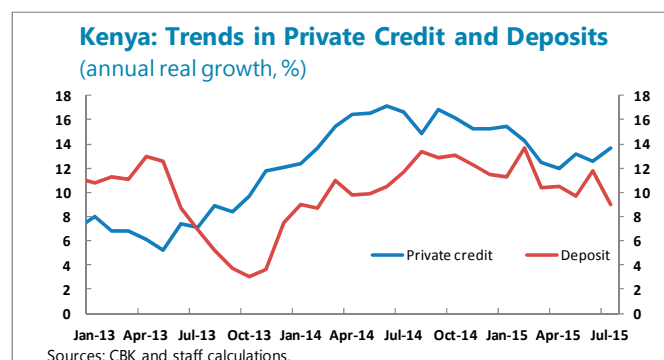


**5. Reserve coverage remains adequate.** The CBK intervened in the foreign exchange market to smooth heightened volatility. In addition, the Treasury made use of 2014 Eurobond receipts deposited at CBK for capital imports related to infrastructure spending. As a result, gross international reserves fell to US\$7.1 billion at end-June (from US\$8 billion at end-2014). The reserves cover remains adequate: at 3.8 months of prospective imports and 30 percent of broad money (M3) as of end-June 2015, gross reserves remain above the standard adequacy thresholds (3 months of imports and 20 percent of M3). Kenya's need to hold reserves is mitigated by its flexible exchange rate regime, and a favorable maturity structure of public external debt (exceeding 10 years).

**Selected Frontier Economies: International Reserve Cover**  
(Months of imports)



**6. Credit growth is moderating and exchange rate risks in bank balance sheets appear relatively contained** (Figure 6). Real growth of bank lending reduced to 13 percent in the year to June, converging to real growth rates for bank deposits. NPL ratios remained stable (5¾ percent), even when considered net of provisions against core capital. Returns on equity continue to be high





(on average about 30 percent) and banking spreads continued their slow decline. Exposures of banks to foreign exchange risk continue to be limited, with a net foreign exchange open position of 3.3 percent of banks' core capital as of end-June 2015.<sup>3</sup> Lending by banks in foreign currency is moderate (at about 24 percent of total bank lending as of end-June). Nevertheless, limited data on external corporate borrowing hampers the assessment of balance-sheet risks from foreign exchange exposure.

## PROGRAM PERFORMANCE

### 7. Program implementation has been mixed:

- **Quantitative targets.** All end-March 2015 quantitative performance criteria were met. However, the continuous performance criterion on external arrears was not observed: temporary delays in debt service payments to official creditors emerged in 2014–15, reflecting a coordination failure rather than inability to pay (MEFP Table 1). The authorities are requesting waivers for the latter on the basis of the corrective measures taken (MEFP ¶12). International reserves declined following the tapering of capital flows, persistent fall in tourist arrivals, and occasional CBK interventions to contain exchange rate volatility since April. Thus, the indicative target on NIR for end-June was missed. The indicative target on CBK's NDA was also missed due to higher government domestic financing needs. All other end-June 2015 indicative targets were met.
- **Monetary policy consultation clause.** Inflation has remained within the authorities' target band since mid-2014, despite elevated food prices in early 2015 and, more recently the depreciation of the shilling. The CBK has recently taken decisive actions to tighten monetary conditions. Food prices have started to decline following good rains in April-May. On this basis, inflation is expected to remain within the authorities' range during 2015.
- **Structural reforms.** Progress in structural reform has been uneven. The government implemented some structural measures envisaged in the program, notably reporting in the 2015 Budget Policy Statement fiscal risks due to PPPs and government guarantees, and adopting a framework for county borrowing. In addition, the CBK further improved its prudential oversight of the banking sector, meeting all commitments under the MEFP. However, the submission of the CBK bill to Parliament has been delayed; the National Treasury's Debt Management Office remains considerably understaffed, although corrective actions have been taken (MEFP ¶12); and the implementation of the Treasury Single Account is behind schedule. These Structural Benchmarks have been reset (MEFP Tables 2 and 3).

<sup>3</sup> Kenyan prudential guidelines limit banks' net foreign exchange open position to 10 percent of core capital.

## POLICY DISCUSSIONS

### A. Revised Macroeconomic Framework and Risks

**8. The adverse impact on Kenya's economy from higher volatility in global markets and recent terrorist attacks warrant a revision of the program's macroeconomic framework** (Tables 1-5). The tapering of capital inflows, combined with the ongoing security challenges, has put pressure on the exchange rate and reserves. The Garissa attack has reduced further tourist arrivals and contributed to higher security-related spending. Consistent with the program's envisaged policy response in case of shocks, the CBK has made use of its reserve buffer to mitigate heightened exchange rate volatility while also allowing the exchange rate to act as a shock absorber, and tightening liquidity conditions. Staff and the authorities project lower real GDP growth relative to the original program, slightly higher inflation, higher current account deficits, lower net capital inflows, and a modestly lower international reserve path in 2015 and 2016.

**9. The authorities and staff agreed that near-term risks to the outlook remain on the downside.** While the recent lifting of the travel bans to popular tourist destinations could help reverse over time the sharp drop in tourist arrivals, security risks remain a serious challenge. A deterioration of economic and financial conditions in emerging markets or in Europe, the latter a major origination market for tourism in Kenya, could adversely affect growth. Private investment could be further affected, particularly if FDI inflows for new oil exploration slow down significantly owing to depressed global oil prices. Additional external risks relate to the timing and pace of exit from unconventional monetary policy in the U.S., which could lead to rapidly rising yields, further U.S. dollar appreciation, and knock-on effects on growth in emerging and frontier economies. Such global shocks could lead to a re-pricing of Kenyan assets and the exchange rate, as well as spillover effects on exports. In the event of economic distress in East Africa, in particular South Sudan, the cross-border activities of Kenyan banks could be adversely affected.

#### Kenya: Revised Macroeconomic Outlook

|                                                    | 2014  |       | 2015  |       | 2016  |       |
|----------------------------------------------------|-------|-------|-------|-------|-------|-------|
|                                                    | Prog. | Act.  | Prog. | Proj. | Prog. | Proj. |
| Real GDP growth (percent)                          | 5.3   | 5.3   | 6.9   | 6.5   | 7.2   | 6.8   |
| CPI inflation, average (percent)                   | 6.9   | 6.9   | 5.2   | 6.4   | 5.3   | 5.9   |
| CPI inflation, eop (percent)                       | 6.0   | 6.0   | 5.4   | 6.4   | 5.1   | 5.3   |
| Current account balance (percent of GDP)           | -8.6  | -10.4 | -7.3  | -9.9  | -7.1  | -9.8  |
| Gross international reserves (in billions of US\$) | 8.0   | 7.9   | 8.4   | 7.5   | 9.2   | 7.6   |
| Gross international reserves (months of imports)   | 4.6   | 4.4   | 4.4   | 3.9   | 4.4   | 3.9   |

Sources: Kenyan authorities and IMF staff estimates and projections.

## B. Fiscal Policy: Preserving Fiscal Sustainability

**10. The ongoing scaling up of public infrastructure investment is key to unlocking Kenya's growth potential.** The authorities view the closing of infrastructure gaps as essential for reducing bottlenecks to trade and growth. In particular, the envisaged expansion of the transportation infrastructure and irrigation network, and the supply of alternative sources of energy, would significantly expand trade and mitigate weather-related vulnerabilities, given Kenya's high dependence on hydro-power generation and rain-fed agriculture. Consistent with these objectives and in line with program projections, development spending increased by about 2½ percent of GDP in 2014/15 relative to 2013/14 (from 6¼ to 8¾ percent of GDP), and is planned to increase by another ¾ percent of GDP in 2015/16.

**11. However, maintaining fiscal sustainability requires significant efforts to mobilize additional revenue and contain current spending.** Compared with the original program target for 2015/16, which would limit the overall fiscal deficit to 7.6 percent of GDP, the significant revenue shortfall noted above (1¾ percent of GDP in 2014/15), coupled with higher transfers to counties would have put additional pressures on the fiscal accounts. While the authorities intend to contain any expenditure spillovers from 2014/15 within the 2015/16 budget envelope, they agreed that without additional efforts the fiscal deficit would likely exceed the program budget targets by about 1½ percent of GDP. To curb the speed of debt accumulation and ensure the consistency of the fiscal position with a more challenging financing outlook, the authorities and staff agreed on the need for a lower deficit, supported by continued efforts to mobilize additional revenue and contain the growth of current spending.

**12. Against this backdrop, the fiscal program for 2015/16 includes revenue measures of about 1 percent of GDP to contain the deficit (MEFP ¶18).** Measures include higher excise taxes, and further revenue administration improvements such as the introduction of a new Single Window declaration module, and enhanced audits on the corporate sector. The revised fiscal program targets a central government deficit of 8 percent of GDP in 2015/16, which accommodates the combined impact of higher security-related spending and lower revenue due to slower GDP growth relative to the original program targets.

| Kenya: Revenue Raising Measures for 2015-16 |                                 |                |
|---------------------------------------------|---------------------------------|----------------|
|                                             |                                 | Percent of GDP |
|                                             | Tax policy                      | 0.8            |
|                                             | Excise taxes                    | 0.4            |
|                                             | Value Added Tax                 | 0.1            |
|                                             | Capital Gains Tax               | 0.1            |
|                                             | Real estate (rental income) tax | 0.1            |
|                                             | Other fees and charges          | 0.1            |
|                                             | Revenue administration          | 0.2            |
|                                             | Total                           | 1.0            |

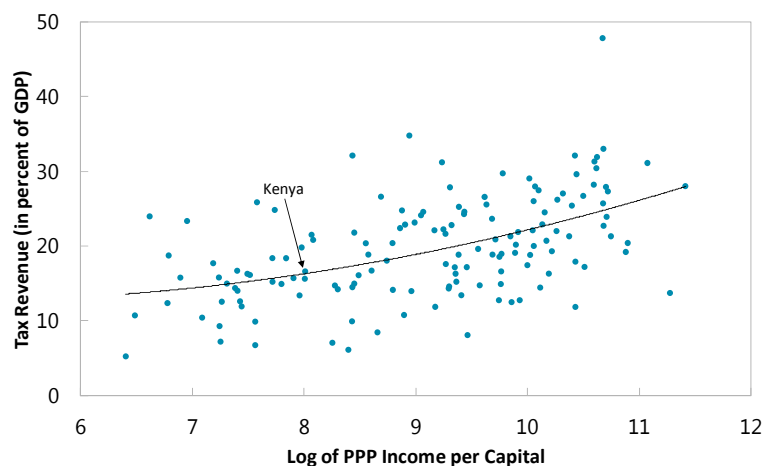
Source: Kenyan authorities.

**13. The authorities and staff agreed to bring the fiscal deficit on a path broadly consistent with the original program, targeting an overall deficit of about 4 percent of GDP in 2018/19.** Such a strategy would help avoid potential financial crowding out of private sector activities, and

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contribute to a more balanced policy mix helping to better maintain aggregate demand in line with external financing conditions. Despite the higher public debt resulting from the revised medium-term fiscal path (Tables 2a-d), public sector debt dynamics remain sustainable (see Debt Sustainability Analysis Annex). The authorities intend to reduce public debt in PV terms below 45 percent of GDP in the medium term (MEFP ¶6). This will require additional fiscal efforts in the outer years. In this context, the authorities noted that their ongoing efforts to improve tax administration, including the significant number of taxpayers registered in the online tax payment system (iTax), will increase efficiency of tax collection and ensure better compliance with the tax laws.<sup>4</sup> They also reiterated their commitment to persevere with efforts underway aimed at rationalizing the size of government, streamlining pay and allowances for civil servants, and reducing budgetary transfers for recurrent spending to non-commercial state entities. Staff views Kenya's revenue collection as broadly comparable to that of countries with similar income levels. Therefore, creating fiscal space for the ambitious program of infrastructure spending may require further tax revenue efforts over the medium term, especially to reduce tax expenditures which amount to an estimated 2-3 percent of GDP per year.

**Relative Tax Yields 1/**



Sources: IMF Fiscal Monitor.

1/ Data for Kenya is for 2014/15 and for 2013 for all other countries.

## C. Public Financial Management (PFM) Reforms: Mitigating Risks and Increasing Efficiency of Public Spending

### 14. The authorities and staff agreed on PFM reforms aimed at improving the efficiency of government spending, and strengthening expenditure control to mitigate fiscal risks.

- **Devolution** (MEFP ¶9). The authorities are taking steps to strengthen accountability and discipline in the use of devolved resources, and contain fiscal risks. In March 2015, the government adopted a framework establishing guidelines for county borrowing consistent with the PFM Act. The framework includes the following safeguards: (i) prior approval by National Treasury of all county borrowing; (ii) a limit on each county's debt (20 percent of the most recent audited revenues); and (iii) a limit on each county's debt service (15 percent of the most recent audited revenues). These safeguards effectively limit county-level indebtedness to 1 percent of

<sup>4</sup> Since it was launched in October 2013, a total of 1.3 million taxpayers have signed up with the iTax system. Starting from June 30, 2015, taxpayers are required to file their individual income tax returns using the iTax system.

GDP. However, the framework allows access to the CBK overdraft facility to counties, which may complicate monetary policy implementation and coordination of cash and debt management with the Treasury. Additional reforms planned for later in the year include the extension to counties of GFS-compliant consolidated financial statements by end-2015, and the adoption of a county revenue framework aimed at maintaining a business-friendly taxation environment.

- **TSA reform** (MEFP ¶13). There has been progress in improving the efficiency of the government payment processes to lay the foundations for an upgrade in cash management practices in preparation for the full adoption of the Treasury Single Account (TSA). However, the delay in reaching a Service Level Agreement between the Treasury and the CBK governing all overdraft and interest calculations, service fees and other charges arising from their financial relations requires a resetting of the end-June 2015 structural benchmark under the program to end-September 2015.
- **Debt management** (MEFP ¶12). The authorities have adopted a preemptive approach to process debt repayments. First, they have begun to rely on their reporting systems rather than on invoices from lenders. Second, the payment process will start 30 days before the due date, to allow for internal approvals by National Treasury and Controller of Budget and timely settlement by the CBK. Third, the Debt Management Office (DMO) will elevate to the Cabinet Secretary of the National Treasury a quarterly report with all obligations coming due, in order to ensure accountability. Fourth, internal processes between the different units involved in the process will be fully automated. Fifth, there will be a significant strengthening of staffing at the DMO, with the appointment of a full-time Director General and significant strengthening of risk and compliance functions.
- **E-procurement.** The newly introduced IFMIS e-procurement, which automates all central and county government procurement processes in line with the Public Procurement and Disposal Act, is expected to entrench transparency and accountability, and to generate increased efficiency and cost savings.

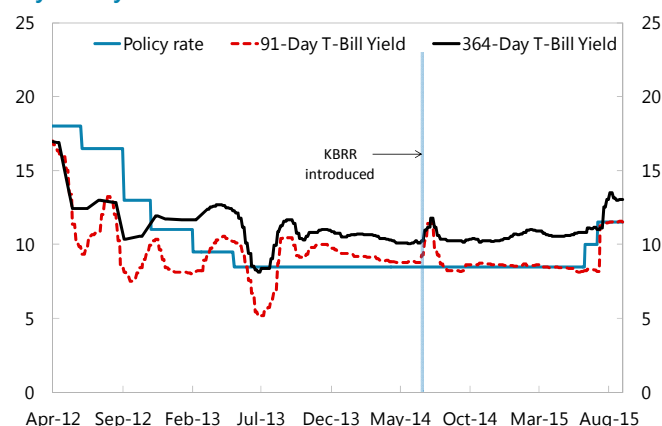
## D. Monetary Policy: Strengthening the Framework, Transitioning to Inflation Targeting

**15. The CBK's decisive recent tightening is intended to keep inflation expectations in check** (MEFP ¶16). Going forward, staff and the authorities agreed that economic and financial uncertainties warrant continued caution in the monetary policy stance (Figures 2 and 6). The CBK intends to sell foreign exchange only to smooth excessive volatility in the foreign exchange market.

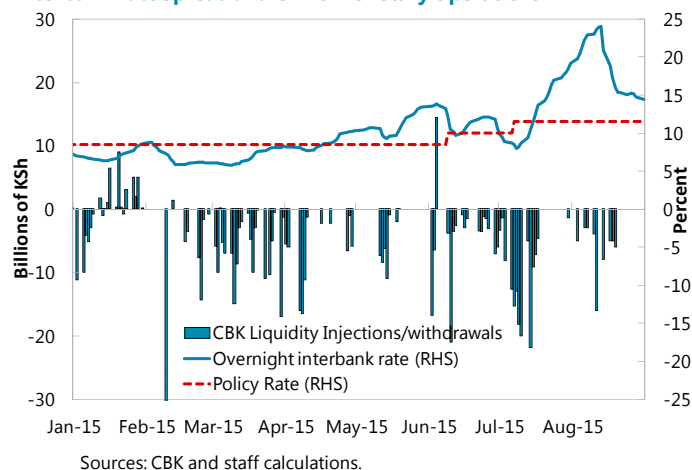
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**16. Market yields have started to reflect the recent tightening of monetary policy.** Since the introduction of the Kenya Bank Reference Rate (KBRR) in mid-2014, the 91-day T-Bill rate has remained low relative to the CBR, weakening the transmission along the yield curve.<sup>5</sup> In addition, interbank rates continue to deviate substantially from the policy rate. Absolute spreads averaged 265 basis points in 2015 through end-August. Among other factors, this reflects unpredictable fiscal flows, compounded by the fast-roll out of devolution. However, it also reflects the lack of instruments (until recently) for maturities demanded by the market, coupled with rapid swings in monetary operations from accommodating government borrowing to mopping up as much liquidity as possible at times of high volatility. Although the National Treasury produces daily cash reports and has shared these with the CBK since the beginning of 2015, the authorities delayed decisions on technical modalities of TSA implementation, partly because of a longer-than-expected transition to internet banking by spending units. Going forward, upgrading the coordination between the CBK and National Treasury, improving cash and debt management, rationalizing access to the CBK's overdraft facility and fully implementing the Treasury Single Account are expected to help align the interbank rates more closely to the CBR.

Kenya: Policy Rate and T-bill Auction Yields



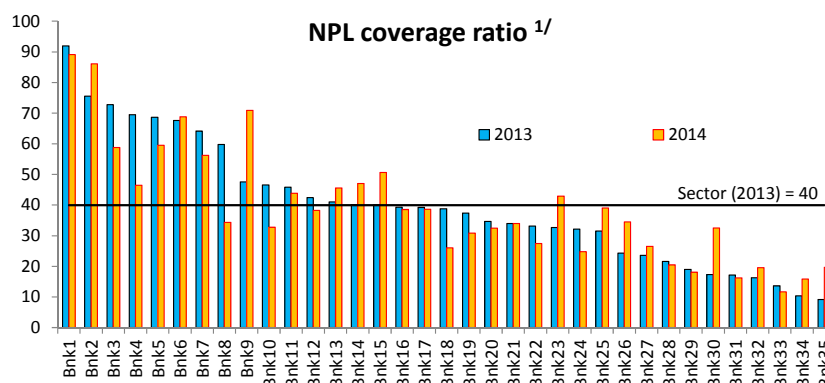
Interbank Rate Spread and CBK's Monetary Operations



<sup>5</sup> See the 2014 Article IV Consultation with Kenya (IMF Country Report No. 14/302).

## E. Financial Sector: Enhancing Oversight to Mitigate Financial Stability Risks

**17. The authorities' efforts to improve enforcement of prudential guidelines revised in 2013 are paying off.** Three banks have already submitted capital restoration plans to the supervisors to comply with the higher capital requirements of 2.5 percentage points. On-site supervision efforts have intensified, and the CBK has asked banks to reclassify some of their loans and increase provisioning for credit losses (KSh 2.4 billion). These efforts, which are continuing, have already led to a higher loan loss provisioning coverage ratio for several banks (Figure 6). The authorities have also recently put on liquidation a very small bank (0.1 percent of bank assets) in distress. While the banking sector remains sound, recent credit and market risk events have underscored the importance of ensuring sound lending standards, compliance with prudential guidelines, adequate provisioning, and sufficient buffers against losses.<sup>6</sup>



Source: CBK and IMF staff estimates.

1/ Loan loss provision for NPLs, as a share of NPLs, in percentage points.

**18. Several initiatives to further improve oversight of the banking industry are in train.** In line with the program, the CBK has taken important measures, including: (i) the design of an action plan to improve the CBK stress testing framework, with a pilot stress test of all banks to be conducted by June 2016; (ii) the introduction of a monthly survey on banks loans restructuring, with the survey results to provide relevant information for stress testing; (iii) the expansion of supervisory colleges to all relevant banking groups operating in more than two countries outside Kenya; (iv) the assessment of host supervisors, with the first one for Uganda successfully completed, with East AFRITAC TA support; and (v) the evaluation of macro-prudential policy options aimed at limiting banks' exposure to foreign exchange risk. The authorities are also taking steps to enhance their AML/CFT supervision. They are encouraged to continue their efforts and to focus on implementation, in line with recent LEG TA recommendations.

<sup>6</sup> A legacy payment delay by the government to contractors during 2013 that were cleared in mid-2014 has led some companies to delay their payments to the banks and other suppliers. The recent shilling depreciation may also put pressure on some borrowers with loans in foreign currency.



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### F. Improving Data Provision and Quality: Supporting Policy Making

**19. The authorities are making progress on their commitment to improve macroeconomic statistics, especially on the external sector.** In its April 2015 Economic Survey publication, the Kenya National Bureau of Statistics (KNBS) published a BPM6-compliant balance of payments statement and also first consolidated GFS estimates for the general government sector for 2013/14 and its subsectors. Moreover Foreign Investment Survey data for 2013 and earlier years are expected to be published in September 2015, and used to publish a BPM6-compliant balance of payments fully integrated with an International Investment Position statement in the 2016 Economic Survey (May). The KNBS also recently released the 2012/13 Kenya National Housing Survey results, including a first-ever official unemployment estimate for Kenya (8.1 percent).

## PROGRAM MODALITIES

**20. Staff proposes revisions to quantitative targets and resetting of three structural benchmarks that were not met** (MEFP Tables 1-3). The proposed revisions to end-September 2015 performance criteria and end-December 2015 indicative targets take into account corrective fiscal measures; and the authorities' use of reserve buffers since April 2015 to mitigate exchange rate volatility and subsequent tightening of monetary policy. Staff believes that the structural reforms envisaged in the program remain appropriate, and proposes to reset delayed reforms to ensure their full implementation.

**21. Consistent with the new debt limits policy, staff proposes to discontinue monitoring the program against a performance criterion on contracting and guaranteeing of non-concessional external public debt.** This proposal reflects Kenya's low risk of external debt distress, and the recent adoption by the authorities of regulations that limit the scope for county borrowing (MEFP 19). The program retains conditionality on the primary fiscal balance (performance criterion) and a ceiling on all guarantees issued by the central government (indicative target).

**22. Safeguards assessment.** The CBK safeguards assessment report was finalized in May 2015. The report's main conclusions were that the CBK continues to maintain effective operational controls, but that the lapse in March 2015 of several Board members terms and resulting lack of a functioning Board poses operational and governance risks for the bank. In addition, the report noted that the draft CBK bill broadly addresses issues identified in prior safeguards assessments and strengthens the bank's autonomy; however, additional refinements were proposed primarily related to the Board appointment process. The CBK also faces the challenge of implementing the 2010 Constitutional requirement to replace the entire stock of currency and the safeguards report recommended that the bank develop an action plan and communication strategy for the issuance of the new currency.



## A. Capacity to Repay the Fund and Risks to the Program

**23. Kenya retains a strong capacity to repay the Fund** (Table 7). The Debt Sustainability Analysis update (see Annex) finds that even assuming full drawings under the precautionary program, Kenya remains at low risk of external debt distress, notwithstanding a modest deterioration in the medium-term public debt trajectory. Kenya's capacity to repay would be further enhanced once the recent sizeable oil and gas discoveries would come on stream.

**24. The main risks to the program are:** (i) political instability eroding program ownership; (ii) further tapering of flows leading to financing constraints; (iii) strains in the relations between the central government and counties that could weaken fiscal discipline; (iv) weaker-than-expected improvements in revenue administration that could lead to further fiscal slippages; (v) Kenyan banks' expansion of domestic credit and cross-border activities that outpace ongoing efforts to upgrade prudential oversight capabilities; (vi) an unmonitored buildup of external vulnerabilities in the private sector before data gaps are addressed; and (vii) economic growth that falls significantly below program expectations.

**25. If downside risks materialize, further policy response may be needed.** The flexible exchange rate would continue to act as a shock-absorber, though some further monetary policy tightening may be needed to prevent second-round effects on inflation. The room for fiscal policy to adjust for demand management purposes remains constrained in the near term until new revenue measures bear fruit. However, if the magnitude of the shocks were to make financing constraints binding, fiscal policy would have to adjust more quickly.

## STAFF APPRAISAL

**26. Kenya's economic performance has remained satisfactory despite external and security shocks.** Higher private consumption and public infrastructure investment is expected to support real GDP growth this year despite recent adverse external and domestic developments. But downside risks have increased. Rising volatility in global markets has contributed to some shilling depreciation, adversely affecting inflation expectations. The recent terrorist attack at Garissa is another shock to the already weakened tourism sector, although the recent lifting of travel bans to popular tourist destinations in Kenya should reverse over time the sharp drop in tourist arrivals. Uncertainties from monetary policy normalization in the United States and weaker global growth may also have an adverse impact.

**27. Against this setting, the fiscal program for 2015/16 seeks to balance multiple objectives: addressing persistent security challenges and infrastructure bottlenecks while preserving macroeconomic stability.** The increase in development spending is supporting infrastructure investments and expanding the provision of health and education services, which are needed to underpin stronger economic growth. At the same time, containing the fiscal deficit is important to moderate the recent rise in public debt—and eventually reverse it—and avoid excess demand pressures and support a balanced policy mix, especially in light of the high and persistent current account deficit. The authorities' efforts to reduce the fiscal deficit are thus welcome. In light

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of ongoing volatility in global markets, staff encourages the authorities to consider contingency plans, to help mitigate possible risks stemming from tighter external financing conditions.

### **28. Reforms to improve public financial management need to be resolutely implemented.**

The authorities have taken a number of steps aimed at strengthening expenditure control and improving the efficiency of public spending, including the adoption of limits and safeguards for county borrowing consistent with the PFM Act, and the expansion of e-procurement to all spending units. However, counties' access to the CBK overdraft facility may complicate monetary policy implementation and coordination of cash and debt management with the Treasury. Over the coming months the plans to strengthen capacity at the National Treasury's Debt Management Office and to complete the introduction of the Treasury Single Account should be decisively implemented. These are critical reforms to avoid a reemergence of external payment arrears, and to improve the government's cash and domestic debt management. These reforms would also help monetary policy implementation by mitigating volatility in government flows, and will reduce government's borrowing costs.

**29. Staff welcomes the CBK's decisive steps to tighten monetary policy.** Inflation is within the authorities' target range, but remains at the upper bound of this range. In addition, while the early 2015 spike in food prices is likely to be reversed following recent good rains, the recent shilling depreciation could lead to renewed pressure on domestic prices. This situation fully justifies the pro-active approach taken by the CBK aimed at anchoring inflation expectations. Staff supports the CBK's commitment to continue refraining from selling reserves except for smoothing excessive volatility in the foreign exchange market. The recent broadening of the set of instruments by introducing 3-day repos will help improve liquidity management, strengthen monetary policy transmission, and enhance policy credibility.

**30. The risks associated with balance-sheet effects of the recent shilling weakening and the rapid expansion of Kenyan banks abroad warrant close oversight.** To that end, the ongoing improvements in the CBK's stress testing framework and the establishment of supervisory colleges for banking groups operating outside Kenya are welcome steps, as are the renewed efforts to ensure that bank provisioning keeps pace with NPLs so as to maintain adequate bank capital buffers. While foreign-currency lending by banks has remained moderate, the recent exchange rate volatility puts a premium on improving monitoring and information on corporate borrowing from abroad in order to gauge the balance-sheet implications of foreign exchange risk exposure.

**31. Continued efforts are needed over the medium term to create fiscal space for development priorities while maintaining public debt sustainability and mitigating reliance on external savings.** The key priority should be to continue mobilizing additional revenue to preserve room for critical programs, including key infrastructure projects, orderly devolution, a strengthened social safety net, and to mitigate demand pressures. Efforts to contain current spending, especially wage growth and reducing non-productive transfers to non-commercial state entities, will also be essential. Over the medium term, it is important to continue to reduce the fiscal deficit to a sustainable level to avoid the risk of financing constraints becoming binding in the presence of tapering inflows coupled with high and persistent external current account deficits. To that end, staff

welcomes the authorities' commitment to bring public debt in PV terms down below 45 percent of GDP in the medium term, in line with the original program's anchor. Their plans to rationalize personnel at the national and county levels are an important element towards this strategy. Staff encourages the authorities to identify additional measures to reinforce the strategy, including by determining and mitigating factors impairing a better VAT performance, using e-procurement to reduce cost overruns, and promptly adopting recommendations of the Salary and Remunerations Commission regarding a reform of salary scales.

**32. Staff supports completion of the first review under the precautionary SBA- and SCF arrangements.** The authorities' economic program supported by the SBA- and SCF arrangements maintains a sustainable public debt position while addressing infrastructure needs, and a prudent monetary policy stance while strengthening financial sector oversight. Staff supports the authorities' request for waivers under both arrangements for the non-observance of the performance criterion on external arrears. This breach was temporary and did not affect the thrust of policies, and the authorities have taken steps to correct the staffing and coordination problems behind the late payments. Staff recommends completion of the first review under the SBA- and SCF arrangements, and approval of modifications to program targets including end-September 2015 performance criteria.

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## Proposed Decisions

The following decisions, which may be adopted by a majority of the votes cast, are proposed for adoption by the Executive Board. Decision 2 is proposed for adoption only in the event that Decision 1 is adopted by the Executive Board.

### DECISION 1

1. Kenya has consulted with the Fund in accordance with paragraph 3(c) of the Stand-By Arrangement for Kenya (EBS/15/1, 1/20/2015, the "Stand-by Arrangement") in order to review program implementation.
2. The letter dated August 31, 2015 from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya (the "August 2015 Letter"), together with its Memorandum of Economic and Financial Policies (the "August 2015 MEFP") and the Technical Memorandum of Understanding (the "August 2015 TMU"), shall be attached to the Stand-by Arrangement and the letter dated January 16, 2015 from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya shall be read as supplemented and modified by the August 2015 Letter and its attachments.
3. Accordingly, the Stand-by Arrangement shall be amended as follows:
  - a. The performance criteria for September 30, 2015 set forth in paragraphs 3(a)(i) and (ii) of the Stand-by Arrangement shall be as specified in Table 1 of the August 2015 MEFP and as further specified in the August 2015 TMU;

- b. Paragraph 3(a)(iii), setting out the ceiling on the contracting and guaranteeing of new medium and long term non-concessional debt by the national government of Kenya, shall be deleted.
  - c. Paragraph 3(b) of the Stand-by Arrangement shall be revised to read as follows: "If at any time during the period of this Stand-by Arrangement, the ceiling on the accumulation of new external payment arrears by the national government, as set out in Table 1 of the August 2015 MEFP and as further specified in the August 2015 TMU, is not observed";
  - d. In paragraph 3(e) of the Stand-by Arrangement, the reference to "paragraph 17 of the TMU and Table 1 of the MEFP" shall be replaced with "paragraph 12 of the August 2015 TMU and Table 1 of the August 2015 MEFP".
4. The Fund decides that the first review contemplated in paragraph 3(c) of the Stand-by Arrangement is completed, and that Kenya may make purchases under the Stand-by

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Arrangement, notwithstanding the non-observance of the performance criterion on the ceiling on the accumulation of new medium and long term external payment arrears by the national government set forth in paragraph 3(b) of the Stand-by Arrangement, on the condition that the information provided by Kenya on the performance under this criterion is accurate.

5. This Decision shall become effective only upon the adoption of the decision 2 below by the Executive Board.

### **DECISION 2**

1. Kenya has consulted with the Fund in accordance with paragraph 3(b) of the arrangement for Kenya under the Standby Credit Facility (EBS/15/1, 1/20/2015), (the "SCF Arrangement") to review program implementation.
2. The letter dated August 31, 2015 from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya (the "August 2015 Letter"), together with its Memorandum of Economic and Financial Policies (the "August 2015 MEFP") and the

Technical Memorandum of Understanding (the "August 2015 TMU"), shall be attached to the SCF Arrangement and the letter dated January 16, 2015 from the Cabinet Secretary of the National Treasury and the Governor of the Central Bank of Kenya shall be read as supplemented and modified by the August 2015 Letter and its attachments.

3. Accordingly, the SCF Arrangement shall be amended as follows:
  - a. The performance criteria for September 30, 2015 referred to in paragraphs 3(a)(i) and (ii) of the SCF Arrangement shall be as specified in Table 1 of the August 2015 MEFP and as further specified in the August 2015 TMU;
  - b. The reference in Paragraph 3(a) to the performance criterion establishing a ceiling on the contracting and guaranteeing of new medium and long term non-concessional debt by the national government of Kenya shall be deleted.
  - e. Paragraph 4(a) of the SCF Arrangement shall be revised to read as follows:

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“(a) the ceiling on the accumulation of new external payment arrears by the national government, as set out in Table 1 of the August 2015 MEFP and as further specified in the August 2015 TMU, is not observed”;

d. In paragraph 5 of the SCF Arrangement, the reference to "paragraph 17 of the TMU and Table 1 of the MEFP" shall be replaced with "paragraph 12 of the August 2015 TMU and Table 1 of the August 2015 MEFP".

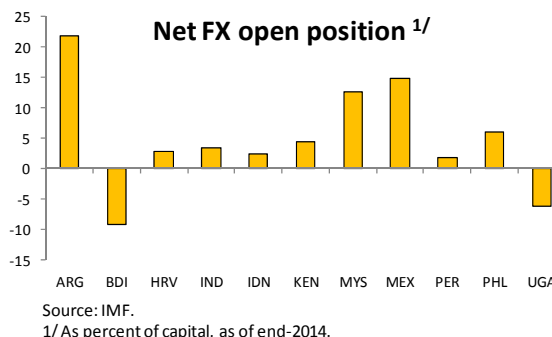
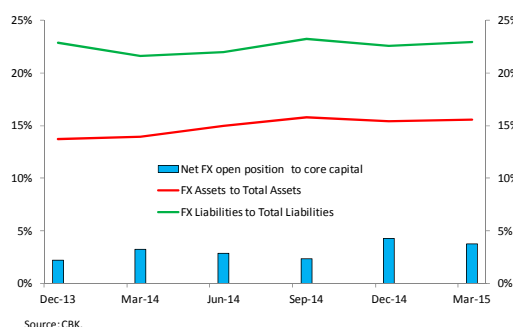
4. The Fund decides that the first review contemplated in paragraph 3(b) of the SCF Arrangement for Kenya is completed, and that Kenya may request the disbursement of the second loan referred to in paragraph 2(b) of the SCF Arrangement, notwithstanding the non-observance of the performance criterion on the ceiling on the accumulation of new medium and long term external payment arrears by the national government set forth in paragraph 4(a) of the SCF Arrangement, on the condition that the information provided by Kenya on the performance under this criterion is accurate.



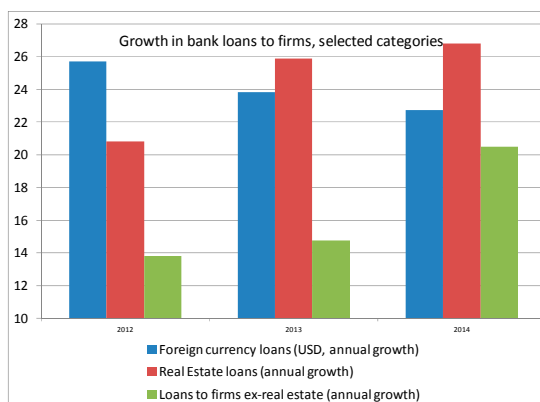
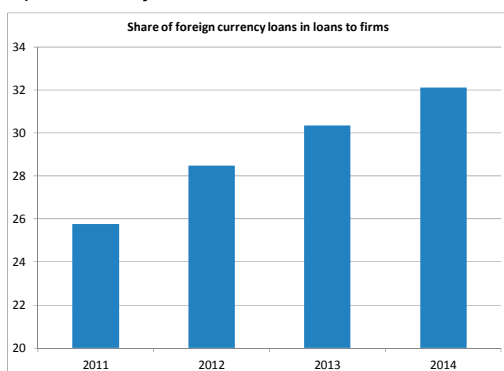
### Box 1. Kenyan Banks' Exposure to Foreign Exchange (FX) Risk

**CBK has a stringent limit on net FX open position** (10 percent of core capital, including off balance sheet exposures) and it has encouraged banks operating in Kenya to restrict FX lending to companies and individuals that are naturally hedged against FX risk.

**Kenyan banks' exposure to FX risk remains limited.** About 16 percent of total assets and 23 percent of total liabilities are denominated in foreign currency, resulting in a net FX open position of 2.9 percent relative to total banks' capital, which compares well with peer countries (Table 5).



**However, there are signs that the corporate sector foreign currency exposure is increasing.** The share of foreign currency loans to firms relative to total loans to firms has increased to 32 percent in 2014 from 26 percent three years before, despite relatively low rates of export growth. Anecdotal evidence suggests that foreign currency loans are associated with growth in the upper-end real estate market in recent years. Both bank loans denominated in U.S. dollars and lending to real estate have been increasing above average for the past three years.



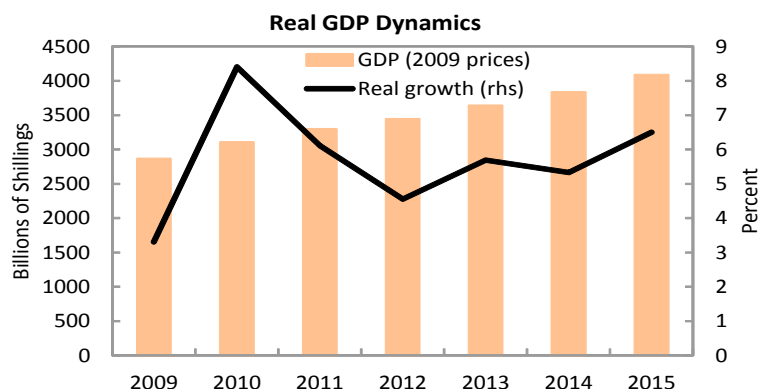
**Macro-prudential policies could help address emerging foreign currency risks.** At present, there are no formal regulatory limits on foreign currency lending, nor higher weights on such lending to estimate capital to risk-weighted assets ratios and higher provisioning requirements, in contrast to the practice in many countries.<sup>1</sup> The introduction of such policies could help prevent currency mismatches at the firm level.

<sup>1</sup> Colombia, Jordan, Romania, South Korea, and Uganda among others.

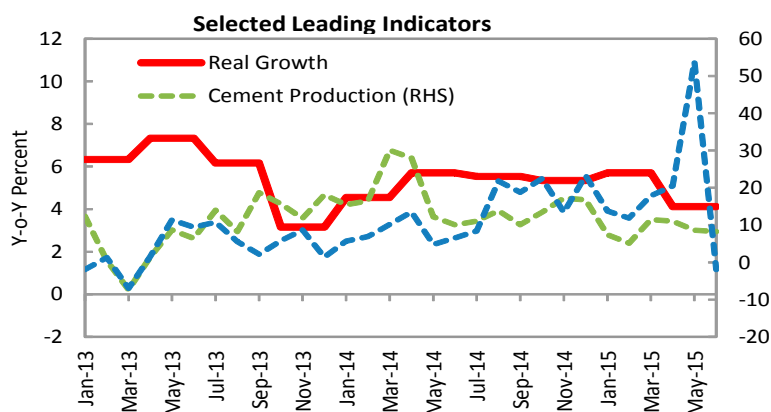
# KENYA

**Figure 1. Kenya: Real Sector**

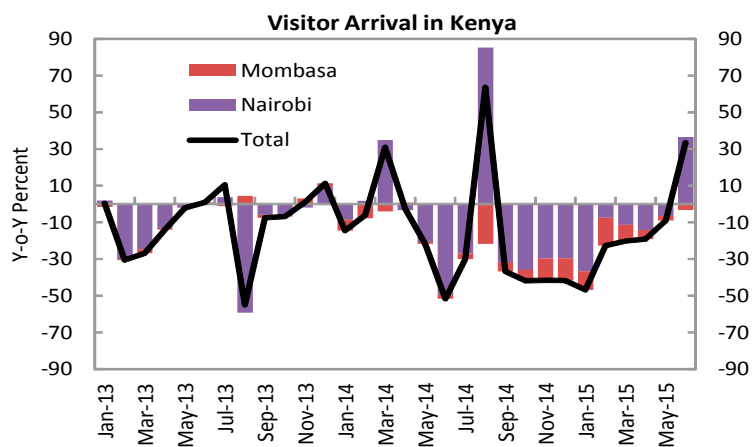
*GDP growth has been robust to date...*



*...and high frequency indicators suggest continued momentum...*

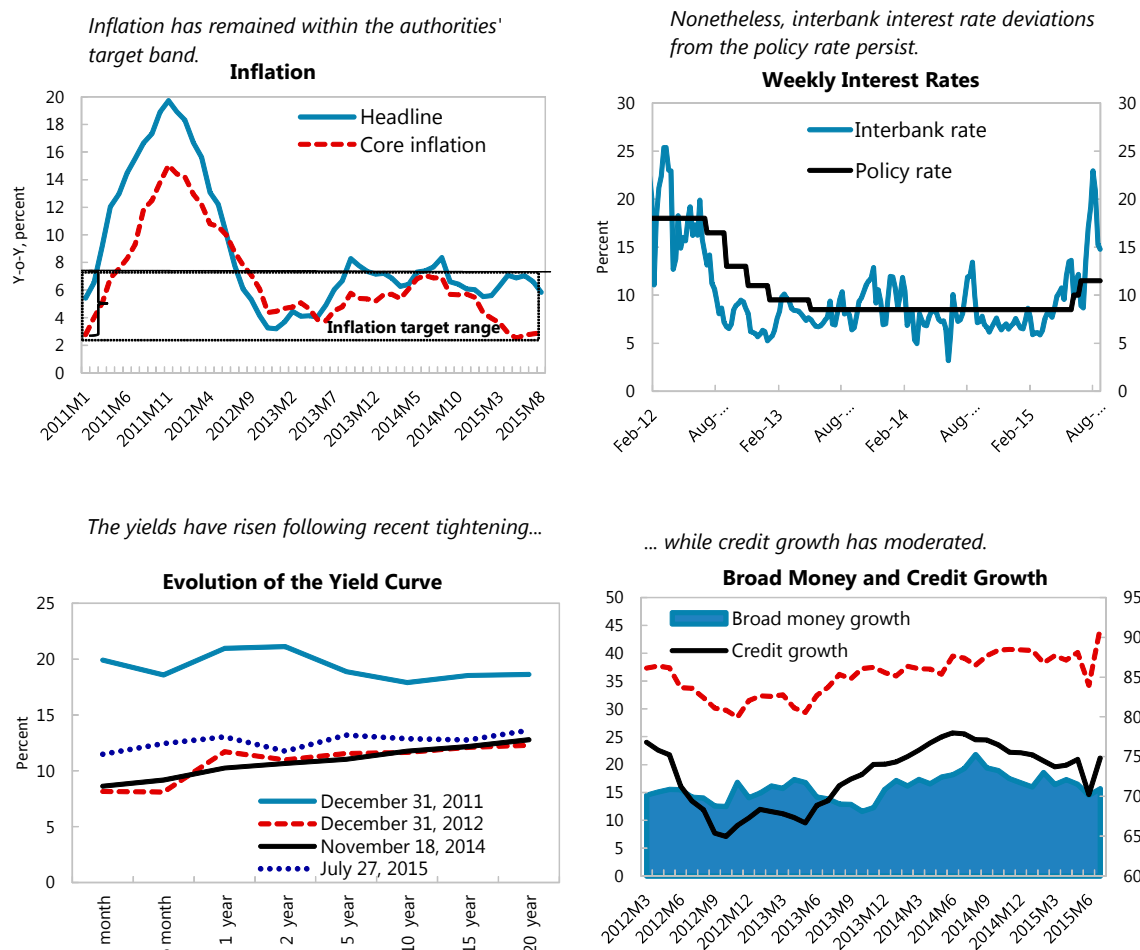


*...with visitor arrivals starting to recover.*



Source: Kenyan authorities and IMF staff estimates.

**Figure 2. Kenya: Monetary Sector**

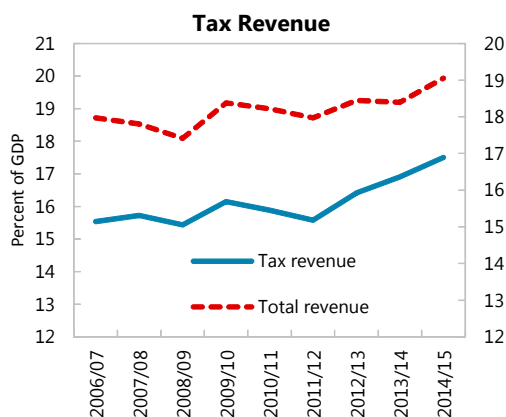


Source: Bloomberg; Kenyan authorities and IMF staff estimates.

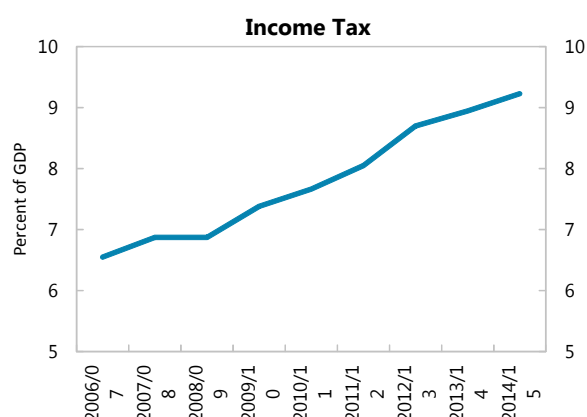
# KENYA

**Figure 3. Kenya: Fiscal Operations<sup>1</sup>**

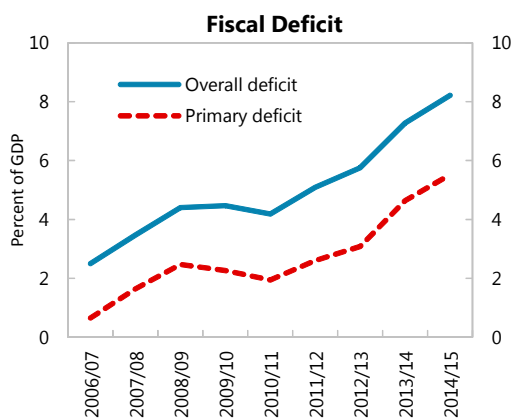
*Tax collections have been increasing ...*



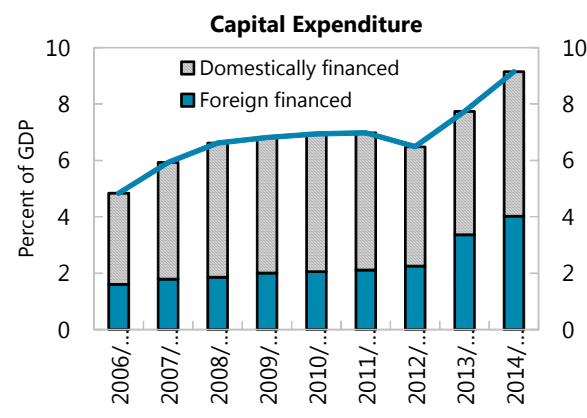
*... reflecting strong yield from income taxes.*



*The fiscal deficit has increased....*



*...mainly due to a scaling up in infrastructure spending.*

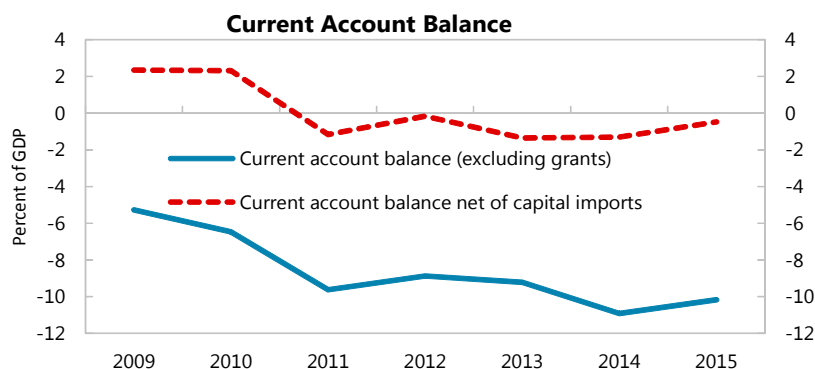


Source: Kenyan authorities and IMF staff estimates.

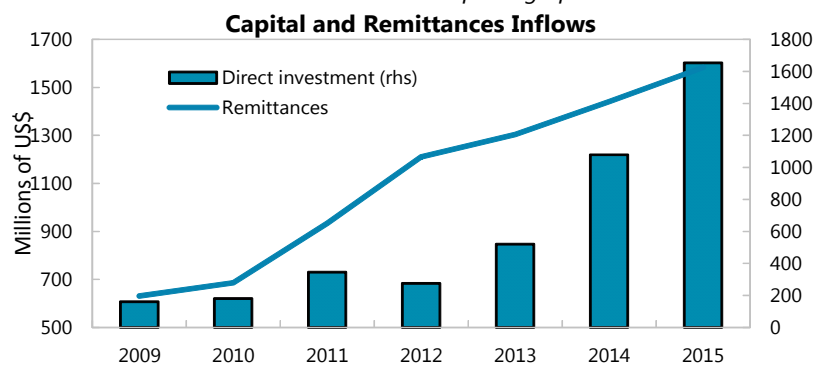
<sup>1</sup> For years 2012/13 and 2013/14, the charts are referring to general government.

**Figure 4. Kenya External Sector**

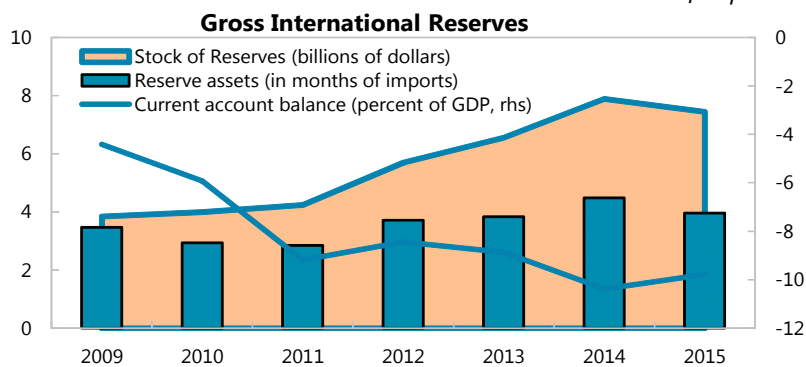
*The current account net of capital good imports has been close to balance ...*



*... while remittances and FDI are picking up.*



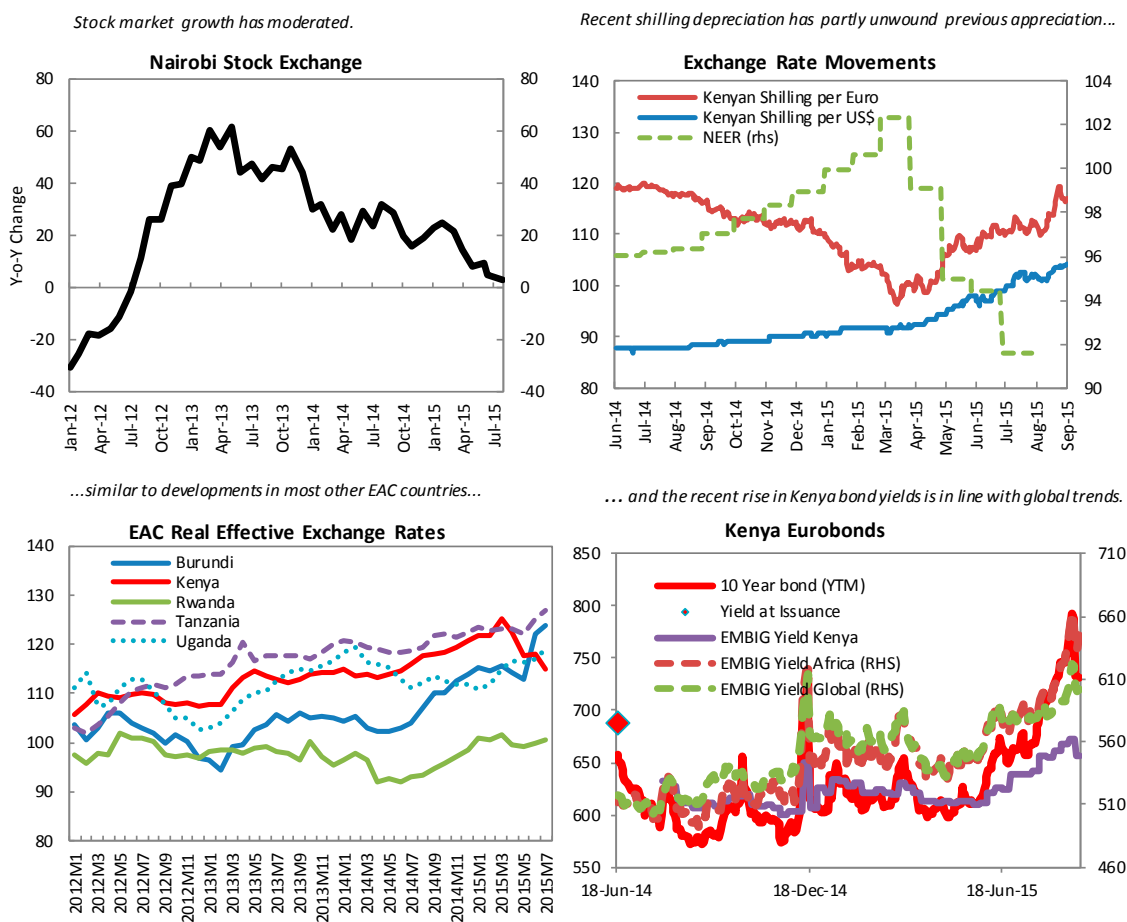
*... and international reserves have increased to about 4 months of imports.*



Source: Kenyan authorities and IMF staff estimates.

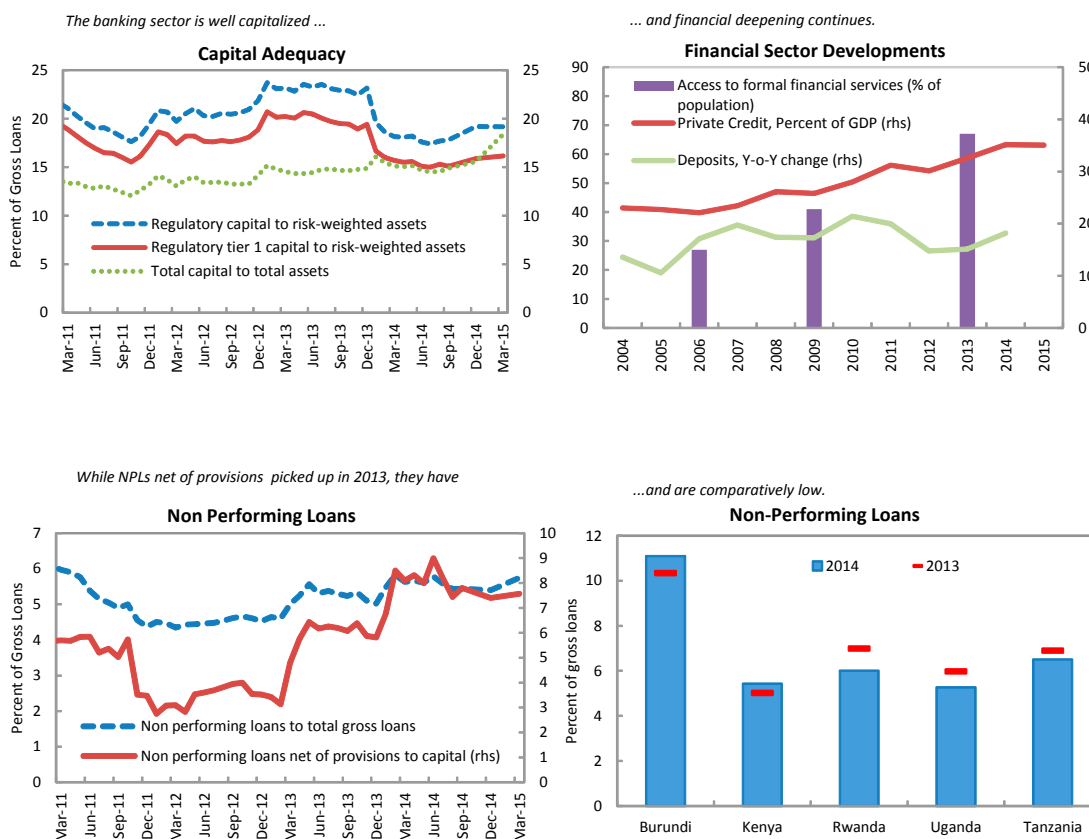
# KENYA

**Figure 5. Kenya: Financial Developments**



Source: Bloomberg; IMF staff estimates.

**Figure 6. Kenya: Financial Sector**



Source: CBK and IMF staff estimates.

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Table 1a. Kenya: Selected Economic Indicators, 2013/14–2018/19

|                                                        | 2013/14 | 2014/15 |       | 2015/16 |       | 2016/17 | 2017/18 | 2018/19 |
|--------------------------------------------------------|---------|---------|-------|---------|-------|---------|---------|---------|
|                                                        | Act.    | Prog.   | Est.  | Prog.   | Proj. |         | Proj.   |         |
| (Annual percentage change, unless otherwise indicated) |         |         |       |         |       |         |         |         |
| Output, prices, and exchange rate                      |         |         |       |         |       |         |         |         |
| Real GDP                                               | 5.5     | 6.1     | 5.9   | 7.0     | 6.7   | 6.9     | 7.0     | 7.0     |
| GDP deflator                                           | 6.3     | 6.6     | 7.1   | 6.5     | 6.5   | 6.3     | 6.1     | 5.7     |
| CPI (period average)                                   | 7.1     | 6.0     | 6.6   | 5.2     | 6.3   | 5.4     | 5.0     | 5.0     |
| CPI (end of period)                                    | 7.4     | 5.1     | 7.0   | 5.3     | 6.0   | 5.0     | 5.0     | 5.0     |
| Core inflation (period average) <sup>2</sup>           | 6.1     | 5.0     | 3.1   | 5.3     | 5.6   | 5.1     | 5.0     | 5.0     |
| Exports volume                                         | -1.4    | 6.4     | 6.5   | 9.7     | 5.6   | 6.3     | 8.5     | 8.5     |
| Imports volume                                         | 3.0     | 14.7    | 8.4   | 10.5    | 9.6   | 7.4     | 9.4     | 8.7     |
| Exchange rate (Kenyan shilling/US\$)                   | 87.2    | .       | 98.6  | .       | .     | .       | .       | .       |
| Real effective exchange rate (depreciation, -)         | 0.9     | .       | 2.6   | .       | .     | .       | .       | .       |
| Money and credit                                       |         |         |       |         |       |         |         |         |
| Broad money (M3)                                       | 18.2    | 13.9    | 14.5  | 19.8    | 17.2  | 18.0    | 17.8    | 15.0    |
| Reserve money                                          | 12.6    | 11.3    | 9.1   | 14.9    | 15.8  | 16.3    | 15.6    | 13.4    |
| Credit to non-government sector                        | 25.7    | 17.7    | 14.6  | 15.6    | 14.5  | 13.2    | 13.3    | 15.0    |
| Policy rate                                            | 8.5     | .       | 10.0  | .       | .     | .       | .       | .       |
| M3/GDP (percent)                                       | 42.7    | 42.9    | 43.1  | 45.1    | 44.4  | 46.1    | 47.9    | 48.7    |
| NPLs (percent of total gross loans)                    | 5.8     | .       | .     | .       | .     | .       | .       | .       |
| (Percent of GDP, unless otherwise indicated)           |         |         |       |         |       |         |         |         |
| Central government budget                              |         |         |       |         |       |         |         |         |
| Total revenue and grants                               | 19.9    | 21.1    | 19.4  | 21.8    | 21.1  | 21.4    | 21.6    | 21.8    |
| Tax revenues                                           | 16.9    | 17.9    | 16.8  | 18.7    | 18.0  | 18.4    | 18.5    | 18.7    |
| Non-tax revenues                                       | 2.4     | 2.7     | 2.1   | 2.7     | 2.7   | 2.7     | 2.7     | 2.7     |
| Grants                                                 | 0.5     | 0.5     | 0.5   | 0.4     | 0.4   | 0.4     | 0.4     | 0.4     |
| Expenditure                                            | 25.7    | 28.7    | 27.9  | 29.5    | 29.1  | 28.2    | 27.1    | 26.8    |
| Current                                                | 19.4    | 19.5    | 18.9  | 19.4    | 19.7  | 19.1    | 18.7    | 18.5    |
| Capital                                                | 6.3     | 8.9     | 8.9   | 9.9     | 9.3   | 9.1     | 8.4     | 8.3     |
| Unidentified measures                                  | 0.0     | 0.0     | 0.0   | 0.0     | 0.0   | 0.6     | 0.9     | 0.9     |
| Primary balance                                        | -3.5    | -5.1    | -5.5  | -5.1    | -5.2  | -3.5    | -1.9    | -1.7    |
| Excluding SGR related spending                         | -3.5    | -3.7    | -3.3  | -3.0    | -3.4  | -2.4    | -1.9    | -1.7    |
| Overall balance                                        | -5.9    | -7.6    | -8.4  | -7.6    | -8.0  | -6.2    | -4.5    | -4.1    |
| Excluding SGR related spending                         | -5.9    | -6.2    | -6.2  | -5.5    | -6.2  | -5.1    | -4.5    | -4.1    |
| Excluding grants                                       | -6.4    | -8.1    | -9.0  | -8.1    | -8.4  | -6.6    | -4.9    | -4.5    |
| Net domestic borrowing                                 | 1.2     | 4.3     | 4.3   | 3.2     | 3.5   | 2.7     | 2.0     | 1.5     |
| Public debt <sup>3</sup>                               |         |         |       |         |       |         |         |         |
| Public gross nominal debt                              | 47.1    | 49.8    | 51.2  | 50.8    | 53.1  | 53.6    | 52.4    | 51.1    |
| Public net nominal debt                                | 43.1    | 46.4    | 47.9  | 48.8    | 51.0  | 51.6    | 50.4    | 49.2    |
| of which : external public debt                        | 21.7    | 23.2    | 24.7  | 25.2    | 27.1  | 27.8    | 27.4    | 27.3    |
| Public gross debt, PV                                  | 46.2    | 44.9    | 47.2  | 45.6    | 48.3  | 47.7    | 46.6    | 45.2    |
| Public net debt, PV                                    | 42.1    | 41.5    | 43.8  | 43.5    | 46.2  | 45.7    | 44.6    | 43.2    |
| Gross domestic debt                                    | 25.5    | 26.6    | 26.6  | 25.6    | 26.1  | 25.8    | 25.0    | 23.8    |
| Investment and saving                                  |         |         |       |         |       |         |         |         |
| Investment                                             | 20.8    | 24.7    | 23.9  | 26.1    | 25.3  | 25.5    | 25.0    | 25.0    |
| General government                                     | 7.0     | 9.8     | 9.8   | 11.1    | 10.5  | 10.6    | 10.0    | 10.0    |
| Nongovernment                                          | 13.8    | 15.0    | 14.2  | 15.1    | 14.8  | 15.0    | 15.0    | 15.0    |
| Saving                                                 | 11.9    | 16.7    | 13.0  | 18.9    | 14.6  | 17.0    | 17.8    | 18.1    |
| General government                                     | 1.7     | 2.4     | 1.5   | 3.2     | 2.6   | 4.1     | 5.2     | 5.5     |
| Nongovernment                                          | 10.2    | 14.3    | 11.5  | 15.7    | 12.0  | 12.9    | 12.6    | 12.5    |
| External sector                                        |         |         |       |         |       |         |         |         |
| Exports (goods and services)                           | 19.0    | 19.2    | 17.9  | 19.0    | 18.2  | 17.8    | 17.6    | 17.4    |
| Imports (goods and services)                           | 32.9    | 31.8    | 33.6  | 30.9    | 33.9  | 31.5    | 30.0    | 29.5    |
| Current account balance (including grants)             | -8.9    | -8.1    | -11.0 | -7.3    | -10.7 | -8.6    | -7.2    | -6.9    |
| Gross international reserves                           |         |         |       |         |       |         |         |         |
| In billions of US\$                                    | 8.6     | 7.8     | 7.1   | 8.7     | 7.3   | 7.9     | 8.8     | 9.9     |
| In months of next year imports                         | 4.9     | 4.3     | 3.8   | 4.3     | 3.8   | 3.9     | 4.0     | 4.1     |
| Memorandum items:                                      |         |         |       |         |       |         |         |         |
| GDP at current market prices                           |         |         |       |         |       |         |         |         |
| Billion of Kenyan shillings                            | 5,044   | 5,713   | 5,723 | 6,512   | 6,502 | 7,390   | 8,390   | 9,489   |
| US\$ billion                                           | 58.0    | 63.9    | 62.2  | 70.9    | 66.1  | 72.8    | 81.0    | 89.8    |
| GDP per capita (nominal US\$)                          | 1,368   | 1,468   | 1,429 | 1,586   | 1,479 | 1,587   | 1,721   | 1,859   |

Sources: Kenyan authorities and IMF staff estimates and projections.

<sup>1</sup> Fiscal years are from July 1 to June 30.<sup>2</sup> Excluding food and fuel.<sup>3</sup> Excludes guaranteed debt and other contingent liabilities.



Table 1b. Kenya: Selected Economic Indicators, 2014–2019

|                                                        | 2014  |       | 2015  |       | 2016  |       | 2017  | 2018  | 2019   |
|--------------------------------------------------------|-------|-------|-------|-------|-------|-------|-------|-------|--------|
|                                                        | Prog. | Act.  | Prog. | Proj. | Prog. | Proj. |       | Proj. |        |
| (Annual percentage change, unless otherwise indicated) |       |       |       |       |       |       |       |       |        |
| Output, prices, and exchange rate                      |       |       |       |       |       |       |       |       |        |
| Real GDP                                               | 5.3   | 5.3   | 6.9   | 6.5   | 7.2   | 6.8   | 7.0   | 7.0   | 7.0    |
| GDP deflator                                           | 6.7   | 7.5   | 6.6   | 6.7   | 6.5   | 6.3   | 6.3   | 5.9   | 5.5    |
| CPI (period average)                                   | 6.9   | 6.9   | 5.2   | 6.4   | 5.3   | 5.9   | 5.1   | 5.0   | 5.0    |
| CPI (end of period)                                    | 6.0   | 6.0   | 5.4   | 6.4   | 5.1   | 5.3   | 5.0   | 5.0   | 5.0    |
| Core inflation ( period average) <sup>1</sup>          | 6.1   | 6.1   | 5.0   | 3.1   | 5.3   | 5.6   | 5.1   | 5.0   | 5.0    |
| Exports volume                                         | 3.3   | 5.8   | 9.4   | 7.1   | 10.0  | 4.1   | 8.5   | 8.6   | 8.3    |
| Imports volume                                         | 8.0   | 6.5   | 14.4  | 12.9  | 10.1  | 6.1   | 1.4   | 5.8   | 7.0    |
| Exchange rate (Kenyan shilling/US\$)                   | 90.6  | 87.8  | .     | .     | .     | .     | .     | .     | .      |
| Real effective exchange rate (depreciation, -)         | .     | 5.7   | .     | .     | .     | .     | .     | .     | .      |
| Money and credit                                       |       |       |       |       |       |       |       |       |        |
| Broad money (M3)                                       | 16.0  | 16.7  | 15.1  | 15.7  | 17.2  | 15.7  | 19.1  | 16.0  | 14.7   |
| Reserve money                                          | 7.2   | 18.4  | 19.1  | 13.7  | 16.0  | 13.5  | 16.5  | 14.2  | 12.7   |
| Credit to non-government sector                        | 21.8  | 22.2  | 19.1  | 13.3  | 12.8  | 14.0  | 13.0  | 14.3  | 14.3   |
| Policy rate                                            | 8.5   | 8.5   | .     | .     | .     | .     | .     | .     | .      |
| M3/GDP (percent)                                       | 43.3  | 43.5  | 43.8  | 44.3  | 45.0  | 45.1  | 47.2  | 48.3  | 49.1   |
| NPLs (percent of total gross loans)                    | .     | 5.4   | .     | .     | .     | .     | .     | .     | .      |
| (Percent of GDP, unless otherwise indicated)           |       |       |       |       |       |       |       |       |        |
| Central government budget                              |       |       |       |       |       |       |       |       |        |
| Total revenue and grants                               | 20.5  | 19.6  | 21.5  | 20.3  | 22.2  | 21.3  | 21.5  | 21.7  | 21.9   |
| Tax revenues                                           | 17.4  | 16.8  | 18.3  | 17.4  | 19.1  | 18.2  | 18.5  | 18.6  | 18.8   |
| Non-tax revenues                                       | 2.6   | 2.3   | 2.7   | 2.4   | 2.8   | 2.7   | 2.7   | 2.7   | 2.7    |
| Grants                                                 | 0.5   | 0.5   | 0.5   | 0.5   | 0.4   | 0.4   | 0.4   | 0.4   | 0.3    |
| Expenditure                                            | 27.2  | 26.8  | 29.1  | 28.5  | 28.6  | 28.7  | 27.6  | 26.9  | 26.5   |
| Current                                                | 19.5  | 19.1  | 19.5  | 19.3  | 19.2  | 19.4  | 18.9  | 18.6  | 18.3   |
| Capital                                                | 7.6   | 7.6   | 9.4   | 9.1   | 9.1   | 9.2   | 8.7   | 8.3   | 8.2    |
| Unidentified measures                                  | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.3   | 0.8   | 0.9   | 0.7    |
| Primary balance                                        | -4.3  | -4.5  | -5.1  | -5.4  | -3.8  | -4.4  | -2.7  | -1.8  | -1.8   |
| Excluding SGR related spending                         | -5.0  | -3.4  | -3.7  | -3.4  | -1.7  | -2.9  | -2.2  | -1.4  | -1.7   |
| Overall balance                                        | -6.7  | -7.2  | -7.6  | -8.2  | -6.3  | -7.1  | -5.3  | -4.3  | -4.2   |
| Excluding SGR related spending                         | -7.4  | -6.1  | -6.2  | -6.2  | -4.2  | -5.6  | -4.8  | -3.9  | -4.0   |
| Excluding grants                                       | -7.2  | -7.7  | -8.1  | -8.7  | -6.7  | -7.5  | -5.7  | -4.7  | -4.5   |
| Net domestic borrowing                                 | 2.8   | 2.8   | 3.8   | 3.9   | 2.7   | 3.1   | 2.4   | 1.8   | 1.4    |
| Public debt <sup>2</sup>                               |       |       |       |       |       |       |       |       |        |
| Public gross nominal debt                              | 48.4  | 49.2  | 50.3  | 52.2  | 50.6  | 53.4  | 53.0  | 51.8  | 50.5   |
| Public net nominal debt                                | 44.7  | 45.5  | 47.6  | 49.5  | 48.5  | 51.3  | 51.0  | 49.8  | 48.5   |
| of which : external public debt                        | 22.4  | 23.2  | 24.2  | 25.9  | 25.3  | 27.4  | 27.6  | 27.4  | 27.2   |
| Public gross debt, PV                                  | 44.2  | 46.7  | 45.5  | 47.7  | 45.7  | 48.0  | 47.3  | 46.0  | 44.4   |
| Public net debt, PV                                    | 40.5  | 43.0  | 42.8  | 45.0  | 43.6  | 45.9  | 45.3  | 44.0  | 42.5   |
| Gross domestic debt                                    | 26.0  | 26.0  | 26.1  | 26.3  | 25.3  | 26.0  | 25.4  | 24.4  | 23.3   |
| Investment and saving <sup>3</sup>                     |       |       |       |       |       |       |       |       |        |
| Investment                                             | 22.7  | 22.2  | 24.4  | 24.9  | 24.3  | 25.5  | 25.3  | 25.0  | 25.0   |
| General government                                     | 7.7   | 8.5   | 9.5   | 10.2  | 9.1   | 10.6  | 10.3  | 10.0  | 9.9    |
| Nongovernment                                          | 15.0  | 13.6  | 15.0  | 14.7  | 15.2  | 15.0  | 15.0  | 15.0  | 15.1   |
| Saving                                                 | 14.1  | 11.8  | 17.2  | 15.1  | 17.1  | 15.9  | 17.9  | 18.1  | 18.2   |
| General government                                     | 0.5   | 1.6   | 1.5   | 2.1   | 2.6   | 3.4   | 4.7   | 5.4   | 5.6    |
| Nongovernment                                          | 13.6  | 10.2  | 15.7  | 13.0  | 14.6  | 12.4  | 13.2  | 12.7  | 12.6   |
| External sector                                        |       |       |       |       |       |       |       |       |        |
| Exports (goods and services)                           | 19.3  | 18.2  | 19.1  | 18.3  | 19.0  | 17.9  | 17.7  | 17.5  | 17.3   |
| Imports (goods and services)                           | -32.6 | -33.7 | -31.0 | -33.4 | -30.8 | -32.8 | -30.3 | -29.7 | -29.3  |
| Current account balance (including grants)             | -8.6  | -10.4 | -7.3  | -9.8  | -7.1  | -9.7  | -7.4  | -6.9  | -6.8   |
| Gross international reserves                           |       |       |       |       |       |       |       |       |        |
| In billions of US\$                                    | 8.0   | 7.9   | 8.4   | 7.5   | 9.2   | 7.6   | 8.2   | 9.2   | 10.3   |
| In months of next year imports                         | 4.6   | 4.5   | 4.4   | 4.0   | 4.4   | 3.9   | 3.9   | 4.0   | 4.1    |
| Memorandum items:                                      |       |       |       |       |       |       |       |       |        |
| GDP at current market prices                           |       |       |       |       |       |       |       |       |        |
| Billion of Kenyan shillings                            | 5,343 | 5,358 | 6,084 | 6,088 | 6,941 | 6,915 | 7,865 | 8,916 | 10,063 |
| US\$ billion                                           | 60.9  | 61.0  | 66.9  | 63.3  | 74.8  | 68.9  | 76.8  | 85.3  | 94.3   |
| GDP per capita (nominal US\$)                          | 1,418 | 1,422 | 1,519 | 1,436 | 1,654 | 1,522 | 1,653 | 1,789 | 1,929  |

Sources: Kenyan authorities and IMF staff estimates and projections.

<sup>1</sup> Excluding food and fuel.<sup>2</sup> Excludes guaranteed debt and other contingent liabilities.

## KENYA

**Table 2a. Kenya: Central Government Financial Operations, 2013/14–2018/19<sup>1</sup>**

|                                                                                             | 2013/14        | 2014/15        |                | 2015/16        |                | 2016/17        | 2017/18        | 2018/19        |
|---------------------------------------------------------------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
|                                                                                             | Act.           | Prog.          | Prelim.        | Prog.          | Proj.          | Proj.          | Proj.          | Proj.          |
| <i>(in billions of Kenyan Shillings, unless otherwise indicated)</i>                        |                |                |                |                |                |                |                |                |
| <b>Revenues and grants</b>                                                                  | <b>1,001.4</b> | <b>1,205.7</b> | <b>1,111.6</b> | <b>1,420.3</b> | <b>1,372.7</b> | <b>1,584.9</b> | <b>1,815.7</b> | <b>2,073.3</b> |
| <b>Revenue</b>                                                                              | <b>974.4</b>   | <b>1,175.3</b> | <b>1,082.4</b> | <b>1,392.6</b> | <b>1,345.1</b> | <b>1,555.0</b> | <b>1,782.8</b> | <b>2,038.2</b> |
| Tax revenue                                                                                 | 851.8          | 1,021.3        | 959.4          | 1,216.4        | 1,171.1        | 1,357.5        | 1,555.5        | 1,777.6        |
| Income tax                                                                                  | 449.6          | 541.1          | 508.6          | 647.0          | 614.8          | 711.5          | 825.9          | 949.3          |
| Import duty (net)                                                                           | 67.6           | 70.2           | 74.0           | 70.3           | 86.0           | 94.0           | 103.2          | 113.4          |
| Excise duty                                                                                 | 102.0          | 120.6          | 115.9          | 142.4          | 153.5          | 183.4          | 208.6          | 237.2          |
| Value-added tax                                                                             | 232.6          | 289.4          | 260.9          | 356.7          | 316.9          | 368.6          | 417.8          | 477.7          |
| Nontax revenue                                                                              | 122.6          | 154.0          | 123.0          | 176.1          | 174.0          | 197.5          | 227.2          | 260.5          |
| Investment income                                                                           | 10.2           | 18.6           | 13.5           | 21.2           | 21.1           | 24.0           | 27.2           | 30.8           |
| Other                                                                                       | 57.0           | 64.5           | 57.6           | 73.5           | 70.4           | 80.9           | 92.7           | 106.4          |
| Ministerial and Departmental Fees (AIA)                                                     | 35.7           | 48.0           | 33.5           | 58.5           | 58.5           | 66.5           | 75.5           | 85.4           |
| Railway Levy                                                                                | 19.7           | 22.9           | 18.4           | 23.0           | 24.0           | 26.2           | 31.8           | 37.9           |
| <b>Grants</b>                                                                               | <b>27.0</b>    | <b>30.5</b>    | <b>29.2</b>    | <b>27.7</b>    | <b>27.6</b>    | <b>29.9</b>    | <b>33.0</b>    | <b>35.1</b>    |
| Project grants                                                                              | 21.7           | 23.2           | 24.2           | 20.4           | 19.9           | 22.6           | 25.7           | 29.0           |
| Program grants                                                                              | 4.7            | 6.1            | 3.8            | 6.1            | 6.4            | 6.1            | 6.1            | 6.1            |
| <b>Expenditure and net lending</b>                                                          | <b>1,297.8</b> | <b>1,637.5</b> | <b>1,595.1</b> | <b>1,918.0</b> | <b>1,889.6</b> | <b>2,087.4</b> | <b>2,269.8</b> | <b>2,544.4</b> |
| <b>Recurrent expenditure</b>                                                                | <b>978.4</b>   | <b>1,124.4</b> | <b>1,075.9</b> | <b>1,272.8</b> | <b>1,268.0</b> | <b>1,402.2</b> | <b>1,552.8</b> | <b>1,739.0</b> |
| Transfer to counties                                                                        | 169.4          | 229.3          | 229.3          | 245.5          | 264.2          | 288.8          | 318.7          | 360.0          |
| Interest payments                                                                           | 132.0          | 141.8          | 151.4          | 164.0          | 176.3          | 198.5          | 213.5          | 227.9          |
| Domestic interest                                                                           | 119.2          | 122.9          | 122.1          | 132.1          | 131.5          | 138.1          | 142.6          | 147.0          |
| Foreign interest due                                                                        | 12.8           | 18.9           | 29.3           | 31.9           | 44.8           | 60.4           | 70.9           | 80.9           |
| Wages and benefits (civil service)                                                          | 281.2          | 303.3          | 298.0          | 330.2          | 328.7          | 349.4          | 388.4          | 428.8          |
| Pensions, etc.                                                                              | 30.2           | 43.6           | 38.2           | 58.2           | 43.4           | 53.8           | 64.3           | 77.0           |
| Defense and NSIS                                                                            | 93.8           | 114.0          | 93.7           | 132.0          | 112.5          | 123.3          | 140.0          | 161.3          |
| Other                                                                                       | 248.0          | 283.0          | 264.3          | 331.9          | 337.2          | 388.4          | 428.0          | 484.0          |
| of which: Social Spending                                                                   | --             | 53.3           | 53.3           | 68.3           | 68.1           | 83.9           | 106.3          | 120.7          |
| <b>Development and net lending</b>                                                          | <b>319.3</b>   | <b>513.1</b>   | <b>513.8</b>   | <b>645.2</b>   | <b>608.6</b>   | <b>673.3</b>   | <b>704.4</b>   | <b>792.6</b>   |
| Domestically financed                                                                       | 198.5          | 288.0          | 269.3          | 333.2          | 353.7          | 394.8          | 468.1          | 514.6          |
| Foreign financed                                                                            | 118.6          | 222.2          | 242.4          | 309.1          | 247.7          | 276.1          | 233.4          | 274.8          |
| of which: SGR project                                                                       | 0.0            | 80.1           | 123.5          | 140.1          | 118.2          | 83.9           | 0.0            | 0.0            |
| Net lending                                                                                 | 2.2            | 2.9            | 2.1            | 3.0            | 7.2            | 2.5            | 2.8            | 3.2            |
| <b>Overall balance excluding measures (cash basis, including adjustments to cash basis)</b> | <b>-309.1</b>  | <b>-431.8</b>  | <b>-466.6</b>  | <b>-497.8</b>  | <b>-516.9</b>  | <b>-502.5</b>  | <b>-454.1</b>  | <b>-471.1</b>  |
| <b>Unidentified measures (deficit reducing)</b>                                             | <b>0.0</b>     | <b>0.0</b>     | <b>0.0</b>     | <b>0.0</b>     | <b>0.0</b>     | <b>47.0</b>    | <b>79.0</b>    | <b>81.5</b>    |
| <b>Overall balance (cash basis, including grants)</b>                                       | <b>-309.1</b>  | <b>-431.8</b>  | <b>-466.6</b>  | <b>-497.8</b>  | <b>-516.9</b>  | <b>-455.5</b>  | <b>-375.1</b>  | <b>-389.6</b>  |
| <b>Overall balance excluding SGR related expenditure</b>                                    | <b>-309.1</b>  | <b>-351.7</b>  | <b>-343.1</b>  | <b>-357.7</b>  | <b>-398.7</b>  | <b>-371.6</b>  | <b>-375.1</b>  | <b>-389.6</b>  |
| <i>Statistical discrepancy</i>                                                              | <b>0.0</b>     | <b>0.0</b>     | <b>7.8</b>     | <b>0.0</b>     | <b>0.0</b>     | <b>0.0</b>     | <b>0.0</b>     | <b>0.0</b>     |
| <b>Financing</b>                                                                            | <b>309.1</b>   | <b>431.8</b>   | <b>466.6</b>   | <b>497.8</b>   | <b>516.9</b>   | <b>455.5</b>   | <b>375.1</b>   | <b>389.6</b>   |
| Net foreign financing                                                                       | 247.1          | 185.9          | 215.1          | 286.7          | 273.1          | 254.3          | 205.2          | 246.1          |
| Disbursements                                                                               | 272.9          | 267.4          | 297.0          | 335.2          | 307.8          | 304.8          | 265.4          | 358.1          |
| Project loans                                                                               | 96.9           | 119.0          | 94.7           | 148.6          | 109.6          | 169.5          | 207.7          | 245.8          |
| Program loans                                                                               | 0.0            | 0.0            | 3.5            | 0.0            | 8.2            | 0.0            | 0.0            | 0.0            |
| Commercial borrowing <sup>2</sup>                                                           | 176.0          | 68.3           | 75.3           | 46.5           | 71.8           | 51.4           | 57.7           | 112.3          |
| Standard Gauge Railway loan from China                                                      | 0.0            | 80.1           | 123.5          | 140.1          | 118.2          | 83.9           | 0.0            | 0.0            |
| Repayments due                                                                              | -25.8          | -81.5          | -81.9          | -48.5          | -34.7          | -50.5          | -60.2          | -112.1         |
| Change in arrears                                                                           | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            |
| Net domestic financing                                                                      | 62.0           | 245.9          | 251.5          | 211.1          | 243.8          | 201.2          | 169.9          | 143.5          |
| <i>Memorandum items:</i>                                                                    |                |                |                |                |                |                |                |                |
| Nominal GDP                                                                                 | 5,044.2        | 5713.4         | 5,722.9        | 6,512.3        | 6,501.5        | 7,390.0        | 8,390.5        | 9,489.5        |
| Primary balance incl. grants                                                                | (177.2)        | (290.0)        | (315.2)        | (333.8)        | (340.6)        | (257.0)        | (161.6)        | (161.7)        |
| Primary balance excluding SGR expenditure (incl. grants)                                    | (177.2)        | (209.9)        | (191.7)        | (193.7)        | (222.4)        | (173.1)        | (161.6)        | (161.7)        |
| Total gross public debt, gross                                                              | 2377.6         | 2846.3         | 2932.9         | 3311.3         | 3455.5         | 3961.2         | 4397.1         | 4853.2         |
| of which: external debt <sup>3</sup>                                                        | 1093.3         | 1327.6         | 1411.6         | 1641.5         | 1761.2         | 2051.6         | 2298.9         | 2592.0         |
| of which: domestic debt                                                                     | 1284.3         | 1518.7         | 1521.3         | 1669.9         | 1694.3         | 1909.6         | 2098.2         | 2261.2         |
| Total net public debt <sup>4</sup>                                                          | 2172.1         | 2652.3         | 2738.9         | 3177.3         | 3318.6         | 3810.2         | 4227.4         | 4664.1         |
| Government deposits                                                                         | 205.5          | 194.0          | 194.0          | 134.1          | 136.8          | 150.9          | 169.7          | 189.1          |

Sources: Kenyan authorities and IMF staff estimates and projections.

<sup>1</sup> Fiscal year runs from July to June.<sup>2</sup> Includes proceeds from (i) syndicated loans, (ii) US\$2.0bn Eurobond, and (iii) planned sovereign bonds.<sup>3</sup> External debt excludes guarantees.<sup>4</sup> Total net debt in 2013/14 includes proceeds from US\$2.0bn Eurobond.

**Table 2b. Kenya: Central Government Financial Operations, 2013/14–2018/19<sup>1</sup>**

|                                                                                             | 2013/14     |             | 2014/15     |             | 2015/16     |             | 2016/17     | 2017/18     | 2018/19 |
|---------------------------------------------------------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|---------|
|                                                                                             | Act.        | Prog.       | Prelim.     | Prog.       | Proj.       | Proj.       | Proj.       | Proj.       | Proj.   |
| <i>(in percent of GDP, unless otherwise indicated)</i>                                      |             |             |             |             |             |             |             |             |         |
| <b>Revenues and grants</b>                                                                  | <b>19.9</b> | <b>21.1</b> | <b>19.4</b> | <b>21.8</b> | <b>21.1</b> | <b>21.4</b> | <b>21.6</b> | <b>21.8</b> |         |
| <b>Revenue</b>                                                                              | <b>19.3</b> | <b>20.6</b> | <b>18.9</b> | <b>21.4</b> | <b>20.7</b> | <b>21.0</b> | <b>21.2</b> | <b>21.5</b> |         |
| Tax revenue                                                                                 | 16.9        | 17.9        | 16.8        | 18.7        | 18.0        | 18.4        | 18.5        | 18.7        |         |
| Income tax                                                                                  | 8.9         | 9.5         | 8.9         | 9.9         | 9.5         | 9.6         | 9.8         | 10.0        |         |
| Import duty (net)                                                                           | 1.3         | 1.2         | 1.3         | 1.1         | 1.3         | 1.3         | 1.2         | 1.2         |         |
| Excise duty                                                                                 | 2.0         | 2.1         | 2.0         | 2.2         | 2.4         | 2.5         | 2.5         | 2.5         |         |
| Value-added tax                                                                             | 4.6         | 5.1         | 4.6         | 5.5         | 4.9         | 5.0         | 5.0         | 5.0         |         |
| Nontax revenue                                                                              | 2.4         | 2.7         | 2.1         | 2.7         | 2.7         | 2.7         | 2.7         | 2.7         |         |
| Investment income                                                                           | 0.2         | 0.3         | 0.2         | 0.3         | 0.3         | 0.3         | 0.3         | 0.3         |         |
| Other                                                                                       | 1.1         | 1.1         | 1.0         | 1.1         | 1.1         | 1.1         | 1.1         | 1.1         |         |
| Ministerial and Departmental Fees (AIA)                                                     | 0.7         | 0.8         | 0.6         | 0.9         | 0.9         | 0.9         | 0.9         | 0.9         |         |
| Railway Levy                                                                                | 0.4         | 0.4         | 0.3         | 0.4         | 0.4         | 0.4         | 0.4         | 0.4         |         |
| <b>Grants</b>                                                                               | <b>0.5</b>  | <b>0.5</b>  | <b>0.5</b>  | <b>0.4</b>  | <b>0.4</b>  | <b>0.4</b>  | <b>0.4</b>  | <b>0.4</b>  |         |
| Project grants                                                                              | 0.4         | 0.4         | 0.4         | 0.3         | 0.3         | 0.3         | 0.3         | 0.3         |         |
| Program grants                                                                              | 0.1         | 0.1         | 0.1         | 0.1         | 0.1         | 0.1         | 0.1         | 0.1         |         |
| <b>Expenditure and net lending</b>                                                          | <b>25.7</b> | <b>28.7</b> | <b>27.9</b> | <b>29.5</b> | <b>29.1</b> | <b>28.2</b> | <b>27.1</b> | <b>26.8</b> |         |
| <b>Recurrent expenditure</b>                                                                | <b>19.4</b> | <b>19.7</b> | <b>18.8</b> | <b>19.5</b> | <b>19.5</b> | <b>19.0</b> | <b>18.5</b> | <b>18.3</b> |         |
| Transfer to counties                                                                        | 3.4         | 4.0         | 4.0         | 3.8         | 4.1         | 3.9         | 3.8         | 3.8         |         |
| Interest payments                                                                           | 2.6         | 2.5         | 2.6         | 2.5         | 2.7         | 2.7         | 2.5         | 2.4         |         |
| Domestic interest                                                                           | 2.4         | 2.2         | 2.1         | 2.0         | 2.0         | 1.9         | 1.7         | 1.5         |         |
| Foreign interest due                                                                        | 0.3         | 0.3         | 0.5         | 0.5         | 0.7         | 0.8         | 0.8         | 0.9         |         |
| Wages and benefits (civil service)                                                          | 5.6         | 5.3         | 5.2         | 5.1         | 5.1         | 4.7         | 4.6         | 4.5         |         |
| Pensions, etc.                                                                              | 0.6         | 0.8         | 0.7         | 0.9         | 0.7         | 0.7         | 0.8         | 0.8         |         |
| Defense and NSIS                                                                            | 1.9         | 2.0         | 1.6         | 2.0         | 1.7         | 1.7         | 1.7         | 1.7         |         |
| Other                                                                                       | 4.9         | 5.0         | 4.6         | 5.1         | 5.2         | 5.3         | 5.1         | 5.1         |         |
| of which: Social Spending                                                                   | --          | 0.9         | 0.9         | 1.0         | 1.0         | 1.1         | 1.3         | 1.3         |         |
| <b>Development and net lending</b>                                                          | <b>6.3</b>  | <b>9.0</b>  | <b>9.0</b>  | <b>9.9</b>  | <b>9.4</b>  | <b>9.1</b>  | <b>8.4</b>  | <b>8.4</b>  |         |
| Domestically financed                                                                       | 3.9         | 5.0         | 4.7         | 5.1         | 5.4         | 5.3         | 5.6         | 5.4         |         |
| Foreign financed                                                                            | 2.4         | 3.9         | 4.2         | 4.7         | 3.8         | 3.7         | 2.8         | 2.9         |         |
| of which: SGR project                                                                       | 0.0         | 1.4         | 2.2         | 2.2         | 1.8         | 1.1         | 0.0         | 0.0         |         |
| Net lending                                                                                 | 0.0         | 0.1         | 0.0         | 0.0         | 0.1         | 0.0         | 0.0         | 0.0         |         |
| <b>Overall balance excluding measures (cash basis, including Adjustments to cash basis)</b> | <b>-6.1</b> | <b>-7.6</b> | <b>-8.2</b> | <b>-7.6</b> | <b>-8.0</b> | <b>-6.8</b> | <b>-5.4</b> | <b>-5.0</b> |         |
| <b>Unidentified measures (deficit reducing)</b>                                             | <b>0.0</b>  | <b>0.0</b>  | <b>0.0</b>  | <b>0.0</b>  | <b>0.0</b>  | <b>0.6</b>  | <b>0.9</b>  | <b>0.9</b>  |         |
| <b>Overall balance (cash basis, including grants)</b>                                       | <b>-6.1</b> | <b>-7.6</b> | <b>-8.2</b> | <b>-7.6</b> | <b>-8.0</b> | <b>-6.2</b> | <b>-4.5</b> | <b>-4.1</b> |         |
| <b>Overall balance excluding SGR related expenditure</b>                                    | <b>-6.1</b> | <b>-6.2</b> | <b>-6.0</b> | <b>-5.5</b> | <b>-6.1</b> | <b>-5.0</b> | <b>-4.5</b> | <b>-4.1</b> |         |
| <i>Statistical discrepancy</i>                                                              | <b>0.0</b>  | <b>0.0</b>  | <b>0.1</b>  | <b>0.0</b>  | <b>0.0</b>  | <b>0.0</b>  | <b>0.0</b>  | <b>0.0</b>  |         |
| <b>Financing</b>                                                                            | <b>6.1</b>  | <b>7.6</b>  | <b>8.2</b>  | <b>7.6</b>  | <b>8.0</b>  | <b>6.2</b>  | <b>4.5</b>  | <b>4.1</b>  |         |
| Net foreign financing                                                                       | 4.9         | 3.3         | 3.8         | 4.4         | 4.2         | 3.4         | 2.4         | 2.6         |         |
| Disbursements                                                                               | 5.4         | 4.7         | 5.2         | 5.1         | 4.7         | 4.1         | 3.2         | 3.8         |         |
| Project loans                                                                               | 1.9         | 2.1         | 1.7         | 2.3         | 1.7         | 2.3         | 2.5         | 2.6         |         |
| Program loans                                                                               | 0.0         | 0.0         | 0.1         | 0.0         | 0.1         | 0.0         | 0.0         | 0.0         |         |
| Commercial borrowing <sup>2</sup>                                                           | 3.5         | 1.2         | 1.3         | 0.7         | 1.1         | 0.7         | 0.7         | 1.2         |         |
| Standard Gauge Railway loan from China                                                      | 0.0         | 1.4         | 2.2         | 2.2         | 1.8         | 1.1         | 0.0         | 0.0         |         |
| Repayments due                                                                              | -0.5        | -1.4        | -1.4        | -0.7        | -0.5        | -0.7        | -0.7        | -1.2        |         |
| Change in arrears                                                                           | 0.0         | 0.0         | 0.0         | 0.0         | 0.0         | 0.0         | 0.0         | 0.0         |         |
| Net domestic financing                                                                      | 1.2         | 4.3         | 4.4         | 3.2         | 3.8         | 2.7         | 2.0         | 1.5         |         |
| <i>Memorandum items:</i>                                                                    |             |             |             |             |             |             |             |             |         |
| Primary balance incl. grants (Central government)                                           | -3.5        | -5.1        | -5.5        | -5.1        | -5.2        | -3.5        | -1.9        | -1.7        |         |
| Primary balance excluding SGR expenditure (incl. grants)                                    | -3.5        | -3.7        | -3.3        | -3.0        | -3.4        | -2.3        | -1.9        | -1.7        |         |
| Total gross public debt, gross                                                              | 47.1        | 49.8        | 51.2        | 50.8        | 53.1        | 53.6        | 52.4        | 51.1        |         |
| of which: external debt <sup>3</sup>                                                        | 21.7        | 23.2        | 24.7        | 25.2        | 27.1        | 27.8        | 27.4        | 27.3        |         |
| of which: domestic debt                                                                     | 25.5        | 26.6        | 26.6        | 25.6        | 26.1        | 25.8        | 25.0        | 23.8        |         |
| Total gross public debt, PV                                                                 | 46.2        | 44.9        | 47.2        | 45.6        | 48.3        | 47.7        | 46.6        | 45.2        |         |
| Total net public debt <sup>4</sup>                                                          | 43.1        | 46.4        | 47.9        | 48.8        | 51.0        | 51.6        | 50.4        | 49.2        |         |
| Government deposits (in months of domestically financed expe                                | 2.1         | 1.6         | 1.7         | 1.0         | 1.0         | 1.0         | 1.0         | 1.0         |         |

Sources: Kenyan authorities and IMF staff estimates and projections.

<sup>1</sup> Fiscal year runs from July to June.

<sup>2</sup> Includes proceeds from (i) syndicated loans, (ii) US\$2.0bn Eurobond, and (iii) planned sovereign bonds.

<sup>3</sup> External debt excludes guarantees.

<sup>4</sup> Total net debt in 2013/14 includes proceeds from US\$2.0bn Eurobond.

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**Table 2c. Kenya: General Government, 2013/14–2018/19<sup>1</sup>**

|                                                               | 2013/14 | 2014/15 | 2015/16 | 2016/17 | 2017/18 | 2018/19 |         |         |
|---------------------------------------------------------------|---------|---------|---------|---------|---------|---------|---------|---------|
|                                                               | Act.    | Prog.   | Prelim. | Prog.   | Proj    | Proj    | Proj    | Proj    |
| (in billions of Kenyan Shillings, unless otherwise indicated) |         |         |         |         |         |         |         |         |
| Revenues and grants                                           | 1,027.7 | 1,235.2 | 1,141.1 | 1,454.3 | 1,406.7 | 1,624.6 | 1,863.6 | 2,128.2 |
| Central Government revenues and grants                        | 1,001.4 | 1,205.7 | 1,111.6 | 1,420.3 | 1,372.7 | 1,584.9 | 1,815.7 | 2,073.3 |
| Tax revenue                                                   | 851.8   | 1,021.3 | 959.4   | 1,216.4 | 1,171.1 | 1,357.5 | 1,555.5 | 1,777.6 |
| Income tax                                                    | 449.6   | 541.1   | 508.6   | 647.0   | 614.8   | 711.5   | 825.9   | 949.3   |
| Import duty (net)                                             | 67.6    | 70.2    | 74.0    | 70.3    | 86.0    | 94.0    | 103.2   | 113.4   |
| Excise duty                                                   | 102.0   | 120.6   | 115.9   | 142.4   | 153.5   | 183.4   | 208.6   | 237.2   |
| Value-added tax                                               | 232.6   | 289.4   | 260.9   | 356.7   | 316.9   | 368.6   | 417.8   | 477.7   |
| Nontax revenue                                                | 122.6   | 154.0   | 123.0   | 176.1   | 174.0   | 197.5   | 227.2   | 260.5   |
| Grants                                                        | 27.0    | 30.5    | 29.2    | 27.7    | 27.6    | 29.9    | 33.0    | 35.1    |
| County revenues and grants                                    | 26.3    | 29.5    | 29.5    | 34.0    | 34.0    | 39.7    | 47.9    | 54.9    |
| Local revenue (Property tax, Single Business Permits, etc...) | 26.3    | 29.5    | 29.5    | 34.0    | 34.0    | 39.7    | 47.9    | 54.9    |
| Expenditure and net lending                                   | 1,273.8 | 1,648.9 | 1,606.5 | 1,955.6 | 1,908.5 | 2,131.6 | 2,336.0 | 2,630.5 |
| Recurrent expenditure                                         | 917.9   | 1,065.3 | 1,025.2 | 1,212.9 | 1,200.4 | 1,332.4 | 1,467.0 | 1,641.7 |
| Wages and salaries                                            | 373.2   | 410.1   | 404.8   | 452.6   | 451.0   | 485.9   | 532.0   | 590.8   |
| of which: counties                                            | 92.0    | 106.8   | 106.8   | 122.3   | 122.3   | 136.5   | 143.6   | 162.0   |
| Other                                                         | 544.7   | 655.1   | 620.4   | 760.3   | 749.3   | 846.4   | 935.0   | 1050.9  |
| of which: counties                                            | 40.8    | 71.8    | 71.8    | 74.2    | 74.2    | 82.5    | 89.3    | 100.7   |
| Development and net lending                                   | 355.9   | 575.2   | 575.9   | 731.7   | 695.1   | 787.3   | 856.4   | 976.0   |
| Domestically financed                                         | 235.1   | 350.1   | 331.4   | 419.7   | 440.2   | 508.8   | 620.1   | 698.0   |
| of which: counties                                            | 36.6    | 62.1    | 62.1    | 86.5    | 86.5    | 114.0   | 152.0   | 183.4   |
| Foreign financed                                              | 118.6   | 222.2   | 242.4   | 309.1   | 247.7   | 276.1   | 233.4   | 274.8   |
| Net lending                                                   | 2.2     | 2.9     | 2.1     | 3.0     | 7.2     | 2.5     | 2.8     | 3.2     |
| Other (equalization, contingencies, etc...)                   | 0.0     | 8.4     | 5.4     | 11.0    | 13.0    | 11.9    | 12.7    | 12.7    |
| Overall balance (cash basis, including grants)                | -246.1  | -413.7  | -465.4  | -501.3  | -501.8  | -460.0  | -393.4  | -420.8  |
| Overall balance excluding SGR related expenditure             | -246.1  | -284.6  | -341.9  | -435.2  | -383.6  | -376.1  | -393.4  | -420.8  |
| Memorandum items:                                             |         |         |         |         |         |         |         |         |
| Nominal GDP                                                   | 5,044.2 | 5713.4  | 5,722.9 | 6,512.3 | 6,501.5 | 7,390.0 | 8,390.5 | 9,489.5 |
| Central government balance (cash basis, including grants)     | -309.1  | -431.8  | -466.6  | -497.8  | -516.9  | -455.5  | -375.1  | -389.6  |
| County government deposits                                    | 50.3    | 82.5    | 82.5    | 86.5    | 105.2   | 104.2   | 98.9    | 93.3    |
| in months of county expenditures                              | 3.6     | 4.4     | 4.4     | 3.8     | 4.6     | 3.8     | 3.2     | 2.7     |

Sources: Kenyan authorities and IMF staff estimates and projections.

<sup>1</sup> Preliminary IMF staff estimates. General government includes central government and county government, and excludes extra budgetary funds (EBFs) and central government units with individual budgets for which regularly published data are not available.

**Table 2d. Kenya: General Government, 2013/14–2018/19<sup>1</sup>**

|                                                               | 2013/14      | 2014/15      |              | 2015/16      |              | 2016/17      | 2017/18      | 2018/19      |
|---------------------------------------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
|                                                               | Act.         | Prog.        | Prelim.      | Prog.        | Proj         | Proj         | Proj         | Proj         |
| (in percent of GDP, unless otherwise indicated)               |              |              |              |              |              |              |              |              |
| <b>Revenues and grants</b>                                    | <b>20.4</b>  | <b>21.6</b>  | <b>19.9</b>  | <b>22.3</b>  | <b>21.6</b>  | <b>22.0</b>  | <b>22.2</b>  | <b>22.4</b>  |
| <b>Central Government revenues and grants</b>                 | <b>19.9</b>  | <b>21.1</b>  | <b>19.4</b>  | <b>21.8</b>  | <b>21.1</b>  | <b>21.4</b>  | <b>21.6</b>  | <b>21.8</b>  |
| Tax revenue                                                   | 16.9         | 17.9         | 16.8         | 18.7         | 18.0         | 18.4         | 18.5         | 18.7         |
| Nontax revenue                                                | 2.4          | 2.7          | 2.1          | 2.7          | 2.7          | 2.7          | 2.7          | 2.7          |
| Grants                                                        | 0.5          | 0.5          | 0.5          | 0.4          | 0.4          | 0.4          | 0.4          | 0.4          |
| <b>County revenues and grants</b>                             | <b>0.5</b>   | <b>0.5</b>   | <b>0.5</b>   | <b>0.5</b>   | <b>0.5</b>   | <b>0.5</b>   | <b>0.6</b>   | <b>0.6</b>   |
| Local revenue (Property tax, Single Business Permits, etc...) | 0.5          | 0.5          | 0.5          | 0.5          | 0.5          | 0.5          | 0.6          | 0.6          |
| <b>Expenditure and net lending</b>                            | <b>25.3</b>  | <b>28.9</b>  | <b>28.1</b>  | <b>30.0</b>  | <b>29.4</b>  | <b>28.8</b>  | <b>27.8</b>  | <b>27.7</b>  |
| <b>Recurrent expenditure</b>                                  | <b>18.2</b>  | <b>18.6</b>  | <b>17.9</b>  | <b>18.6</b>  | <b>18.5</b>  | <b>18.0</b>  | <b>17.5</b>  | <b>17.3</b>  |
| Wages and salaries                                            | 7.4          | 7.2          | 7.1          | 6.9          | 6.9          | 6.6          | 6.3          | 6.2          |
| of which: counties                                            | 1.8          | 1.9          | 1.9          | 1.9          | 1.9          | 1.8          | 1.7          | 1.7          |
| Other                                                         | 10.8         | 11.5         | 10.8         | 11.7         | 11.5         | 11.5         | 11.1         | 11.1         |
| of which: counties                                            | 0.8          | 1.3          | 1.3          | 1.1          | 1.1          | 1.1          | 1.1          | 1.1          |
| <b>Development and net lending</b>                            | <b>7.1</b>   | <b>10.1</b>  | <b>10.1</b>  | <b>11.2</b>  | <b>10.7</b>  | <b>10.7</b>  | <b>10.2</b>  | <b>10.3</b>  |
| Domestically financed                                         | 4.7          | 6.1          | 5.8          | 6.4          | 6.8          | 6.9          | 7.4          | 7.4          |
| of which: counties                                            | 0.7          | 1.1          | 1.1          | 1.3          | 1.3          | 1.5          | 1.8          | 1.9          |
| Foreign financed                                              | 2.4          | 3.9          | 4.2          | 4.7          | 3.8          | 3.7          | 2.8          | 2.9          |
| Net lending                                                   | 0.0          | 0.1          | 0.0          | 0.0          | 0.1          | 0.0          | 0.0          | 0.0          |
| <b>Overall balance (cash basis, including grants)</b>         | <b>(4.9)</b> | <b>(7.2)</b> | <b>(8.1)</b> | <b>(7.7)</b> | <b>(7.7)</b> | <b>(6.2)</b> | <b>(4.7)</b> | <b>(4.4)</b> |
| <b>Overall balance excluding SGR related expenditure</b>      | <b>(4.9)</b> | <b>(5.0)</b> | <b>(5.9)</b> | <b>(6.7)</b> | <b>(6.7)</b> | <b>(5.6)</b> | <b>(4.2)</b> | <b>(4.2)</b> |
| <i>Memorandum items:</i>                                      |              |              |              |              |              |              |              |              |
| Central government balance (cash basis, including grants)     | (6.1)        | (7.6)        | (8.2)        | (7.6)        | (8.0)        | (6.2)        | (4.5)        | (4.1)        |
| County government deposits                                    | 1.0          | 1.4          | 1.4          | 1.3          | 1.6          | 1.4          | 1.2          | 1.0          |
| in months of county expenditures                              | 3.6          | 4.4          | 4.4          | 3.8          | 4.6          | 3.8          | 3.2          | 2.7          |

Sources: Kenyan authorities and IMF staff estimates and projections.

<sup>1</sup> Preliminary IMF staff estimates. General government includes central government and county government, and excludes extra budgetary funds (EBFs) and central government units with individual budgets for which regularly published data are not available.

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Table 3a. Kenya: Monetary Survey, June 2014–December 2015

|                                                                                                                                                 | Jun-14  |          | Dec-14   |          | Mar-15   |         | Jun-15   |         | Sep-15   |         | Dec-15   |          |
|-------------------------------------------------------------------------------------------------------------------------------------------------|---------|----------|----------|----------|----------|---------|----------|---------|----------|---------|----------|----------|
|                                                                                                                                                 | Act.    | Prog.    | Act.     |          | Prog.    | Prelim. | Prog.    | Proj.   | Prog.    | Proj.   | Prog.    | Proj.    |
| (In billions of Kenyan shillings, unless otherwise indicated)                                                                                   |         |          |          |          |          |         |          |         |          |         |          |          |
| <b>Central Bank of Kenya (CBK)</b>                                                                                                              |         |          |          |          |          |         |          |         |          |         |          |          |
| Net foreign assets                                                                                                                              | 615.4   | 573.7    | 588.8    | 572.4    | 569.6    |         | 562.5    | 562.6   | 567.7    | 537.5   | 616.6    | 597.9    |
| (in millions of US dollars) <sup>1 2</sup>                                                                                                      | 7,023.2 | 6,425    | 6,505.9  | 6,410.9  | 6,169.1  |         | 6,301    | 5,703.3 | 6,359    | 5,449.4 | 6,907    | 6,061.5  |
| Net domestic assets                                                                                                                             | -291.7  | -229.8   | -209.1   | -222.0   | -223.3   |         | -202.2   | -209.5  | -193.1   | -159.9  | -207.0   | -166.3   |
| Net domestic credit                                                                                                                             | -176.1  | -129.8   | -98.2    | -132.0   | -103.9   |         | -117.2   | -72.0   | -113.1   | -22.4   | -77.0    | -28.9    |
| Government (net)                                                                                                                                | -176.1  | -101.4   | -92.0    | -77.7    | -61.3    |         | -60.0    | -70.7   | -50.0    | -52.0   | -100.0   | -70.0    |
| Commercial banks (net)                                                                                                                          | 0.0     | -30.9    | -6.1     | -56.8    | -42.6    |         | -59.7    | -1.3    | -65.6    | 27.1    | 20.5     | 38.6     |
| Other items (net)                                                                                                                               | -115.6  | -100.0   | -110.9   | -90.0    | -119.5   |         | -85.0    | -137.5  | -80.0    | -137.5  | -130.0   | -137.5   |
| Reserve money                                                                                                                                   | 323.7   | 343.8    | 379.7    | 350.4    | 346.3    |         | 360.3    | 353.1   | 374.6    | 377.7   | 409.7    | 431.6    |
| Currency outside banks                                                                                                                          | 158.2   | 153.1    | 173.2    | 164.2    | 171.3    |         | 176.4    | 174.1   | 170.7    | 174.8   | 190.1    | 209.0    |
| Bank reserves                                                                                                                                   | 165.6   | 190.7    | 206.5    | 186.2    | 175.0    |         | 184.0    | 179.0   | 203.9    | 202.9   | 219.5    | 222.6    |
| <b>Banks</b>                                                                                                                                    |         |          |          |          |          |         |          |         |          |         |          |          |
| Net foreign assets                                                                                                                              | -86.0   | -114.7   | -109.1   | -123.6   | -107.6   |         | -132.5   | -96.3   | -134.8   | -96.3   | -137.0   | -98.8    |
| (in millions of US dollars)                                                                                                                     | -981.4  | -1,284.4 | -1,206.0 | -1,384.4 | -1,165.5 |         | -1,484.4 | -976.6  | -1,509.4 | -976.6  | -1,534.4 | -1,001.6 |
| Reserves                                                                                                                                        | 165.6   | 190.7    | 206.5    | 186.2    | 175.0    |         | 184.0    | 179.0   | 203.9    | 202.9   | 219.5    | 222.6    |
| Credit to CBK                                                                                                                                   | 0.0     | 30.9     | 6.1      | 56.8     | 42.6     |         | 59.7     | 1.3     | 65.6     | -27.1   | -20.5    | -38.6    |
| Net domestic assets                                                                                                                             | 1,881.5 | 2,012.1  | 2,026.6  | 2,071.0  | 2,089.8  |         | 2,132.3  | 2,177.6 | 2,264.3  | 2,307.4 | 2,377.4  | 2,387.7  |
| Net domestic credit                                                                                                                             | 2,215.2 | 2,199.0  | 2,400.5  | 2,260.4  | 2,501.9  |         | 2,324.2  | 2,559.3 | 2,465.9  | 2,689.1 | 2,588.7  | 2,769.5  |
| Government (net)                                                                                                                                | 459.1   | 273.1    | 471.3    | 273.1    | 531.0    |         | 250.9    | 548.4   | 284.7    | 600.3   | 304.3    | 594.8    |
| Other public sector                                                                                                                             | 40.0    | 51.0     | 48.4     | 51.0     | 43.8     |         | 51.0     | 43.8    | 51.0     | 43.8    | 51.0     | 43.8     |
| Private sector                                                                                                                                  | 1,716.1 | 1,874.9  | 1,880.8  | 1,936.3  | 1,927.1  |         | 2,022.3  | 1,967.2 | 2,130.2  | 2,045.0 | 2,233.4  | 2,130.9  |
| Other items (net)                                                                                                                               | -333.7  | -186.9   | -374.0   | -189.4   | -412.2   |         | -191.9   | -381.8  | -201.6   | -381.8  | -211.3   | -381.8   |
| Total deposits                                                                                                                                  | 1,961.1 | 2,119.1  | 2,130.0  | 2,190.3  | 2,199.7  |         | 2,243.4  | 2,261.5 | 2,399.1  | 2,386.8 | 2,439.4  | 2,472.8  |
| <b>Monetary survey</b>                                                                                                                          |         |          |          |          |          |         |          |         |          |         |          |          |
| Net foreign assets                                                                                                                              | 529.4   | 459.0    | 479.7    | 448.8    | 462.0    |         | 430.0    | 466.2   | 433.0    | 441.2   | 479.6    | 499.1    |
| (in millions of US dollars)                                                                                                                     | 6,041.8 | 5,141.0  | 5,300.0  | 5,026.5  | 5,003.6  |         | 4,816.3  | 4,726.7 | 4,849.5  | 4,472.8 | 5,372.3  | 5,059.9  |
| Net domestic assets                                                                                                                             | 1,622.7 | 1,856.1  | 1,850.3  | 1,944.2  | 1,936.8  |         | 2,021.0  | 1,998.2 | 2,188.1  | 2,159.8 | 2,185.4  | 2,195.6  |
| Net domestic credit                                                                                                                             | 2,041.7 | 2,100.1  | 2,311.0  | 2,185.2  | 2,443.2  |         | 2,266.7  | 2,491.1 | 2,418.4  | 2,639.6 | 2,491.2  | 2,702.0  |
| Government (net)                                                                                                                                | 283.1   | 171.7    | 379.3    | 195.4    | 469.7    |         | 190.9    | 477.7   | 234.7    | 548.3   | 204.3    | 524.8    |
| Other public sector                                                                                                                             | 40.0    | 51.0     | 48.4     | 51.0     | 43.8     |         | 51.0     | 43.8    | 51.0     | 43.8    | 51.0     | 43.8     |
| Private                                                                                                                                         | 1,718.6 | 1,877.4  | 1,883.3  | 1,938.8  | 1,929.6  |         | 2,024.8  | 1,969.7 | 2,132.7  | 2,047.5 | 2,235.9  | 2,133.4  |
| Other items (net)                                                                                                                               | -419.0  | -244.0   | -460.7   | -241.0   | -506.4   |         | -245.7   | -492.9  | -230.4   | -479.8  | -305.8   | -506.3   |
| M1                                                                                                                                              | 913.0   | 928.5    | 936.4    | 959.8    | 971.3    |         | 983.0    | 999.7   | 1,051.2  | 1,055.1 | 1,068.9  | 1,093.1  |
| Money and quasi-money (M2)                                                                                                                      | 1,838.1 | 1,946.6  | 1,981.9  | 2,012.1  | 2,046.8  |         | 2,060.8  | 2,087.2 | 2,203.8  | 2,202.8 | 2,240.9  | 2,282.2  |
| M2 plus resident foreign currency deposits (M3)                                                                                                 | 2,152.1 | 2,315.1  | 2,330.0  | 2,393.0  | 2,398.8  |         | 2,450.9  | 2,464.5 | 2,621.0  | 2,601.0 | 2,665.1  | 2,694.7  |
| M3 plus nonbank holdings of government debt (L)                                                                                                 | 2,718.3 | 3,105.0  | 2,949.1  | 3,209.5  | 3,034.6  |         | 3,287.2  | 3,098.4 | 3,515.4  | 3,270.1 | 3,574.4  | 3,387.9  |
| <b>Memorandum items</b>                                                                                                                         |         |          |          |          |          |         |          |         |          |         |          |          |
| (Annual percent change unless otherwise specified)                                                                                              |         |          |          |          |          |         |          |         |          |         |          |          |
| M2                                                                                                                                              | 18.8    | 16.5     | 18.6     | 14.4     | 16.4     |         | 12.1     | 13.6    | 16.4     | 16.3    | 15.1     | 15.2     |
| M3                                                                                                                                              | 18.2    | 16.0     | 16.7     | 16.1     | 16.4     |         | 13.9     | 14.5    | 16.4     | 15.5    | 15.1     | 15.7     |
| Deposits                                                                                                                                        | 18.6    | 17.6     | 18.2     | 16.8     | 17.3     |         | 14.4     | 15.3    | 16.4     | 15.8    | 15.1     | 16.1     |
| Reserve money                                                                                                                                   | 12.6    | 7.2      | 18.4     | 13.1     | 11.8     |         | 11.3     | 9.1     | 16.1     | 17.0    | 19.1     | 13.7     |
| Net domestic credit                                                                                                                             | 14.5    | 6.1      | 16.8     | 4.2      | 16.5     |         | 11.0     | 22.0    | 14.7     | 16.9    | 18.6     | 16.9     |
| Government (net)                                                                                                                                | -25.4   | -56.8    | -4.5     | -56.6    | 4.4      |         | -32.6    | 68.8    | -6.5     | 37.1    | 19.0     | 38.4     |
| Private                                                                                                                                         | 25.7    | 21.8     | 22.2     | 20.2     | 19.6     |         | 17.8     | 14.6    | 18.0     | 13.3    | 19.1     | 13.3     |
| Net domestic assets of the banking sector                                                                                                       | 11.2    | 15.4     | 15.0     | 15.1     | 14.6     |         | 24.5     | 23.1    | 21.2     | 19.6    | 17.7     | 18.7     |
| NDA growth (as percent of the base period M3)                                                                                                   | 7.2     | 9.8      | 9.6      | 9.8      | 9.5      |         | 14.7     | 13.8    | 12.7     | 12.3    | 10.6     | 11.7     |
| Multiplier (Average M2/RM)                                                                                                                      | 5.5     | 5.7      | 5.6      | 5.7      | 5.7      |         | 5.7      | 5.7     | 5.8      | 5.7     | 5.7      | 5.7      |
| Multiplier (Average M3/RM)                                                                                                                      | 6.5     | 6.8      | 6.6      | 6.8      | 6.7      |         | 6.8      | 6.7     | 6.8      | 6.7     | 6.8      | 6.7      |
| Velocity (GDP/M3)                                                                                                                               | 2.5     | 2.4      | 2.4      | 2.4      | 2.4      |         | 2.4      | 2.4     | 2.4      | 2.4     | 2.4      | 2.4      |
| Velocity (GDP/M2)                                                                                                                               | 2.9     | 2.9      | 2.9      | 2.9      | 2.9      |         | 2.9      | 2.9     | 2.9      | 2.8     | 2.9      | 2.8      |
| Nominal GDP growth                                                                                                                              | 12.2    | 12.3     | 13.3     | 12.7     | 13.4     |         | 13.1     | 13.5    | 13.5     | 13.5    | 13.9     | 13.6     |
| Sources: Kenyan authorities and IMF staff estimates and projections.                                                                            |         |          |          |          |          |         |          |         |          |         |          |          |
| <sup>1</sup> For historical data, at implicit CBK exchange rate.                                                                                |         |          |          |          |          |         |          |         |          |         |          |          |
| <sup>2</sup> Starting in June 2014, it includes government deposits abroad on account of the Eurobond issuance, as an asset and as a liability. |         |          |          |          |          |         |          |         |          |         |          |          |

**Table 3b. Kenya: Monetary Survey, 2013/14-2018/19**

|                                                               | 2013/2014 | 2014/2015 | 2015/2016 | 2016/2017 | 2017/2018 | 2018/2019 |
|---------------------------------------------------------------|-----------|-----------|-----------|-----------|-----------|-----------|
|                                                               | Act.      | Prog.     | Prelim.   | Prog.     | Proj.     | Proj.     |
| (In billions of Kenyan shillings, unless otherwise indicated) |           |           |           |           |           |           |
| <b>Central Bank of Kenya (CBK)</b>                            |           |           |           |           |           |           |
| Net foreign assets                                            | 615.4     | 562.5     | 562.6     | 643.9     | 581.2     | 721.2     |
| (in millions of US dollars) <sup>1 2</sup>                    | 7,023.2   | 6,300.7   | 5,703.3   | 7,212.0   | 5,892.1   | 7,311.4   |
| Net domestic assets                                           | -291.7    | -202.2    | -209.5    | -230.0    | -172.5    | -245.7    |
| Net domestic credit                                           | -176.1    | -117.2    | -72.0     | -130.0    | -19.9     | -77.5     |
| Government (net)                                              | -176.1    | -60.0     | -70.7     | -60.0     | -90.0     | -100.0    |
| Commercial banks (net)                                        | 0.0       | -59.7     | -1.3      | -72.5     | 67.6      | 20.0      |
| Other items (net)                                             | -115.6    | -85.0     | -137.5    | -100.0    | -152.5    | -168.2    |
| Reserve money                                                 | 323.7     | 360.3     | 353.1     | 413.9     | 408.7     | 475.5     |
| Currency outside banks                                        | 158.2     | 176.4     | 174.1     | 172.1     | 170.2     | 193.9     |
| Bank reserves                                                 | 165.6     | 184.0     | 179.0     | 241.9     | 238.5     | 281.6     |
| <b>Banks</b>                                                  |           |           |           |           |           |           |
| Net foreign assets                                            | -86.0     | -132.5    | -96.3     | -141.5    | -103.7    | -113.6    |
| (in millions of US dollars)                                   | -981.4    | -1,484.4  | -976.6    | -1,584.4  | -1,051.6  | -1,151.6  |
| Reserves                                                      | 165.6     | 184.0     | 179.0     | 241.9     | 238.5     | 281.6     |
| Credit to CBK                                                 | 0.0       | 59.7      | 1.3       | 72.5      | -67.6     | -20.0     |
| Net domestic assets                                           | 1,881.5   | 2,132.3   | 2,177.6   | 2,514.4   | 2,583.2   | 2,980.8   |
| Net domestic credit                                           | 2,215.2   | 2,324.2   | 2,559.3   | 2,745.1   | 2,965.0   | 3,362.5   |
| Government (net)                                              | 459.1     | 250.9     | 548.4     | 356.5     | 669.2     | 769.8     |
| Other public sector                                           | 40.0      | 51.0      | 43.8      | 51.0      | 43.8      | 43.8      |
| Private sector                                                | 1,716.1   | 2,022.3   | 1,967.2   | 2,337.6   | 2,252.1   | 2,549.0   |
| Other items (net)                                             | -333.7    | -191.9    | -381.8    | -230.7    | -381.8    | -381.8    |
| Total deposits                                                | 1,961.1   | 2,243.4   | 2,261.5   | 2,687.3   | 2,650.5   | 3,128.7   |
| <b>Monetary survey</b>                                        |           |           |           |           |           |           |
| Net foreign assets                                            | 529.4     | 430.0     | 466.2     | 502.4     | 477.5     | 607.6     |
| (in millions of US dollars)                                   | 6,041.8   | 4,816.3   | 4,726.7   | 5,627.6   | 4,840.5   | 6,159.8   |
| Net domestic assets                                           | 1,622.7   | 2,021.0   | 1,998.2   | 2,433.4   | 2,410.9   | 2,801.9   |
| Net domestic credit                                           | 2,041.7   | 2,266.7   | 2,491.1   | 2,687.6   | 2,877.5   | 3,265.0   |
| Government (net)                                              | 283.1     | 190.9     | 477.7     | 296.5     | 579.2     | 669.8     |
| Other public sector                                           | 40.0      | 51.0      | 43.8      | 51.0      | 43.8      | 43.8      |
| Private                                                       | 1,718.6   | 2,024.8   | 1,969.7   | 2,340.1   | 2,254.6   | 2,551.5   |
| Other items (net)                                             | -419.0    | -245.7    | -492.9    | -254.2    | -466.6    | -463.1    |
| M1                                                            | 913.0     | 983.0     | 999.7     | 1,177.5   | 1,171.6   | 1,383.0   |
| Money and quasi-money (M2)                                    | 1,838.1   | 2,060.8   | 2,087.2   | 2,468.5   | 2,446.2   | 2,887.6   |
| M2 plus resident foreign currency deposits (M3)               | 2,152.1   | 2,450.9   | 2,464.5   | 2,935.9   | 2,888.3   | 3,409.5   |
| M3 plus nonbank holdings of government debt (L)               | 2,718.3   | 3,287.2   | 3,098.4   | 3,937.6   | 3,631.3   | 4,286.6   |
| <b>Memorandum items</b>                                       |           |           |           |           |           |           |
| (annual percent change unless otherwise specified)            |           |           |           |           |           |           |
| M2                                                            | 18.8      | 12.1      | 13.6      | 19.8      | 17.2      | 18.0      |
| M3                                                            | 18.2      | 13.9      | 14.5      | 19.8      | 17.2      | 18.0      |
| Deposits                                                      | 18.6      | 14.4      | 15.3      | 19.8      | 17.2      | 18.0      |
| Reserve money                                                 | 12.6      | 11.3      | 9.1       | 14.9      | 15.8      | 16.3      |
| Net domestic credit                                           | 14.5      | 11.0      | 22.0      | 18.6      | 15.5      | 13.5      |
| Government (net)                                              | -25.4     | -32.6     | 68.8      | 55.3      | 21.3      | 15.6      |
| Private                                                       | 25.7      | 17.8      | 14.6      | 15.6      | 14.5      | 13.2      |
| Net domestic assets of the banking sector                     | 11.2      | 24.5      | 23.1      | 20.4      | 20.6      | 16.2      |
| NDA growth (as percent of the base period M3)                 | 7.2       | 14.7      | 13.8      | 12.5      | 13.3      | 10.8      |
| Multiplier (Average M3/RM)                                    | 6.5       | 6.8       | 6.7       | 6.9       | 6.8       | 6.9       |
| Velocity (GDP/M3)                                             | 2.5       | 2.4       | 2.4       | 2.4       | 2.4       | 2.3       |
| (as percent of GDP)                                           |           |           |           |           |           |           |
| M2                                                            | 36.4      | 36.1      | 36.5      | 37.9      | 37.6      | 39.1      |
| M3                                                            | 42.6      | 42.9      | 43.1      | 45.1      | 44.4      | 46.1      |
| Deposits                                                      | 38.8      | 39.3      | 39.5      | 41.3      | 40.8      | 42.3      |
| Reserve money                                                 | 6.4       | 6.3       | 6.2       | 6.4       | 6.3       | 6.4       |
| Net domestic credit                                           | 40.4      | 39.7      | 43.5      | 41.3      | 44.3      | 44.2      |
| Government (net)                                              | 5.6       | 3.3       | 8.3       | 4.6       | 8.9       | 9.1       |
| Private                                                       | 34.0      | 35.4      | 34.4      | 35.9      | 34.7      | 34.5      |

Sources: Kenyan authorities and IMF staff estimates and projections.

<sup>1</sup> For historical data, at implicit CBK exchange rate.

<sup>2</sup> Starting in June 2014, it includes government deposits abroad on account of the Eurobond issuance, as an asset and as a liability.

## KENYA

Table 3c. Kenya: Monetary Survey, 2014-2019

|                                                               | 2014     |          | 2015     |          | 2016     |          | 2017     | 2018     | 2019     |
|---------------------------------------------------------------|----------|----------|----------|----------|----------|----------|----------|----------|----------|
|                                                               | Prog.    | Act.     | Prog.    | Proj.    | Prog.    | Proj.    | Proj.    | Proj.    | Proj.    |
| (In billions of Kenyan shillings, unless otherwise indicated) |          |          |          |          |          |          |          |          |          |
| <b>Central Bank of Kenya (CBK)</b>                            |          |          |          |          |          |          |          |          |          |
| Net foreign assets                                            | 573.7    | 588.8    | 616.6    | 597.9    | 691.5    | 619.7    | 824.5    | 948.9    | 1,068.7  |
| (in millions of US dollars) <sup>12</sup>                     | 6,425.4  | 6,505.9  | 6,906.7  | 6,061.5  | 7,745.9  | 6,282.1  | 8,359.1  | 9,619.4  | 10,834.1 |
| Net domestic assets                                           | -229.8   | -209.1   | -207.0   | -166.3   | -216.5   | -129.7   | -253.7   | -296.7   | -333.8   |
| Net domestic credit                                           | -129.8   | -98.2    | -77.0    | -28.9    | -116.5   | 22.8     | -85.5    | -108.4   | -122.4   |
| Government (net)                                              | -101.4   | -92.0    | -100.0   | -70.0    | -80.0    | -90.0    | -100.0   | -100.0   | -100.0   |
| Commercial banks (net)                                        | -30.9    | -6.1     | 20.5     | 38.6     | -39.0    | 110.3    | 12.0     | -10.9    | -24.9    |
| Other items (net)                                             | -100.0   | -110.9   | -130.0   | -137.5   | -100.0   | -152.5   | -168.2   | -188.3   | -211.4   |
| Reserve money                                                 | 343.8    | 379.7    | 409.7    | 431.6    | 475.0    | 490.0    | 570.8    | 652.1    | 734.9    |
| Currency outside banks                                        | 153.1    | 173.2    | 190.1    | 209.0    | 217.7    | 232.5    | 264.1    | 296.2    | 326.8    |
| Bank reserves                                                 | 190.7    | 206.5    | 219.5    | 222.6    | 257.3    | 257.5    | 306.7    | 355.9    | 408.1    |
| <b>Banks</b>                                                  |          |          |          |          |          |          |          |          |          |
| Net foreign assets                                            | -114.7   | -109.1   | -137.0   | -98.8    | -145.9   | -108.7   | -118.5   | -128.4   | -138.3   |
| (in millions of US dollars)                                   | -1,284.4 | -1,206.0 | -1,534.4 | -1,001.6 | -1,634.4 | -1,101.6 | -1,201.6 | -1,301.6 | -1,401.6 |
| Reserves                                                      | 190.7    | 206.5    | 219.5    | 222.6    | 257.3    | 257.5    | 306.7    | 355.9    | 408.1    |
| Credit to CBK                                                 | 30.9     | 6.1      | -20.5    | -38.6    | 39.0     | -110.3   | -12.0    | 10.9     | 24.9     |
| Net domestic assets                                           | 2,012.1  | 2,026.6  | 2,377.4  | 2,387.7  | 2,708.4  | 2,822.3  | 3,231.8  | 3,716.3  | 4,239.7  |
| Net domestic credit                                           | 2,199.0  | 2,400.5  | 2,588.7  | 2,769.5  | 2,958.5  | 3,204.0  | 3,613.5  | 4,098.1  | 4,621.5  |
| Government (net)                                              | 273.1    | 471.3    | 304.3    | 594.8    | 388.1    | 731.3    | 825.7    | 918.8    | 994.1    |
| Other public sector                                           | 51.0     | 48.4     | 51.0     | 43.8     | 51.0     | 43.8     | 43.8     | 43.8     | 43.8     |
| Private sector                                                | 1,874.9  | 1,880.8  | 2,233.4  | 2,130.9  | 2,519.3  | 2,429.0  | 2,744.0  | 3,135.5  | 3,583.7  |
| Other items (net)                                             | -186.9   | -374.0   | -211.3   | -381.8   | -250.1   | -381.8   | -381.8   | -381.8   | -381.8   |
| Total deposits                                                | 2,119.1  | 2,130.0  | 2,439.4  | 2,472.8  | 2,858.8  | 2,860.8  | 3,408.0  | 3,954.8  | 4,534.5  |
| <b>Monetary survey</b>                                        |          |          |          |          |          |          |          |          |          |
| Net foreign assets                                            | 459.0    | 479.7    | 479.6    | 499.1    | 545.6    | 511.0    | 706.0    | 820.5    | 930.4    |
| (in millions of US dollars)                                   | 5,141.0  | 5,300.0  | 5,372.3  | 5,059.9  | 6,111.5  | 5,180.6  | 7,157.5  | 8,317.9  | 9,432.5  |
| Net domestic assets                                           | 1,856.1  | 1,850.3  | 2,185.4  | 2,195.6  | 2,577.6  | 2,606.5  | 3,007.8  | 3,489.2  | 4,011.0  |
| Net domestic credit                                           | 2,100.1  | 2,311.0  | 2,491.2  | 2,702.0  | 2,881.0  | 3,116.5  | 3,516.0  | 4,000.6  | 4,524.0  |
| Government (net)                                              | 171.7    | 379.3    | 204.3    | 524.8    | 308.1    | 641.3    | 725.7    | 818.8    | 894.1    |
| Other public sector                                           | 51.0     | 48.4     | 51.0     | 43.8     | 51.0     | 43.8     | 43.8     | 43.8     | 43.8     |
| Private                                                       | 1,877.4  | 1,883.3  | 2,235.9  | 2,133.4  | 2,521.8  | 2,431.5  | 2,746.5  | 3,138.0  | 3,586.2  |
| Other items (net)                                             | -244.0   | -460.7   | -305.8   | -506.3   | -303.4   | -510.1   | -508.2   | -511.4   | -513.0   |
| M1                                                            | 928.5    | 936.4    | 1,068.9  | 1,093.1  | 1,252.7  | 1,264.6  | 1,506.5  | 1,748.2  | 2,004.5  |
| Money and quasi-money (M2)                                    | 1,946.6  | 1,981.9  | 2,240.9  | 2,282.2  | 2,626.1  | 2,640.2  | 3,145.3  | 3,649.9  | 4,185.0  |
| M2 plus resident foreign currency deposits (M3)               | 2,315.1  | 2,330.0  | 2,665.1  | 2,694.7  | 3,123.3  | 3,117.5  | 3,713.8  | 4,309.7  | 4,941.4  |
| M3 plus nonbank holdings of government debt (L)               | 3,105.0  | 2,949.1  | 3,574.4  | 3,387.9  | 4,189.0  | 3,919.4  | 4,669.2  | 5,418.3  | 6,212.6  |
| <b>Memorandum items</b>                                       |          |          |          |          |          |          |          |          |          |
| (Annual percent change unless otherwise specified)            |          |          |          |          |          |          |          |          |          |
| M2                                                            | 16.5     | 18.6     | 15.1     | 15.2     | 17.2     | 15.7     | 19.1     | 16.0     | 14.7     |
| M3                                                            | 16.0     | 16.7     | 15.1     | 15.7     | 17.2     | 15.7     | 19.1     | 16.0     | 14.7     |
| Deposits                                                      | 17.6     | 18.2     | 15.1     | 16.1     | 17.2     | 15.7     | 19.1     | 16.0     | 14.7     |
| Reserve money                                                 | 7.2      | 18.4     | 19.1     | 13.7     | 16.0     | 13.5     | 16.5     | 14.2     | 12.7     |
| Net domestic credit                                           | 6.1      | 16.8     | 18.6     | 16.9     | 15.6     | 15.3     | 12.8     | 13.8     | 13.1     |
| Government (net)                                              | -56.8    | -4.5     | 19.0     | 38.4     | 50.8     | 22.2     | 13.2     | 12.8     | 9.2      |
| Private                                                       | 21.8     | 22.2     | 19.1     | 13.3     | 12.8     | 14.0     | 13.0     | 14.3     | 14.3     |
| Net domestic assets of the banking sector                     | 15.4     | 15.0     | 17.7     | 18.7     | 17.9     | 18.7     | 15.4     | 16.0     | 15.0     |
| NDA growth (as percent of the base period M3)                 | 9.8      | 9.6      | 10.6     | 11.7     | 11.0     | 12.1     | 10.2     | 10.3     | 9.6      |
| Multiplier (Average M3/RM)                                    | 6.8      | 6.6      | 6.8      | 6.7      | 6.9      | 6.8      | 6.9      | 7.0      | 7.1      |
| Velocity (GDP/M3)                                             | 2.4      | 2.4      | 2.4      | 2.4      | 2.3      | 2.3      | 2.3      | 2.2      | 2.2      |
| (as percent of GDP)                                           |          |          |          |          |          |          |          |          |          |
| M2                                                            | 36.4     | 37.0     | 36.8     | 37.5     | 37.8     | 38.2     | 40.0     | 40.9     | 41.6     |
| M3                                                            | 43.3     | 43.5     | 43.8     | 44.3     | 45.0     | 45.1     | 47.2     | 48.3     | 49.1     |
| Deposits                                                      | 39.7     | 39.8     | 40.1     | 40.6     | 41.2     | 41.4     | 43.3     | 44.4     | 45.1     |
| Reserve money                                                 | 6.4      | 7.1      | 6.7      | 7.1      | 6.8      | 7.1      | 7.3      | 7.3      | 7.3      |
| Net domestic credit                                           | 39.3     | 43.1     | 40.9     | 44.4     | 41.5     | 45.1     | 44.7     | 44.9     | 45.0     |
| Government (net)                                              | 3.2      | 7.1      | 3.4      | 8.6      | 4.4      | 9.3      | 9.2      | 9.2      | 8.9      |
| Private                                                       | 35.1     | 35.2     | 36.8     | 35.0     | 36.3     | 35.2     | 34.9     | 35.2     | 35.6     |

Sources: Kenyan authorities and IMF staff estimates and projections.

<sup>1</sup> For historical data, at implicit CBK exchange rate.<sup>2</sup> Starting in June 2014, it includes government deposits abroad on account of the Eurobond issuance, as an asset and as a liability.



**Table 4a. Kenya: Balance of Payments, 2013/14–2018/19**  
(in millions of U.S. dollars, unless otherwise indicated)

|                                                               | 2013/14          | 2014/15          |                  | 2015/16          |                  | 2016/17          | 2017/18          | 2018/19          |
|---------------------------------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
|                                                               | Act              | Prog.            | Prelim.          | Prog.            | Proj.            | Projections      |                  |                  |
| <b>Current account</b>                                        | <b>-5,128.6</b>  | <b>-5,056.3</b>  | <b>-6,570.7</b>  | <b>-5,097.7</b>  | <b>-6,889.0</b>  | <b>-6,154.0</b>  | <b>-5,798.6</b>  | <b>-6,146.9</b>  |
| Exports, f.o.b.                                               | 6,088.3          | 6,243.2          | 6,127.7          | 6,861.0          | 6,837.3          | 7,349.1          | 8,108.9          | 8,936.9          |
| Coffee                                                        | 205.8            | 235.7            | 226.3            | 235.2            | 169.3            | 197.4            | 219.7            | 237.5            |
| Tea                                                           | 1,101.4          | 1,142.5          | 1,138.6          | 1,321.7          | 1,390.5          | 1,571.3          | 1,710.3          | 1,881.2          |
| Horticulture                                                  | 785.6            | 798.6            | 782.0            | 873.0            | 784.5            | 884.5            | 962.7            | 1,050.4          |
| Imports, f.o.b.                                               | -16,489.1        | -17,592.5        | -17,954.1        | -18,856.1        | -19,284.2        | -19,656.9        | -20,823.5        | -22,699.9        |
| of which: SGR-related                                         | 0.0              | -250.0           | -570.0           | -625.0           | -1,282.5         | -997.5           | 0.0              | 0.0              |
| Oil                                                           | -3,743.9         | -3,609.6         | -3,218.3         | -3,349.7         | -3,081.2         | -3,129.7         | -3,540.9         | -3,937.6         |
| Other nongovernment                                           | -12,623.4        | -13,852.1        | -14,487.4        | -15,369.7        | -15,970.1        | -16,289.3        | -17,028.7        | -18,488.9        |
| Power generation-related machinery & aircraft                 | -783.3           | -1,211.7         | -1,819.6         | -938.2           | -1,295.0         | -1,123.5         | -1,194.2         | -1,209.4         |
| Other capital imports <sup>1</sup>                            | -3,835.1         | -4,615.0         | -4,443.7         | -5,586.0         | -5,477.0         | -5,653.3         | -5,707.7         | -6,145.0         |
| <b>Balance on goods</b>                                       | <b>-10,400.8</b> | <b>-11,349.4</b> | <b>-11,826.4</b> | <b>-11,995.1</b> | <b>-12,446.9</b> | <b>-12,307.8</b> | <b>-12,714.6</b> | <b>-13,763.0</b> |
| <b>Balance on services</b>                                    | <b>2,325.9</b>   | <b>3,304.4</b>   | <b>2,034.5</b>   | <b>3,568.5</b>   | <b>2,085.1</b>   | <b>2,347.8</b>   | <b>2,650.5</b>   | <b>2,892.2</b>   |
| Foreign travel credit                                         | 845.7            | 844.3            | 763.1            | 926.8            | 764.8            | 862.3            | 955.5            | 1,050.5          |
| <b>Balance on goods and services</b>                          | <b>-8,074.9</b>  | <b>-8,045.0</b>  | <b>-9,791.9</b>  | <b>-8,426.6</b>  | <b>-10,361.8</b> | <b>-9,960.0</b>  | <b>-10,064.2</b> | <b>-10,870.8</b> |
| Income (net)                                                  | -510.6           | -405.8           | -757.6           | -372.9           | -881.0           | -931.7           | -887.5           | -841.6           |
| Current transfers (net)                                       | 3,456.9          | 3,394.5          | 3,978.8          | 3,701.9          | 4,353.8          | 4,737.8          | 5,153.1          | 5,565.5          |
| Private (net)                                                 | 3,195.5          | 3,343.5          | 3,688.7          | 3,660.5          | 4,107.3          | 4,487.3          | 4,879.9          | 5,279.6          |
| of which: remittances                                         | 1,372.6          | 1,512.5          | 1,512.2          | 1,686.6          | 1,675.8          | 1,871.2          | 2,061.2          | 2,238.8          |
| <b>Capital and financial account</b>                          | <b>7,525.7</b>   | <b>4,417.7</b>   | <b>5,189.0</b>   | <b>6,072.6</b>   | <b>7,563.9</b>   | <b>7,186.1</b>   | <b>7,721.9</b>   | <b>7,323.0</b>   |
| <b>Capital account (incl. capital transfers)</b>              | <b>56.0</b>      | <b>259.7</b>     | <b>152.7</b>     | <b>230.4</b>     | <b>199.8</b>     | <b>222.6</b>     | <b>247.6</b>     | <b>274.4</b>     |
| <b>Financial account</b>                                      | <b>7,469.7</b>   | <b>4,158.0</b>   | <b>5,036.3</b>   | <b>5,842.2</b>   | <b>7,364.1</b>   | <b>6,963.6</b>   | <b>7,474.2</b>   | <b>7,048.6</b>   |
| Net FDI                                                       | 799.3            | 901.7            | 1,365.8          | 1,278.5          | 1,890.3          | 2,355.4          | 2,629.1          | 2,783.8          |
| In Kenya                                                      | 782.5            | 1,346.9          | 1,243.6          | 1,717.9          | 1,640.3          | 2,025.8          | 2,295.2          | 2,479.4          |
| Abroad                                                        | 16.7             | -445.2           | 122.2            | -439.3           | 249.9            | 329.6            | 333.9            | 304.5            |
| Net portfolio investment                                      | 2,562.5          | 922.4            | 1,417.4          | 730.6            | 1,388.7          | 911.9            | 1,597.6          | 1,922.9          |
| Liabilities                                                   | 2,609.2          | 977.2            | 1,473.9          | 785.4            | 1,448.7          | 976.1            | 1,664.0          | 1,990.5          |
| Assets                                                        | -46.8            | -54.8            | -56.5            | -54.8            | -60.1            | -64.2            | -66.4            | -67.6            |
| Net other investment                                          | 3,472.1          | 2,334.0          | 1,884.5          | 3,833.0          | 4,085.1          | 3,696.3          | 3,247.5          | 2,341.9          |
| Official, medium and long-term                                | 696.8            | 784.2            | 633.3            | 2,288.6          | 2,064.9          | 1,998.6          | 1,776.3          | 1,500.0          |
| Inflows                                                       | 1,119.3          | 1,847.4          | 1,676.9          | 2,714.9          | 2,393.4          | 2,349.8          | 2,192.2          | 2,043.9          |
| Outflows                                                      | -422.5           | -1,063.2         | -1,043.6         | -426.4           | -328.6           | -351.2           | -415.9           | -543.8           |
| Private, medium and long-term                                 | -373.0           | 560.2            | -363.3           | 911.9            | 1,576.7          | 697.7            | 459.1            | -245.4           |
| Energy financing                                              | 108.3            | 116.4            | 114.6            | 124.6            | 121.3            | 130.5            | 122.2            | 113.1            |
| Kenya Airways                                                 | 204.1            | 161.2            | 161.2            | -197.2           | -197.2           | -283.1           | -439.1           | -570.2           |
| Other                                                         | -685.4           | 282.6            | -639.1           | 984.5            | 1,652.6          | 850.3            | 776.0            | 211.7            |
| Short-term capital                                            | 3,148.3          | 989.7            | 1,614.5          | 632.5            | 443.6            | 1,000.0          | 1,012.1          | 1,087.3          |
| Errors and omissions                                          | 635.9            | 0.0              | 368.5            | 0.0              | 0.0              | 0.0              | 0.0              | 0.0              |
| <b>Overall balance</b>                                        | <b>2,397.1</b>   | <b>-638.5</b>    | <b>-1,381.7</b>  | <b>974.9</b>     | <b>674.9</b>     | <b>1,032.2</b>   | <b>1,923.3</b>   | <b>1,176.1</b>   |
| <b>Financing items</b>                                        | <b>-2,397.1</b>  | <b>638.5</b>     | <b>1,381.7</b>   | <b>-974.9</b>    | <b>-674.9</b>    | <b>-1,032.2</b>  | <b>-1,923.3</b>  | <b>-1,176.1</b>  |
| Reserve assets (gross)                                        | -2,465.5         | 714.9            | 1,456.5          | -880.0           | -579.9           | -891.5           | -1,765.0         | -1,047.4         |
| Use of Fund credit and loans to the Fund (net)                | 68.4             | -76.4            | -74.8            | -94.9            | -94.9            | -140.7           | -158.3           | -128.7           |
| Disbursements                                                 | 110.6            | 0.0              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0              |
| Repayments                                                    | -42.2            | -76.4            | -74.8            | -94.9            | -94.9            | -140.7           | -158.3           | -128.7           |
| <b>Memorandum items:</b>                                      |                  |                  |                  |                  |                  |                  |                  |                  |
| Gross official reserves (end of period) <sup>2</sup>          | 8,554.5          | 7,839.6          | 7,098.0          | 8,719.6          | 7,250.0          | 7,902.5          | 8,828.0          | 9,851.2          |
| (in months of following year's imports of goods and services) | 4.9              | 4.3              | 3.8              | 4.3              | 3.8              | 3.9              | 4.0              | 4.1              |
| (in months of 3-year-rolling average imports) <sup>3</sup>    | 5.6              | 4.9              | 4.4              | 5.1              | 4.2              | 4.3              | 4.6              | 4.8              |
| (in percent of M3)                                            | 39.7             | 32.0             | 27.8             | 29.7             | 25.1             | 23.5             | 22.3             | 21.6             |
| WEO oil price (APSP; US\$)                                    | 104.9            | 70.9             | 71.8             | 60.3             | 57.9             | 61.4             | 65.0             | 67.6             |

Sources: Kenyan authorities; and IMF staff estimates and projections.

<sup>1</sup> Includes oil exploration-related machinery and equipment.<sup>2</sup> Reserves at end-2013/14 include proceeds of US\$2 billion from the eurobond issuance completed in late June 2014.<sup>3</sup> CBK definition of reserve cover: in months of imports of goods and services over the previous 36 months (annualized rolling average).

KENYA

**Table 4b. Kenya: Balance of Payments, 2013/14–2018/19**  
(in percent of GDP)

|                                                  | 2012/13 | 2013/14 | 2014/15 | 2015/16 | 2016/17     | 2017/18 | 2018/19 |
|--------------------------------------------------|---------|---------|---------|---------|-------------|---------|---------|
|                                                  | Act.    | Act.    |         |         | Projections |         |         |
| <b>Current account</b>                           | -8.4    | -8.9    | -10.6   | -10.4   | -8.5        | -7.2    | -6.8    |
| Exports, f.o.b.                                  | 11.6    | 10.5    | 9.9     | 10.3    | 10.1        | 10.0    | 10.0    |
| Coffee                                           | 0.4     | 0.4     | 0.4     | 0.3     | 0.3         | 0.3     | 0.3     |
| Tea                                              | 2.5     | 1.9     | 1.8     | 2.1     | 2.2         | 2.1     | 2.1     |
| Horticulture                                     | 1.4     | 1.4     | 1.3     | 1.2     | 1.2         | 1.2     | 1.2     |
| Imports, f.o.b.                                  | -30.0   | -28.5   | -28.9   | -29.2   | -27.0       | -25.7   | -25.3   |
| of which: SGR-related                            | 0.0     | 0.0     | -0.9    | -1.9    | -1.4        | 0.0     | 0.0     |
| Oil                                              | -7.0    | -6.5    | -5.2    | -4.7    | -4.3        | -4.4    | -4.4    |
| Other nongovernment                              | -22.7   | -21.8   | -23.3   | -24.2   | -22.4       | -21.0   | -20.6   |
| Power generation-related machinery & aircraft    | -1.9    | -1.4    | -2.9    | -2.0    | -1.5        | -1.5    | -1.3    |
| Other capital imports 1/                         | -6.7    | -6.6    | -7.2    | -8.3    | -7.8        | -7.0    | -6.8    |
| <b>Balance on goods</b>                          | -18.3   | -18.0   | -19.0   | -18.8   | -16.9       | -15.7   | -15.3   |
| <b>Balance on services</b>                       | 4.8     | 4.0     | 3.3     | 3.2     | 3.2         | 3.3     | 3.2     |
| Foreign travel credit                            | 1.7     | 1.5     | 1.2     | 1.2     | 1.2         | 1.2     | 1.2     |
| <b>Balance on goods and services</b>             | -13.5   | -13.9   | -15.8   | -15.7   | -13.7       | -12.4   | -12.1   |
| Income (net)                                     | -0.5    | -0.9    | -1.2    | -1.3    | -1.3        | -1.1    | -0.9    |
| Current transfers (net)                          | 5.6     | 6.0     | 6.4     | 6.6     | 6.5         | 6.4     | 6.2     |
| Private (net)                                    | 5.3     | 5.5     | 5.9     | 6.2     | 6.2         | 6.0     | 5.9     |
| of which: remittances                            | 2.4     | 2.4     | 2.4     | 2.5     | 2.6         | 2.5     | 2.5     |
| <b>Capital and financial account</b>             | 9.5     | 13.0    | 8.4     | 11.4    | 9.9         | 9.5     | 8.2     |
| <b>Capital account (incl. capital transfers)</b> | 0.3     | 0.1     | 0.2     | 0.3     | 0.3         | 0.3     | 0.3     |
| <b>Financial account</b>                         | 9.3     | 12.9    | 8.1     | 11.1    | 9.6         | 9.2     | 7.9     |
| Net FDI                                          | 0.8     | 1.4     | 2.2     | 2.9     | 3.2         | 3.2     | 3.1     |
| In Kenya                                         | 0.7     | 1.4     | 2.0     | 2.5     | 2.8         | 2.8     | 2.8     |
| Abroad                                           | 0.0     | 0.0     | 0.2     | 0.4     | 0.5         | 0.4     | 0.3     |
| Net portfolio investment                         | 0.2     | 4.4     | 2.3     | 2.1     | 1.3         | 2.0     | 2.1     |
| Liabilities                                      | 0.3     | 4.5     | 2.4     | 2.2     | 1.3         | 2.1     | 2.2     |
| Assets                                           | -0.1    | -0.1    | -0.1    | -0.1    | -0.1        | -0.1    | -0.1    |
| Net other investment                             | 7.3     | 6.0     | 3.0     | 6.2     | 5.1         | 4.0     | 2.6     |
| Official, medium and long-term                   | 1.4     | 1.2     | 1.0     | 3.1     | 2.7         | 2.2     | 1.7     |
| Inflows                                          | 1.9     | 1.9     | 2.7     | 3.6     | 3.2         | 2.7     | 2.3     |
| Outflows                                         | -0.5    | -0.7    | -1.7    | -0.5    | -0.5        | -0.5    | -0.6    |
| Private, medium and long-term                    | 0.6     | -0.6    | -0.6    | 2.4     | 1.0         | 0.6     | -0.3    |
| Energy financing                                 | 0.2     | 0.2     | 0.2     | 0.2     | 0.2         | 0.2     | 0.1     |
| Kenya Airways                                    | 0.0     | 0.4     | 0.3     | -0.3    | -0.4        | -0.5    | -0.6    |
| Other                                            | 0.4     | -1.2    | -1.0    | 2.5     | 1.2         | 1.0     | 0.2     |
| Short-term capital                               | 5.3     | 5.4     | 2.6     | 0.7     | 1.4         | 1.2     | 1.2     |
| Errors and omissions                             | 1.0     | 1.1     | 0.6     | 0.0     | 0.0         | 0.0     | 0.0     |
| <b>Overall balance</b>                           | 1.2     | 4.1     | -2.2    | 1.0     | 1.4         | 2.4     | 1.3     |
| <b>Financing items</b>                           | -1.2    | -4.1    | 2.2     | -1.0    | -1.4        | -2.4    | -1.3    |
| Reserve assets (gross)                           | -1.5    | -4.3    | 2.3     | -0.9    | -1.2        | -2.2    | -1.2    |
| Use of Fund credit and loans to the Fund (net)   | 0.3     | 0.1     | -0.1    | -0.1    | -0.2        | -0.2    | -0.1    |
| Disbursements                                    | 0.4     | 0.2     | 0.0     | 0.0     | 0.0         | 0.0     | 0.0     |
| Repayments                                       | -0.1    | -0.1    | -0.1    | -0.1    | -0.2        | -0.2    | -0.1    |
| <b>Memorandum items:</b>                         |         |         |         |         |             |         |         |
| Gross official reserves (end of period)          | 11.6    | 14.8    | 11.4    | 11.0    | 10.9        | 10.9    | 11.0    |
| Exports of goods and nonfactor services          | 21.0    | 19.0    | 17.9    | 18.2    | 17.8        | 17.6    | 17.4    |
| Imports of goods and nonfactor services          | -34.5   | -33.0   | -33.6   | -33.9   | -31.5       | -30.0   | -29.5   |

Sources: Kenyan authorities; and staff estimates and projections.

1/ Includes oil exploration-related machinery and equipment.

**Table 4c. Kenya: Balance of Payments, 2014–19**

(in millions of U.S. dollars)

|                                                               | 2014             |                  | 2015             |                  | 2016             |                  | 2017             | 2018             | 2019             |
|---------------------------------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
|                                                               | Prog.            | Act.             | Prog.            | Proj.            | Prog.            | Proj.            | Projections      |                  |                  |
| <b>Current account</b>                                        | <b>-5,243.5</b>  | <b>-6,339.4</b>  | <b>-4,869.0</b>  | <b>-6,188.2</b>  | <b>-5,326.4</b>  | <b>-6,651.6</b>  | <b>-5,691.5</b>  | <b>-5,899.3</b>  | <b>-6,387.8</b>  |
| Excluding official transfers                                  | -5,303.4         | -6,666.5         | -4,911.1         | -6,441.3         | -5,367.1         | -6,891.6         | -5,952.4         | -6,184.8         | -6,674.2         |
| Exports, f.o.b.                                               | 6,006.0          | 6,192.2          | 6,480.3          | 6,590.1          | 7,241.7          | 6,960.5          | 7,702.5          | 8,521.7          | 9,358.8          |
| Coffee                                                        | 250.5            | 231.6            | 220.9            | 185.9            | 249.4            | 180.8            | 208.2            | 229.7            | 244.4            |
| Tea                                                           | 1,048.2          | 1,069.4          | 1,236.9          | 1,294.6          | 1,406.5          | 1,484.0          | 1,626.8          | 1,798.2          | 1,968.6          |
| Horticulture                                                  | 777.8            | 807.6            | 819.5            | 771.2            | 926.5            | 851.7            | 920.2            | 1,008.9          | 1,095.5          |
| Imports, f.o.b.                                               | -17,263.0        | -17,688.8        | -17,922.0        | -18,132.5        | -19,790.3        | -19,373.8        | -19,940.0        | -21,707.1        | -23,692.7        |
| of which: SGR-related                                         | -125.0           | -142.5           | -375.0           | -855.0           | -875.0           | -1,710.0         | -142.5           | 0.0              | 0.0              |
| Oil                                                           | -3,927.3         | -3,853.9         | -3,292.0         | -2,992.2         | -3,407.4         | -2,922.5         | -3,337.0         | -3,744.9         | -4,130.4         |
| Other nongovernment                                           | -13,205.7        | -13,639.8        | -14,498.6        | -14,928.4        | -16,240.8        | -16,221.3        | -16,357.3        | -17,700.1        | -19,277.6        |
| Power generation-related machinery & aircraft                 | -1,461.6         | -1,822.0         | -961.8           | -1,328.2         | -914.5           | -1,017.9         | -1,229.0         | -1,159.3         | -1,259.4         |
| Other capital imports <sup>1</sup>                            | -4,064.0         | -4,044.0         | -5,166.1         | -4,811.5         | -6,005.9         | -5,810.7         | -5,495.8         | -5,919.6         | -6,370.4         |
| <b>Balance on goods</b>                                       | <b>-11,257.1</b> | <b>-11,496.6</b> | <b>-11,441.7</b> | <b>-11,542.4</b> | <b>-12,548.5</b> | <b>-12,413.3</b> | <b>-12,237.4</b> | <b>-13,185.4</b> | <b>-14,333.9</b> |
| <b>Balance on services</b>                                    | <b>3,159.0</b>   | <b>2,062.5</b>   | <b>3,449.8</b>   | <b>2,006.5</b>   | <b>3,687.1</b>   | <b>2,163.8</b>   | <b>2,531.7</b>   | <b>2,769.2</b>   | <b>3,015.2</b>   |
| Credit                                                        | 5,766.9          | 4,916.8          | 6,299.6          | 5,024.9          | 6,952.8          | 5,361.3          | 5,886.7          | 6,398.2          | 6,954.4          |
| Foreign travel credit                                         | 821.5            | 810.7            | 867.0            | 715.6            | 986.6            | 814.1            | 910.5            | 1,000.5          | 1,100.4          |
| Debit                                                         | -2,607.9         | -2,854.3         | -2,849.9         | -3,018.4         | -3,265.6         | -3,197.5         | -3,355.0         | -3,629.0         | -3,939.2         |
| Transportation                                                | -1,281.5         | -1,515.4         | -1,330.5         | -1,553.4         | -1,527.9         | -1,626.5         | -1,674.1         | -1,822.4         | -1,989.1         |
| <b>Balance on goods and services</b>                          | <b>-8,098.0</b>  | <b>-9,434.2</b>  | <b>-7,991.9</b>  | <b>-9,535.9</b>  | <b>-8,861.4</b>  | <b>-10,249.5</b> | <b>-9,705.7</b>  | <b>-10,416.2</b> | <b>-11,318.7</b> |
| Income (net)                                                  | -396.8           | -682.5           | -414.9           | -832.7           | -330.9           | -929.3           | -934.2           | -840.9           | -842.3           |
| Credit                                                        | 123.9            | 181.2            | 265.5            | 170.2            | 485.2            | 301.5            | 448.0            | 667.7            | 806.9            |
| Debit                                                         | -520.6           | -863.7           | -680.4           | -1,002.9         | -816.1           | -1,230.8         | -1,382.2         | -1,508.5         | -1,649.2         |
| Current transfers (net)                                       | 3,251.3          | 3,777.2          | 3,537.8          | 4,180.4          | 3,865.9          | 4,527.2          | 4,948.4          | 5,357.9          | 5,773.2          |
| Private (net)                                                 | 3,191.3          | 3,450.1          | 3,495.7          | 3,927.4          | 3,825.2          | 4,287.2          | 4,687.4          | 5,072.3          | 5,486.8          |
| of which: remittances                                         | 1,431.6          | 1,440.8          | 1,593.5          | 1,583.6          | 1,779.7          | 1,768.0          | 1,974.5          | 2,148.0          | 2,329.6          |
| Official (net)                                                | 59.9             | 327.1            | 42.1             | 253.0            | 40.7             | 240.0            | 260.9            | 285.6            | 286.4            |
| <b>Capital and financial account</b>                          | <b>6,743.6</b>   | <b>7,732.0</b>   | <b>5,391.6</b>   | <b>5,815.9</b>   | <b>6,251.5</b>   | <b>7,213.7</b>   | <b>7,513.1</b>   | <b>7,227.9</b>   | <b>7,678.4</b>   |
| <b>Capital account (incl. capital transfers)</b>              | <b>277.7</b>     | <b>23.9</b>      | <b>241.7</b>     | <b>233.7</b>     | <b>219.2</b>     | <b>209.7</b>     | <b>233.5</b>     | <b>259.3</b>     | <b>287.0</b>     |
| <b>Financial account</b>                                      | <b>6,465.9</b>   | <b>7,708.1</b>   | <b>5,149.9</b>   | <b>5,582.2</b>   | <b>6,032.3</b>   | <b>7,003.9</b>   | <b>7,279.6</b>   | <b>6,968.5</b>   | <b>7,391.5</b>   |
| Net FDI                                                       | 674.5            | 1,078.5          | 1,128.8          | 1,653.1          | 1,428.2          | 2,127.4          | 2,583.3          | 2,674.9          | 2,892.7          |
| In Kenya                                                      | 1,186.0          | 1,050.7          | 1,507.7          | 1,436.6          | 1,928.0          | 1,844.1          | 2,207.4          | 2,383.0          | 2,575.7          |
| Abroad                                                        | -511.5           | 27.8             | -378.9           | 216.5            | -499.8           | 283.3            | 375.9            | 291.9            | 317.0            |
| Net portfolio investment                                      | 2,963.8          | 3,649.0          | 631.0            | 1,183.4          | 831.2            | 841.6            | 1,466.7          | 1,811.8          | 2,209.7          |
| Liabilities                                                   | 3,022.4          | 3,704.3          | 682.0            | 1,241.0          | 889.6            | 904.1            | 1,532.4          | 1,878.8          | 2,277.9          |
| Assets                                                        | -58.6            | -55.4            | -51.0            | -57.5            | -58.5            | -62.6            | -65.8            | -67.1            | -68.2            |
| Net other investment                                          | 2,827.5          | 2,243.6          | 3,390.1          | 2,745.7          | 3,772.9          | 4,034.9          | 3,229.6          | 2,481.8          | 2,289.0          |
| Official, medium and long-term                                | 346.0            | 192.4            | 2,035.3          | 2,023.9          | 2,541.8          | 1,891.4          | 1,891.4          | 1,661.2          | 1,338.9          |
| Inflows                                                       | 1,483.7          | 1,344.5          | 2,416.2          | 2,353.7          | 3,013.6          | 2,433.2          | 2,266.4          | 2,118.0          | 1,969.7          |
| Outflows                                                      | -1,137.6         | -1,152.1         | -380.9           | -329.7           | -471.8           | -327.4           | -375.0           | -456.9           | -630.8           |
| Private, medium and long-term                                 | 1,217.2          | -1,215.7         | 639.8            | 759.6            | 681.1            | 1,004.1          | 263.2            | -128.5           | -275.3           |
| Energy financing                                              | 112.5            | 112.2            | 120.4            | 116.9            | 128.9            | 125.7            | 135.4            | 109.0            | 117.2            |
| Kenya Airways                                                 | 484.8            | 484.8            | -162.4           | -162.4           | -232.0           | -232.0           | -334.2           | -543.9           | -596.4           |
| Other                                                         | 619.9            | -1,812.7         | 681.9            | 805.1            | 784.1            | 1,110.4          | 462.0            | 306.4            | 203.9            |
| Short-term capital                                            | 1,264.3          | 3,266.9          | 715.0            | -37.8            | 550.0            | 925.0            | 1,075.0          | 949.2            | 1,225.4          |
| Errors and omissions                                          | 0.0              | 737.0            | 0.0              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0              |
| <b>Overall balance</b>                                        | <b>1,500.1</b>   | <b>1,392.6</b>   | <b>522.6</b>     | <b>-372.4</b>    | <b>925.1</b>     | <b>562.1</b>     | <b>1,821.6</b>   | <b>1,328.6</b>   | <b>1,290.6</b>   |
| <b>Financing items</b>                                        | <b>-1,500.1</b>  | <b>-1,392.6</b>  | <b>-522.6</b>    | <b>372.4</b>     | <b>-925.1</b>    | <b>-562.1</b>    | <b>-1,821.6</b>  | <b>-1,328.6</b>  | <b>-1,290.6</b>  |
| Reserve assets (gross)                                        | -1,419.8         | -1,334.7         | -450.0           | 444.9            | -807.8           | -444.7           | -1,657.6         | -1,176.1         | -1,185.7         |
| Use of Fund credit and loans to the Fund (net)                | -80.3            | -57.8            | -72.6            | -72.6            | -117.3           | -117.3           | -164.0           | -152.5           | -105.0           |
| Disbursements                                                 | 0.0              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0              |
| Repayments                                                    | -80.3            | -57.8            | -72.6            | -72.6            | -117.3           | -117.3           | -164.0           | -152.5           | -105.0           |
| <b>Memorandum items:</b>                                      |                  |                  |                  |                  |                  |                  |                  |                  |                  |
| Gross official reserves (end of period)                       | 7,980.0          | 7,894.9          | 8,430.0          | 7,450.0          | 9,237.8          | 7,600.0          | 8,234.2          | 9,210.6          | 10,261.5         |
| (in months of following year's imports of goods and services) | 4.6              | 4.5              | 4.4              | 4.0              | 4.4              | 3.9              | 3.9              | 4.0              | 4.1              |
| (in months of 3-year-rolling average imports) <sup>2</sup>    | 5.1              | 5.0              | 5.1              | 4.5              | 5.2              | 4.3              | 4.4              | 4.7              | 4.8              |
| (in percent of M3)                                            | 34.5             | 33.9             | 31.6             | 27.6             | 29.6             | 24.4             | 22.7             | 21.9             | 21.2             |
| WEO oil price (APSP; US\$)                                    | 96.3             | 96.2             | 56.7             | 56.2             | 63.9             | 59.6             | 63.3             | 66.7             | 68.4             |
| Change in the terms of trade (goods and services, percent)    | 3.1              | -3.1             | 24.4             | 9.4              | -3.1             | 0.8              | 0.6              | -0.9             | -0.7             |

Sources: Kenyan authorities and IMF staff estimates and projections.

<sup>1</sup> Includes oil exploration-related machinery and equipment.

<sup>2</sup> CBK definition of reserve cover: in months of imports of goods and services over the previous 36 months (annualized rolling average).

KENYA

**Table 4d. Kenya: Balance of Payments 2014–19**  
(in percent of GDP)

|                                                  | 2014  |       | 2015  |       | 2016  |       | 2017        | 2018  | 2019  |
|--------------------------------------------------|-------|-------|-------|-------|-------|-------|-------------|-------|-------|
|                                                  | Prog. | Act.  | Prog. | Proj. | Prog. | Proj. | Projections |       |       |
| <b>Current account</b>                           | -8.6  | -10.4 | -7.3  | -9.8  | -7.1  | -9.7  | -7.4        | -6.9  | -6.8  |
| Excluding official transfers                     | -8.7  | -10.9 | -7.3  | -10.2 | -7.2  | -10.0 | -7.8        | -7.3  | -7.1  |
| Exports, f.o.b.                                  | 9.9   | 10.2  | 9.7   | 10.4  | 9.7   | 10.1  | 10.0        | 10.0  | 9.9   |
| Coffee                                           | 0.4   | 0.4   | 0.3   | 0.3   | 0.3   | 0.3   | 0.3         | 0.3   | 0.3   |
| Tea                                              | 1.7   | 1.8   | 1.8   | 2.0   | 1.9   | 2.2   | 2.1         | 2.1   | 2.1   |
| Horticulture                                     | 1.3   | 1.3   | 1.2   | 1.2   | 1.2   | 1.2   | 1.2         | 1.2   | 1.2   |
| Imports, f.o.b.                                  | -28.4 | -29.0 | -26.8 | -28.6 | -26.4 | -28.1 | -26.0       | -25.5 | -25.1 |
| of which: SGR-related                            | -0.2  | -0.2  | -0.6  | -1.4  | -1.2  | -2.5  | -0.2        | 0.0   | 0.0   |
| Oil                                              | -6.5  | -6.3  | -4.9  | -4.7  | -4.6  | -4.2  | -4.3        | -4.4  | -4.4  |
| Other nongovernment                              | -21.7 | -22.4 | -21.7 | -23.6 | -21.7 | -23.6 | -21.3       | -20.8 | -20.4 |
| Power generation-related machinery & aircraft    | -2.4  | -3.0  | -1.4  | -2.1  | -1.2  | -1.5  | -1.6        | -1.4  | -1.3  |
| Other capital imports <sup>1</sup>               | -6.7  | -6.6  | -7.7  | -7.6  | -8.0  | -8.4  | -7.2        | -6.9  | -6.8  |
| <b>Balance on goods</b>                          | -18.5 | -18.9 | -17.1 | -18.2 | -16.8 | -18.0 | -15.9       | -15.5 | -15.2 |
| <b>Balance on services</b>                       | 5.2   | 3.4   | 5.2   | 3.2   | 4.9   | 3.1   | 3.3         | 3.2   | 3.2   |
| Credit                                           | 9.5   | 8.1   | 9.4   | 7.9   | 9.3   | 7.8   | 7.7         | 7.5   | 7.4   |
| Transportation                                   | 3.8   | 3.6   | 3.8   | 3.7   | 3.9   | 3.5   | 3.5         | 3.5   | 3.4   |
| Foreign travel credit                            | 1.3   | 1.3   | 1.3   | 1.1   | 1.3   | 1.2   | 1.2         | 1.2   | 1.2   |
| Debit                                            | -4.3  | -4.7  | -4.3  | -4.8  | -4.4  | -4.6  | -4.4        | -4.3  | -4.2  |
| Transportation                                   | -2.1  | -2.5  | -2.0  | -2.5  | -2.0  | -2.4  | -2.2        | -2.1  | -2.1  |
| <b>Balance on goods and services</b>             | -13.3 | -15.5 | -11.9 | -15.1 | -11.8 | -14.9 | -12.6       | -12.2 | -12.0 |
| Income (net)                                     | -0.7  | -1.1  | -0.6  | -1.3  | -0.4  | -1.3  | -1.2        | -1.0  | -0.9  |
| Credit                                           | 0.2   | 0.3   | 0.4   | 0.3   | 0.6   | 0.4   | 0.6         | 0.8   | 0.9   |
| Debit                                            | -0.9  | -1.4  | -1.0  | -1.6  | -1.1  | -1.8  | -1.8        | -1.8  | -1.7  |
| Current transfers (net)                          | 5.3   | 6.2   | 5.3   | 6.6   | 5.2   | 6.6   | 6.4         | 6.3   | 6.1   |
| Private (net)                                    | 5.2   | 5.7   | 5.2   | 6.2   | 5.1   | 6.2   | 6.1         | 5.9   | 5.8   |
| of which: remittances                            | 2.4   | 2.4   | 2.4   | 2.5   | 2.4   | 2.6   | 2.6         | 2.5   | 2.5   |
| Official (net)                                   | 0.1   | 0.5   | 0.1   | 0.4   | 0.1   | 0.3   | 0.3         | 0.3   | 0.3   |
| <b>Capital and financial account</b>             | 11.1  | 12.7  | 8.1   | 9.2   | 8.4   | 10.5  | 9.8         | 8.5   | 8.1   |
| <b>Capital account (incl. capital transfers)</b> | 0.5   | 0.0   | 0.4   | 0.4   | 0.3   | 0.3   | 0.3         | 0.3   | 0.3   |
| Of which: capital transfers                      | 0.5   | 0.0   | 0.4   | 0.4   | 0.3   | 0.3   | 0.3         | 0.3   | 0.3   |
| <b>Financial account</b>                         | 10.6  | 12.6  | 7.7   | 8.8   | 8.1   | 10.2  | 9.5         | 8.2   | 7.8   |
| Net FDI                                          | 1.1   | 1.8   | 1.7   | 2.6   | 1.9   | 3.1   | 3.4         | 3.1   | 3.1   |
| In Kenya                                         | 1.9   | 1.7   | 2.3   | 2.3   | 2.6   | 2.7   | 2.9         | 2.8   | 2.7   |
| Abroad                                           | -0.8  | 0.0   | -0.6  | 0.3   | -0.7  | 0.4   | 0.5         | 0.3   | 0.3   |
| Net portfolio investment                         | 4.9   | 6.0   | 0.9   | 1.9   | 1.1   | 1.2   | 1.9         | 2.1   | 2.3   |
| Liabilities                                      | 5.0   | 6.1   | 1.0   | 2.0   | 1.2   | 1.3   | 2.0         | 2.2   | 2.4   |
| Assets                                           | -0.1  | -0.1  | -0.1  | -0.1  | -0.1  | -0.1  | -0.1        | -0.1  | -0.1  |
| Net other investment                             | 4.6   | 3.7   | 5.1   | 4.3   | 5.0   | 5.9   | 4.2         | 2.9   | 2.4   |
| Official, medium and long-term                   | 0.6   | 0.3   | 3.0   | 3.2   | 3.4   | 3.1   | 2.5         | 1.9   | 1.4   |
| Inflows                                          | 2.4   | 2.2   | 3.6   | 3.7   | 4.0   | 3.5   | 3.0         | 2.5   | 2.1   |
| Outflows                                         | -1.9  | -1.9  | -0.6  | -0.5  | -0.6  | -0.5  | -0.5        | -0.5  | -0.7  |
| Private, medium and long-term                    | 2.0   | -2.0  | 1.0   | 1.2   | 0.9   | 1.5   | 0.3         | -0.2  | -0.3  |
| Energy financing                                 | 0.2   | 0.2   | 0.2   | 0.2   | 0.2   | 0.2   | 0.2         | 0.1   | 0.1   |
| Kenya Airways                                    | 0.8   | 0.8   | -0.2  | -0.3  | -0.3  | -0.3  | -0.4        | -0.6  | -0.6  |
| Other                                            | 1.0   | -3.0  | 1.0   | 1.3   | 1.0   | 1.6   | 0.6         | 0.4   | 0.2   |
| Short-term capital                               | 2.1   | 5.4   | 1.1   | -0.1  | 0.7   | 1.3   | 1.4         | 1.1   | 1.3   |
| Errors and omissions                             | 0.0   | 1.2   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0         | 0.0   | 0.0   |
| <b>Overall balance</b>                           | 2.5   | 2.3   | 0.8   | -0.6  | 1.2   | 0.8   | 2.4         | 1.6   | 1.4   |
| <b>Financing items</b>                           | -2.5  | -2.3  | -0.8  | 0.6   | -1.2  | -0.8  | -2.4        | -1.6  | -1.4  |
| Reserve assets (gross)                           | -2.3  | -2.2  | -0.7  | 0.7   | -1.1  | -0.6  | -2.2        | -1.4  | -1.3  |
| Use of Fund credit and loans to the Fund (net)   | -0.1  | -0.1  | -0.1  | -0.1  | -0.2  | -0.2  | -0.2        | -0.2  | -0.1  |
| <b>Memorandum items:</b>                         |       |       |       |       |       |       |             |       |       |
| Gross official reserves (end of period)          | 13.1  | 13.0  | 12.6  | 11.8  | 12.3  | 11.0  | 10.7        | 10.8  | 10.9  |
| Exports of goods and nonfactor services          | 19.3  | 18.2  | 19.1  | 18.4  | 19.0  | 17.9  | 17.7        | 17.5  | 17.3  |
| Imports of goods and nonfactor services          | -32.6 | -33.7 | -31.0 | -33.4 | -30.8 | -32.8 | -30.3       | -29.7 | -29.3 |

Sources: Kenyan authorities; and staff estimates and projections.

<sup>1</sup> Includes oil exploration-related machinery and equipment.

**Table 5. Kenya: Financial Soundness Indicators of the Banking Sector**

|                                                          | Dec-10    | Dec-11 | Dec-12 | Dec-13 | Jun-14 | Dec-14 | Mar-15 | Jun-15 |
|----------------------------------------------------------|-----------|--------|--------|--------|--------|--------|--------|--------|
|                                                          | (Percent) |        |        |        |        |        |        |        |
| <b>Capital adequacy</b>                                  |           |        |        |        |        |        |        |        |
| Regulatory capital to risk-weighted assets               | 20.8      | 19.4   | 21.9   | 23.2   | 17.6   | 19.2   | 19.2   | 18.9   |
| Regulatory tier 1 capital to risk-weighted assets        | 18.7      | 17.3   | 18.9   | 19.4   | 15.1   | 15.9   | 16.2   | 15.7   |
| Total capital to total assets                            | 15.6      | 15.5   | 16.3   | 17.1   | 17.3   | 17.9   | 18.4   | 17.7   |
| <b>Asset quality</b>                                     |           |        |        |        |        |        |        |        |
| Non performing loans to total gross loans                | 6.2       | 4.4    | 4.5    | 5.0    | 5.8    | 5.4    | 5.7    | 5.7    |
| Bank provisions to NPLs                                  | 75.3      | 82.2   | 80.9   | 70.7   | 62.0   | 65.0   | 65.8   | 64.1   |
| Non performing loans net of provisions to capital        | 6.4       | 3.5    | 3.5    | 5.8    | 9.0    | 7.4    | 7.6    | 8.1    |
| Earning assets to total assets                           | 88.8      | 87.8   | 87.4   | 88.9   | 88.6   | 88.2   | 88.8   | 87.5   |
| <b>Earning and profitability</b>                         |           |        |        |        |        |        |        |        |
| Return on assets (ROA)                                   | 3.7       | 3.3    | 3.8    | 3.6    | 3.7    | 3.4    | 3.5    | 3.3    |
| Return on equity (ROE)                                   | 30.7      | 32.2   | 34.2   | 28.9   | 30.9   | 26.5   | 27.9   | 28.3   |
| Interest margin to gross income                          | 34.7      | 38.6   | 32.7   | 37.2   | 35.9   | 36.0   | 36.2   | 35.6   |
| Non interest expenses to gross income                    | 48.2      | 44.6   | 37.8   | 41.7   | 39.9   | 40.9   | 39.1   | 38.9   |
| <b>Liquidity</b>                                         |           |        |        |        |        |        |        |        |
| Liquid assets to total assets                            | 38.4      | 33.3   | 35.2   | 34.3   | 32.3   | 32.7   | 33.1   | 32.2   |
| Liquid assets to short-term liabilities                  | 44.5      | 37.0   | 41.9   | 38.6   | 38.7   | 37.7   | 39.9   | 38.7   |
| Liquid assets to total deposits                          | 51.0      | 43.8   | 46.8   | 47.0   | 44.4   | 45.2   | 46.0   | 44.7   |
| Total loans to total deposits                            | 72.5      | 77.4   | 76.9   | 80.4   | 82.6   | 83.7   | 83.9   | 83.5   |
| <b>Sensitivity to market risk</b>                        |           |        |        |        |        |        |        |        |
| Net open position in foreign exchange to capital         | 4.3       | 3.3    | 2.6    | 2.2    | 2.9    | 4.3    | 3.7    | 2.9    |
| Interest bearing assets to interest bearing liabilities  | 117.8     | 115.4  | 116.2  | 121.6  | 121.7  | 122.1  | 123.3  | 121.5  |
| FX currency denominated assets to total assets           | 10.6      | 11.8   | 13.2   | 13.7   | 15.0   | 15.4   | 15.6   | 16.4   |
| FX currency denominated liabilities to total liabilities | 17.1      | 21.5   | 20.9   | 22.9   | 22.0   | 22.6   | 23.0   | 23.5   |
| Spread between lending and deposit rate                  | 9.3       | 8.4    | 10.3   | 8.9    | 8.5    | 8.0    | 8.3    | 7.9    |

Source: Central Bank of Kenya.

**Table 6. Kenya: Schedule of Reviews and Available Purchases, 2015–16**

| Availability Date | Condition                                                                                | Available Purchases under the SBA |                    | Available Loans under the SCF |                    | Total Available Purchases and Loans |                    |
|-------------------|------------------------------------------------------------------------------------------|-----------------------------------|--------------------|-------------------------------|--------------------|-------------------------------------|--------------------|
|                   |                                                                                          | (SDR millions)                    | (Percent of quota) | (SDR millions)                | (Percent of quota) | (SDR millions)                      | (Percent of quota) |
| February 2, 2015  | Approve the 12-month SCF and SBA arrangements                                            | 271.40                            | 100.0              | 108.56                        | 40.0               | 379.96                              | 140.0              |
| July 15, 2015     | Completion of the first SCF-SBA review based on end-March 2015 performance criteria      | 40.71                             | 15.0               | 13.57                         | 5.0                | 54.28                               | 20.0               |
| January 20, 2016  | Completion of the second SCF-SBA review based on end-September 2015 performance criteria | 40.71                             | 15.0               | 13.57                         | 5.0                | 54.28                               | 20.0               |
| Total available   |                                                                                          | 352.82                            | 130.0              | 135.70                        | 50.0               | 488.52                              | 180.0              |

Source: IMF staff estimates.

**Table 7. Kenya: Indicators of Fund Credit**

(in millions of SDRs)

|                                                                                                       | Projections |         |         |         |       |       |       |       |       |
|-------------------------------------------------------------------------------------------------------|-------------|---------|---------|---------|-------|-------|-------|-------|-------|
|                                                                                                       | 2015        | 2016    | 2017    | 2018    | 2019  | 2020  | 2021  | 2022  | 2023  |
| Fund obligations based on existing credit<br>(In millions of SDRs)                                    |             |         |         |         |       |       |       |       |       |
| Principal                                                                                             | 21.1        | 48.7    | 85.8    | 103.3   | 111.3 | 97.7  | 91.2  | 50.3  | 21.6  |
| Charges and interest <sup>1</sup>                                                                     | 0.1         | 0.1     | 0.3     | 0.2     | 0.9   | 0.7   | 0.4   | 0.2   | 0.2   |
| Obligations to the Fund from existing<br>and prospective credit <sup>2</sup><br>(In millions of SDRs) | 23.1        | 52.6    | 90.1    | 146.5   | 300.6 | 267.4 | 127.2 | 81.0  | 52.0  |
| Principal                                                                                             | 21.1        | 48.7    | 85.8    | 142.3   | 296.2 | 265.3 | 126.4 | 80.5  | 51.7  |
| Stand-by Arrangements (SBA)                                                                           | 0.0         | 0.0     | 0.0     | 39.0    | 171.3 | 137.4 | 5.1   | 0.0   | 0.0   |
| ESF Rapid Access Component (RAC)                                                                      | 13.6        | 27.1    | 27.1    | 27.1    | 13.6  | 0.0   | 0.0   | 0.0   | 0.0   |
| ECF Arrangements                                                                                      | 7.5         | 21.5    | 58.6    | 76.1    | 97.7  | 97.7  | 91.2  | 50.3  | 21.6  |
| SCF Arrangements                                                                                      | 0.0         | 0.0     | 0.0     | 0.0     | 13.6  | 30.2  | 30.2  | 30.2  | 30.2  |
| Charges and interest <sup>1</sup>                                                                     | 2.0         | 3.9     | 4.3     | 4.2     | 4.4   | 2.2   | 0.8   | 0.5   | 0.2   |
| Obligations to the Fund from existing and<br>prospective credit <sup>1</sup>                          |             |         |         |         |       |       |       |       |       |
| In millions of U.S. dollars                                                                           | 32.2        | 73.2    | 125.4   | 204.1   | 418.7 | 372.5 | 177.2 | 112.8 | 72.4  |
| In percent of gross international reserves                                                            | 0.4         | 1.0     | 1.5     | 2.2     | 4.1   | 3.3   | 1.4   | 0.8   | 0.5   |
| In percent of exports of goods and services                                                           | 0.3         | 0.6     | 0.9     | 1.4     | 2.6   | 2.1   | 0.9   | 0.5   | 0.3   |
| In percent of GDP                                                                                     | 0.1         | 0.1     | 0.2     | 0.2     | 0.4   | 0.4   | 0.2   | 0.1   | 0.1   |
| In percent of quota                                                                                   | 8.5         | 19.4    | 33.2    | 54.0    | 110.7 | 98.5  | 46.9  | 29.8  | 19.1  |
| Outstanding Fund credit based on existing drawings<br>(end-of-period, all PRGT)                       |             |         |         |         |       |       |       |       |       |
| In millions of SDRs                                                                                   | 609.8       | 561.1   | 475.4   | 372.1   | 260.8 | 163.1 | 71.9  | 21.6  | 0.0   |
| In percent of quota                                                                                   | 224.7       | 206.7   | 175.2   | 137.1   | 96.1  | 60.1  | 26.5  | 8.0   | 0.0   |
| Outstanding Fund credit based on existing and<br>prospective drawings (end-of-period) <sup>2</sup>    |             |         |         |         |       |       |       |       |       |
| In millions of SDRs                                                                                   | 1,044.0     | 1,049.6 | 963.9   | 821.6   | 525.4 | 260.2 | 133.7 | 53.2  | 1.5   |
| In millions of U.S. dollars                                                                           | 1,454.3     | 1,462.1 | 1,342.7 | 1,144.5 | 731.9 | 362.4 | 186.3 | 74.2  | 2.1   |
| In percent of gross international reserves                                                            | 19.5        | 19.2    | 16.3    | 12.4    | 7.1   | 3.2   | 1.5   | 0.5   | 0.0   |
| In percent of exports of goods and services                                                           | 12.5        | 11.9    | 9.9     | 7.7     | 4.5   | 2.0   | 1.0   | 0.4   | 0.0   |
| In percent of GDP                                                                                     | 2.3         | 2.1     | 1.7     | 1.3     | 0.8   | 0.3   | 0.2   | 0.1   | 0.0   |
| In percent of quota                                                                                   | 384.7       | 386.7   | 355.2   | 302.7   | 193.6 | 95.9  | 49.3  | 19.6  | 0.6   |
| General Resources Account                                                                             | 115.0       | 130.0   | 130.0   | 115.6   | 52.5  | 1.9   | 0.0   | 0.0   | 0.0   |
| Poverty Reduction and Growth Trust                                                                    | 269.7       | 256.7   | 225.2   | 187.1   | 141.1 | 94.0  | 49.3  | 19.6  | 0.6   |
| <b>Memorandum items:</b>                                                                              |             |         |         |         |       |       |       |       |       |
| Nominal GDP (in billions of U.S. dollars)                                                             | 63.3        | 68.9    | 76.8    | 85.3    | 94.3  | 104.0 | 114.6 | 126.2 | 138.8 |
| Exports of goods and services (in billions of U.S. dollars)                                           | 11.6        | 12.3    | 13.6    | 14.9    | 16.3  | 17.7  | 19.3  | 21.1  | 23.0  |
| Gross international reserves (in billions of U.S. dollars)                                            | 7.5         | 7.6     | 8.2     | 9.2     | 10.3  | 11.2  | 12.5  | 13.7  | 14.9  |
| Quota (in millions of SDRs)                                                                           | 271.4       | 271.4   | 271.4   | 271.4   | 271.4 | 271.4 | 271.4 | 271.4 | 271.4 |

Sources: Fund staff estimates; and projections.

<sup>1</sup> PRGT interest is waived through end-2016.<sup>2</sup> Assumes access of 180 percent of quota during 2015–16 and semi-annual disbursements.

Table 8. Kenya: External Financing Requirements and Sources, 2012–19

|                                                         | 2012<br>Actual | 2013<br>Actual | 2014<br>Actual | 2015        | 2016     | 2017     | 2018     | 2019     |
|---------------------------------------------------------|----------------|----------------|----------------|-------------|----------|----------|----------|----------|
|                                                         |                |                |                | Projections |          |          |          |          |
| (In millions of U.S. dollars)                           |                |                |                |             |          |          |          |          |
| Total requirements                                      | -4,840.9       | -5,657.1       | -8,627.8       | -7,584.7    | -8,178.1 | -7,436.2 | -7,847.9 | -7,855.0 |
| Current account deficit                                 | -4,255.0       | -4,871.7       | -6,339.4       | -6,188.2    | -6,651.6 | -5,691.5 | -5,899.3 | -6,387.8 |
| Capital outflows: repayments of MLT loans               | -585.8         | -785.4         | -2,288.4       | -1,396.5    | -1,526.5 | -1,744.8 | -1,948.7 | -2,217.1 |
| Capital outflows: portfolio investment (sovereign bond) | 0.0            | 0.0            | 0.0            | 0.0         | 0.0      | 0.0      | 0.0      | 750.0    |
| Total sources                                           | 4,840.9        | 5,657.1        | 8,627.8        | 7,584.7     | 8,178.1  | 7,436.2  | 7,847.9  | 7,855.0  |
| Capital inflows                                         | 6,063.0        | 6,342.4        | 10,020.4       | 7,212.4     | 8,740.2  | 9,257.9  | 9,176.5  | 9,145.6  |
| Public sector                                           | 1,709.7        | 1,031.8        | 4,118.5        | 3,337.3     | 2,643.0  | 2,999.9  | 2,977.3  | 3,756.7  |
| Project grants                                          | 235.3          | 97.7           | 23.9           | 233.7       | 209.7    | 233.5    | 259.3    | 287.0    |
| Long-term loan disbursements to public sector           | 1,474.4        | 934.1          | 1,344.5        | 2,353.7     | 2,433.2  | 2,266.4  | 2,118.0  | 1,969.7  |
| Portfolio investment (sovereign bond)                   | 0.0            | 0.0            | 2,750.0        | 750.0       | 0.0      | 500.0    | 600.0    | 1,500.0  |
| Private sector                                          | 4,353.3        | 5,310.6        | 5,902.0        | 3,875.0     | 6,097.2  | 6,257.9  | 6,199.2  | 5,388.9  |
| Foreign direct investment in Kenya                      | 258.6          | 514.4          | 1,050.7        | 1,436.6     | 1,844.1  | 2,207.4  | 2,383.0  | 2,575.7  |
| Long-term loan disbursements to private sector          | 1,244.5        | 1,341.0        | 1,487.6        | 1,545.1     | 1,681.2  | 1,873.8  | 2,081.4  | 2,302.1  |
| Other net inflows (including errors and omissions)      | 2,850.2        | 3,455.2        | 3,363.7        | 893.4       | 2,572.0  | 2,176.7  | 1,734.8  | 511.1    |
| Financing                                               | -1,222.2       | -685.3         | -1,392.6       | 372.4       | -562.1   | -1,821.6 | -1,328.6 | -1,290.6 |
| IMF (net)                                               | 193.2          | 173.0          | -57.8          | -72.6       | -117.3   | -164.0   | -152.5   | -105.0   |
| Disbursements                                           | 221.7          | 218.6          | 0.0            | 0.0         | 0.0      | 0.0      | 0.0      | 0.0      |
| Repayments                                              | -28.5          | -45.6          | -57.8          | -72.6       | -117.3   | -164.0   | -152.5   | -105.0   |
| Change in reserves (-increase)                          | -1,415.3       | -858.3         | -1,334.7       | 444.9       | -444.7   | -1,657.6 | -1,176.1 | -1,185.7 |
| Financing gap                                           | 0.0            | 0.0            | 0.0            | 0.0         | 0.0      | 0.0      | 0.0      | 0.0      |
| (In percent of GDP)                                     |                |                |                |             |          |          |          |          |
| Total requirements                                      | -9.6           | -10.3          | -14.2          | -12.0       | -11.9    | -9.7     | -9.2     | -8.3     |
| Total sources                                           | 9.6            | 10.3           | 14.2           | 12.0        | 11.9     | 9.7      | 9.2      | 8.3      |
| Capital inflows                                         | 12.0           | 11.5           | 16.4           | 11.4        | 12.7     | 12.1     | 10.8     | 9.7      |
| Exceptional financing                                   | 0.4            | 0.3            | -0.1           | -0.1        | -0.2     | -0.2     | -0.2     | -0.1     |
| Change in reserves (-increase)                          | -2.8           | -1.6           | -2.2           | 0.7         | -0.6     | -2.2     | -1.4     | -1.3     |

Sources: Kenyan authorities and IMF staff estimates and projections.



## Letter of Intent

Nairobi, Kenya  
August 31, 2015

Ms. Christine Lagarde  
Managing Director  
International Monetary Fund  
Washington, D.C. 20431  
United States of America

Dear Ms. Lagarde:

1. Kenya's macroeconomic performance remains strong in the face of headwinds, supported by significant infrastructure investments, mining, and lower energy prices. Growth remains robust, despite the adverse impact on tourism on account of the prevailing security challenges. Inflation is within our target band, thanks to the coming on stream of low-cost geothermal energy and lower oil prices, and despite the impact of higher food prices in early 2015. The Shilling has depreciated against the US dollar mostly in response to global market developments, and its volatility has increased reflecting lower net capital inflows to our domestic market, similar to those observed in other emerging/frontier economies. The current level of foreign exchange reserves, backstopped by the precautionary program with the IMF, continues to provide an adequate cushion against exogenous shocks.
2. Performance under our economic program supported by the Stand-By Arrangement (SBA) and the Standby Credit Facility (SCF) arrangement has been broadly in line with program targets. We met all quantitative performance criteria and indicative targets under the program through end-March 2015 (Table 1), with the exception of temporary delays in the repayment of some external obligations resulting in the nonobservance of the continuous performance criterion on external arrears. These obligations were fully settled, and we have taken corrective measures to avoid any recurrence of such delays. We are therefore requesting waivers under both arrangements for this temporary non-observance. Reflecting the tapering of capital flows that started in April, the end-June indicative target on NIR was missed, as was the indicative target on the net domestic assets of the CBK. All other end-June indicative targets were met. In addition we have made significant progress in structural reforms, and we plan to address implementation delays by adhering to time-bound action plans to streamline the government's payroll, strengthening the Debt Management Office, submitting the new CBK Bill to parliament, and by implementing the Treasury Single Account (Tables 2 and 3). Consistent with our program commitments, we are bolstering CBK's ability to conduct stress testing and continue to further strengthen its supervisory framework, with a view to safeguard financial stability.
3. Reflecting our continued prudent macroeconomic policies and structural reforms together with substantial public investment, we expect an acceleration of economic growth in 2015. Nevertheless, external developments and domestic events—especially the high volatility in global markets and

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continued domestic security challenges—have put pressure on the foreign exchange market and public spending. In order to address these challenges, we maintained tight liquidity conditions in the money market by raising interest rates on longer-maturity instruments for Central Bank operations, and occasional sale of foreign exchange to smooth excessive exchange rate volatility. The Monetary Policy Committee raised the Central Bank Rate (CBR) by 150 basis points in June 2015, and by a further 150 basis points in July 2015.

4. As the impact of the above external and domestic shocks has proved persistent, a modest modification of the macroeconomic framework and quantitative targets under the program is warranted. We therefore request modification of the end-September 2015 performance criteria and of end-December 2015 indicative targets for net international reserves, net domestic assets, and the primary budget balance of the central government (Table 1).

5. Given our strong program implementation to date and the policy priorities outlined in the attached update of the Memorandum of Economic and Financial Policies (MEFP), we request completion of the first review under the SBA and SCF arrangements. In addition, given the continued low risk of external debt distress, we request the elimination of the performance criterion on contracting and guaranteeing of non-concessional external debt by the national government.

6. We intend to continue treating both arrangements as precautionary, and will only draw under these arrangements when an actual balance of payment need materializes. The second review under the SBA and the SCF arrangements will reassess the situation as well as program performance at the end-September 2015 test date. The second review is expected to be completed in January 2016.

7. The policies set out in the attached MEFP will enable us to achieve our program objectives, which remain unchanged. We will take any further measures that may become necessary for this purpose. We will consult with the IMF on the adoption of these measures, and in advance of revisions to the policies contained in the MEFP, in accordance with the IMF's policies on such consultations. We will provide such information as the IMF may request in connection with progress in implementing our economic and financial policies. We authorize the publication of the staff report for the first review of the SBA/SCF-supported program, this letter of intent, and the attached MEFP and technical memorandum of understanding.

Sincerely yours,

/s/  
Henry Rotich  
Cabinet Secretary  
The National Treasury

/s/  
Patrick Njoroge  
Governor  
Central Bank of Kenya

Attachments:

Memorandum of Economic and Financial Policies  
Technical Memorandum of Understanding

## Attachment I. Memorandum of Economic and Financial Policies

### I. DEVELOPMENTS UNDER THE PROGRAM

1. **Our economy has continued to perform well.** Real GDP grew by 5.3 percent in 2014, mainly driven by performance in mining and quarrying, electricity supply, construction, information and communication, finance and insurance and transport and storage sectors. The economy is estimated to expand at a robust pace in 2015, supported by strong private sector demand, and rising public investments, including a faster-than-expected execution of the Standard Gauge Railway (a major regional project). At the same time, the accommodation and food services sectors have been adversely affected by prevailing security threats that have discouraged tourist arrivals, while agricultural production has remained weak in the first quarter of 2015. Inflation has trended upward in recent months, reaching about 7 percent in June.
2. **The current account deficit widened to 10.4 percent of GDP in 2014, reflecting sizable imports of capital equipment and an acceleration of external services imports.** On the other hand the capital and financial flows recorded net inflows amounting to 12.5 percent of GDP in 2014, resulting in overall balance of payments surplus of about 2.2 percent of GDP, compared with 2.5 percent under the original program projections.
3. **That said, economic policy management and implementation of reforms under the program has been affected by the onset of external and domestic shocks.** Rising volatility in global markets in recent months, lower export prices, and the Garissa terrorist attack in April 2015 have adversely affected capital inflows and receipts from merchandise exports and tourism. These have contributed to a depreciation of the shilling and increased volatility in the foreign exchange market in recent months. To stabilize inflationary expectations and contain the second round effect of the weaker shilling on wages and prices, the CBK raised the Central Bank Rate (CBR) twice (in June and July 2015) by a cumulative 300 basis points to 11.5 percent and the interest rates on longer-maturity instruments for Central Bank liquidity operations by 250 basis points above CBR (see ¶15 below). Limited use of our international reserves buffer was aimed at smoothing exchange rate volatility. In addition, to effectively address the security threats, we have accelerated security-related spending, which has contributed to fiscal pressures in FY2014/15 (see ¶16 below).

### II. PROGRAM POLICIES

#### A. Program Objectives

4. **Our main policy objectives continue to focus on maintaining macroeconomic stability, while at the same time sustaining infrastructure investments, deepening structural and governance reforms, improving security conditions and supporting devolution.** Progress in these areas would help strengthen the business environment, encouraging in turn innovation, investment, growth and expansion of economic and

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employment opportunities in Kenya. The Fund-supported program continues to provide a policy anchor to implement our ambitious reform program, which has the following objectives:

- **Fiscal policy.** Adhering to medium-term debt targets, while preserving room to implement an ambitious public investment program aimed at reducing social and infrastructure gaps, minimizing vulnerabilities to weather-related shocks, and supporting devolution.
- **Public financial management.** Taking decisive steps to (i) increase the efficiency, effectiveness, transparency and accountability in the use of public resources, and (ii) contain fiscal risks arising especially from the fast-track devolution rollout and contingent liabilities.
- **Monetary policy.** Achieving inflation rate within the target band of  $5 \pm 2.5$  percent, and further improving the monetary policy framework to facilitate the transition towards a fully-fledged inflation targeting framework.
- **Financial stability.** Enhancing prudential oversight to address potential vulnerabilities including those arising from foreign currency exposure risks and cross-border expansion by Kenyan banks.
- **Business environment.** Creating a more favorable business environment, including by strengthening security, deepening structural and governance reforms to improve the cost of doing business, thus boosting investments and employment creation.
- **Data provision.** Improving data quality to support economic policy making and facilitate transition to frontier/emerging market status.

## B. Macroeconomic Framework

5. **In light of the adverse impact that the above shocks are having on our economy, modest revisions to the macroeconomic framework for the program are warranted.** For 2015, the proposed modifications include (i) somewhat lower GDP growth, reflecting the adverse impact of security challenges on the tourism sector; (ii) higher inflation, as a result of the pass-through to prices of the recent exchange rate depreciation and a slight pickup in global fuel prices; and (iii) a weaker balance of payments, in light of a modest deterioration in export prices, depressed tourism and weaker financial inflows from the ongoing volatility in global markets, resulting in lower international reserves. Risks to these projections remain on the downside, especially if global growth weakens further, and/or pressures in the foreign exchange market persist.

## C. Fiscal Policy

6. **Program policy objectives.** Our fiscal anchor remains maintaining gross public debt below 45 percent of GDP in present value terms, and we are committed to gradually bringing the fiscal deficit over the medium term towards the EAMU's convergence criteria of 3 percent of GDP. This requires containing current spending and mobilizing additional revenues, with a view

to preserving room for much-needed social and infrastructure spending aimed at supporting faster and more inclusive growth.

**7. Fiscal performance in FY2014/15.** We have faced several challenges implementing the 2014/15 budget. Revenue collection has been weaker than projected, reflecting mainly lower-than-expected income tax and VAT collection, and challenges in the full implementation of the capital gains tax. In addition, we have encountered pressures on other current spending, reflecting to a large extent the need for higher security-related outlays in response to recent security and terrorism events. On the positive side, the execution of the Standard Gauge Railway (SGR) has proceeded faster than expected, resulting in a front loading of development spending of about 0.8 percent of GDP. To contain the pressure on the fiscal deficit and financing from the aforementioned factors, we stopped new commitments by ministries and other agencies as of June 8, 2015. These measures allowed us to meet the indicative target on the primary fiscal deficit excluding SGR-related spending for end-June 2015 (Table 1).

**8. The 2015/16 budget.** The 2015/16 budget targets a primary fiscal deficit of 5.3 percent of GDP in 2015/16, striking an appropriate balance between the support for rapid and inclusive growth and fiscal discipline to maintain debt sustainability and remain consistent with financing constraints. We are confident that the policies outlined below are sufficient to achieve our fiscal objectives for 2015/16. Nevertheless, we are committed to take additional corrective measures if the fiscal outturn through end-2015 falls short of program targets.

- **Revenue mobilization.** We have taken concrete steps to collect additional revenue, through a wide range of revenue yielding corrective measures as well as new policy initiatives expected to yield about Ksh 63.64 billion or 1.0 percent of GDP. This includes Ksh 28.44 billion from the modernized Excise duty Act 2015, adopted by Parliament in August that raises specific excises on cigarettes, alcoholic beverages, motor vehicles and motor cycles, and fuels; Ksh 5.0 billion from recent amendments to the Income Tax Act that replaced Capital Gains Tax with a withholding tax on the transaction value of the shares; Ksh 8.1 billion from higher VAT revenue reflecting expected improved compliance from identified non-filers via the new iTax; Ksh 3.0 billion from the expected improvement in compliance on customs revenues following the recent adoption of the Electronic Single Window declaration module; Ksh 4.1 billion from Real Estate from a simplified 12 percent tax on gross rental income of individuals; Ksh 10.0 billion from expected improvement in compliance from Pay-As-You-Earn (PAYE) ; and Ksh 5.0 billion from a newly introduced levy on identity verification queries to the Integrated Population Registration System (IPRS).
- **Development spending.** This year's budget includes higher allocations to support critical infrastructure projects in roads, irrigation, the Standard Gauge Railway, ports, security, and energy. As a result, development spending as a share of total national government spending is set to increase to over 41 percent in 2015/16 compared to 29 percent in 2013/14, and an estimated 36 percent in 2014/15.

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- **Recurrent spending.** We will continue to contain current spending, especially on wages, while maintaining high priority social spending. In particular, we will streamline the national government payroll following the identification of ghost workers and redundancies by a recent biometric personnel audit. We will also extend to 2015/16 the freeze on new recruitment (except for exceptional services such as security, health and education) that was introduced in FY2014/15. These actions would allow us to continue reducing wage spending to 5.1 percent of GDP in 2015/16 (compared to 5.6 percent in 2013/14). We also plan to conduct a biometric personnel audit for counties and semi-autonomous government agencies. At the same time, security-related recurrent spending will increase in 2015/16 to boost our counter-terrorism capabilities to effectively deal with heightened security threats.

**9. Devolution.** We are taking steps to strengthen accountability and fiscal discipline in the use of devolved resources, to achieve our constitutional objectives of improving service delivery and enhancing equitable economic development at the county level. This includes implementation starting in June 2015 of a framework establishing limits and guidelines for borrowing by county governments consistent with the PFM Act. The safeguards included in this framework will help contain fiscal risks and ensure public debt sustainability. We will complete an audit of outstanding county assets and liabilities by end-December 2015 (proposed resetting of the end-September 2015 **structural benchmark**). Further, we are implementing a strategy to enhance revenue management by counties to strengthen their revenue raising measures and correct duplication and distortions in local taxes and fees that hurt the business environment. Based on the positive experience in the introduction of the county borrowing framework, we are organizing a conference to discuss the international experience in these matters before October 2015. In addition, the national government continues to support capacity building at the county level, in particular on improving revenue collection, including by automating county revenue collection and leveraging the Kenya Revenue Authority's (KRA) infrastructure.

**10. Staff rationalization.** The Government approved in August a plan to continue implementation of the Capacity Assessment and Rationalization of the Public Service (CARPS) program (end-March 2015 **structural benchmark** under the program), aiming at a significant rationalization of the public service to ensure that government functions are properly structured and staffed to facilitate public service delivery at the national and county levels. The next phase of the program entails the start up of a process of rationalization and redeployment, which would entail the following key steps in the period July-December 2015:

- Continue with the hiring freeze except for exceptional cases approved by the Cabinet Secretary for Devolution and Planning and the Cabinet Secretary for the Treasury.
- Establish legal and pension frameworks that allow transfer of staff among counties and between ministries and counties.
- Renew contracts of staff only in cases clearly identified in the new government structure.
- Establish options and incentives for voluntary separation to address structural problems with capacity and performance of public service, with a clearly specified budget for accelerated benefits, early exit compensations, and other facilities.

- Establish a joint ministerial-county committee to oversee the rationalization and redeployment process.

**11. Public finance management.** To contain and manage fiscal risks from contingent liabilities beyond those associated with devolution, we reported in the 2015 Medium-Term Budget Policy Statement on all commitments and obligations under all existing PPPs and guarantees, meeting the end-March structural benchmark. We have also adopted a new risk and exposure assessment framework under the Public Private Partnership (PPP) program. We have established a link between the PPP unit and the Debt Management Office to exchange information on the treatment of contingent liabilities arising from the projects as they reach execution stage.

**12. Debt Management.** We will leverage on the Commonwealth Secretariat Debt Recording and Management System (CSDRMS) to derive loan repayment obligations as they fall due, without the need to wait for invoices from lenders and make the request for release of funds. The payment process will start 30 days before the due date to allow for internal approvals by National Treasury and Controller of Budget, and eventual payment by CBK well before the due date. As a reset **structural benchmark** for end-September, we will also introduce the following measures to strengthen Debt Management Office:

- Fill the position of Director General of the Directorate of Public Debt Management.
- Appoint Directors assigned full time to the DMO.
- To ensure timely repayment of external obligations, the DMO will (i) elevate to the cabinet secretary a quarterly report with all obligations coming due, (ii) use the Commonwealth Secretariat Debt Recording and Management System as the basis for auditing debt repayments instead of relying on the invoices, and (iii) start the automation of internal processes between different units involved in processing debt payments.
- Initiate the process of separating front, middle and back office functions, with technical assistance from the Fund. In particular, we will assign staff in the DMD middle office to manage risk and compliance issues; identify the number of staff needed for front, middle, and back office functions; and ensure deployment of necessary personnel to cover these functions.
- Incorporate cost/risk analysis of the borrowing operations, steered by targets established in the debt-management strategy. The analysis will also be extended to new contingent liabilities and PPP projects.
- Auction plans including dates and instruments will be published at least a month ahead. DMO representative at the auction would be responsible for implementing the monthly plans and will be empowered to decide on deviations of the plan in case market conditions change significantly.



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- Include in the next Annual Public Debt Report an evaluation of how the government debt management activities have complied with the debt management strategy.

**13. Treasury Single Account.** We are making significant progress in improving the efficiency of the government cash management and payment processes and in extending the coverage of the IFMIS/Internet banking and financial reporting to include all key government entities with accounts at the CBK. This will lay the foundations for enhanced cash management practices in preparation for the full adoption of the Treasury Single Account (TSA). The full TSA implementation will entail the automation of cash planning and exchequer release process and consolidation of the government bank accounts balances at the CBK on a daily basis. The consolidation will provide the basis of calculating interest on the net government cash position, net of the overdraft balance. The assessment of the TSA system to be adopted in Kenya required a longer-than-anticipated initial phase of institutional coordination, requiring a resetting of the end-June 2015 structural benchmark under the program. We have now taken the decision to adopt a sub-account structure TSA model, which is in line with our PFM legal and institutional framework. In that regard, we commit, as a **reset structural benchmark** under the program, by end-September to: (i) complete the migration of the National Government voted MDAs to IFMIS and internet banking, with the exception of the security agencies. This will allow the National Treasury and the CBK access to information in real time about the availability of idle resources in spending units; (ii) capture exchequer transactions, debt payments and other Consolidated Fund Services transactions in IFMIS to be able to generate reports of revenues, payments and bank balances upon request; (iii) reach a Service Level Agreement between the National Treasury and the CBK that would govern the agency operations including overdraft and interest calculations, service fees and other charges arising from their financial relations in anticipation of the likely reduction in reliance on overdraft and interest paid thereon; and (iv) start automating the Exchequer release process, enabling timely transfers, payments and account reconciliations.

**14. Parastatal reform.** We continue to upgrade the regulatory framework governing our parastatal sector. To that effect, a Code of Governance was approved in January 2015 by Presidential Executive Order. This Code has introduced a framework guiding appointments, and improving accountability in state-owned corporations. The Government Owned Entities Bill has been submitted to the Cabinet, and the Sovereign Wealth Fund Bill is being reviewed by the Attorney General before submission for final cabinet discussion. We also initiated the process of merger of parastatal entities, starting from the agricultural sector, bringing down the research and regulatory parastatals in the sector from 12 to 2.

## D. Monetary Policy

**15. Program policy objectives.** We reaffirm the key objective of keeping headline inflation in the medium term at the midpoint of our target range ( $5 \pm 2.5$  percent), in the context of a floating exchange rate regime. We will continue to monitor developments in the foreign exchange market and intervene only to mitigate excess volatility, while maintaining adequate reserve buffers to protect the economy in the event of further exogenous shocks.



**16. Monetary policy stance.** The CBK remains vigilant against inflationary pressures. Consistent with a forward looking monetary policy framework, and to support a tightening bias in monetary conditions, the CBK raised in May 2015 the ceiling on CBK liquidity operations for longer-maturity term auction deposit rates from 0 to 250 basis points above the CBR. During the meeting of June 9, 2015, the MPC raised the Central Bank Rate (CBR) by 150 basis points. This measure is intended to anchor inflation expectations in the presence of continued high food prices, shilling depreciation in the recent months and the partial reversal of oil prices. To mitigate the potential impact of global developments and emerging risks on inflationary expectations, at its meeting on July 7, the MPC raised the CBR further by 150 basis points to 11.5 percent, and also introduced a 3-day repo to further expand the menu of instruments for liquidity management. We are confident that these actions will help contain inflation expectations and moderate second round inflationary effects. We stand ready to take further actions as needed, to keep inflation anchored around the middle of our target band.

**17. Monetary policy framework.** Consistent with commitments under the program, we have taken a number of steps to further strengthen our monetary policy framework. These include (i) submission to parliament in September of a Central Bank Act/draft Central Bank Bill, which enshrines in legislation the CBK's current policy of prioritizing price stability and strengthens further CBK's operational independence (reset structural benchmark for end-September 2015, Table 3); and (ii) establishment in March 2015 of an inflation modeling and forecasting unit at the CBK, which is providing scenario analysis and other inputs to inform monetary policy decisions. In addition, we plan to increase the frequency of submission by the National Treasury to the CBK of Government cash flow plans to quarterly (rather than annually) starting in July.

## E. Financial Sector

**18. Program policy objectives.** We will continue to safeguard financial stability by further strengthening the financial sector oversight framework, continuing to enforce prudential rules, and by managing risks associated with rising cross-border operations, expansion of banks activities into holding group structures, and increased volatility in the foreign exchange market.

**19. Prudential oversight.** We have taken a number of steps to further strengthen our banking sector prudential framework and maintain financial stability:

- **Enhanced bank monitoring and enforcement of prudential rules.** As part of our prudential toolkit, we have recently completed surveying and analyzing banks' loan restructuring activity and their exposure to mortgages, as well as strictly enforcing prudential rules on loan loss provisioning. We will continue to monitor developments in these areas on a regular basis and take appropriate remedial measures as needed. To manage the risks associated with increased volatility in the foreign exchange market, we will analyze the balance sheet risks associated with assets and liabilities denominated in foreign currency by September 2015.

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- In order to ensure strong and well capitalized financial institutions, we plan to, among other measures, review the minimum capital requirements. We will also strengthen supervisory and regulatory measures to align institutions capital to their risk profiles.
- **Stress tests.** With a view to enhance CBK's ability to conduct top-down stress testing of the banking system, we are developing a micro and macro-financial model within a relatively simple, but robust stress-testing methodology that captures the main risks faced by banks operating in Kenya. CBK has undertaken an Organizational Development Review (ODR) to provide an appropriate institutional arrangement for conducting banks' stress testing and developing other macro-prudential tools. With support of Fund TA, we plan to roll out the first set of stress-test results by end-June 2016.
- **Cross-border and consolidated supervision.** As part of our effort to strengthen consolidated supervision, we currently have operational supervisory colleges for 6 of the largest Kenyan banks operating in the region. With support from AFRITAC East, we have also successfully concluded the host supervision assessment for Uganda and expect to finalize such assessments for all the remaining host countries by end-June 2017.

### F. Ease of Doing Business and Data Quality

**20. Program policy objectives.** Improve the business environment, including by deepening structural and governance reforms, with a view to ease cost of doing business and thus boost investments and employment creation. To facilitate transition towards emerging market status will require, among other things, improving the quality, coverage and timeliness of Kenya's macroeconomic statistics.

**21. Improving the business environment and regulatory reforms.** We have taken a number of steps that are reducing the cost of doing business in Kenya, including the adoption of (i) streamlined procedures through a new online portal for company and property registration; (ii) online approvals and lower charges for construction permits in Nairobi; (iii) steps that have nearly halved the number of days to obtain electricity (to 78 from 155 days with the goal to reduce further to 30days; (iv) significantly simplified procedures for trading across border; and (v) an alternative simplified contract dispute mechanism in Nairobi.

- Currently, business name search and reservation is being done online through e-Citizen portal and the mobile USSD code. For about 40 percent of the companies registered, it takes only 2 days and for the remaining 60 percent about 12 days compared to 30 days as indicated in the World Bank Doing Business. At the same time, the procedures for registering property have been reduced from 9 to 6.
- The company and Insolvency Bills have been redrafted to take into account comments from Parliament and have been published and resubmitted to Parliament. Once the Company Act is passed, it will be possible to have processes for starting a business from one point. The Registration of Business Service Bill has also been submitted to Parliament.

- The declaration module of the Electronic Single Window is now operational and beginning July 1st 2015, all importers and exporters and other service providers will be required to process their transactions through the system. This will enhance transparency, accountability, and remarkably ease the cost of doing business while at the same time strengthening revenue collection.
- In addition, the online iTax system is now operational and beginning April 2015, tax payers can only file their income tax and VAT returns and online. The iTax will: simplify tax processes and make it easy for Taxpayers to comply; shorten time taken to extract data & information on revenue; reduce time taken by Taxpayers when dealing with KRA; re-engineer business processes for effectiveness & efficiency; and enhance the ability/accuracy of KRA/Taxpayers to account for taxes thereby increasing revenues.

**22. Data quality and timeliness.** We are making progress on our commitment to improve macroeconomic statistics with a view to subscribing to the Fund's Special Data Dissemination Standard by 2022. To that end, in its 2015 Economic Survey publication, the Kenya National Bureau of Statistics (KNBS) published a BPM6-compliant balance of payments statement and Kenya's first consolidated GFS 2014 estimates for the public corporations, general government sector and its subsectors. In addition, the KNBS recently released the 2012/13 Kenya National Housing Survey results, including a first-ever official unemployment estimate for Kenya (8.1 percent). Moreover, the field work on the Foreign Investor Survey (FIS) for 2015 is currently underway as scheduled, and the results of the survey will be published by September 2015. The FIS data for 2015 and earlier years are expected to be used to publish a BPM6-compliant balance of payments fully integrated with an International Investment Position statement in the 2016 Economic Survey. Finally, the KNBS will commence with the Household Budget Survey in July 2015 with a view of publishing the results by end-2016.

**Table 1. Kenya: Quantitative Performance Criteria and Indicative Targets**  
(in billion of Kenyan Shilling, unless otherwise indicated)

|                                                                                                                                                              | 2014     |       | 2015                                              |            |        |             |               |            |             |              |                           |              |                           |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|-------|---------------------------------------------------|------------|--------|-------------|---------------|------------|-------------|--------------|---------------------------|--------------|---------------------------|
|                                                                                                                                                              | End-Dec. |       | Performance Criteria (PC)/Indicative targets (IT) |            |        |             |               |            |             |              |                           |              |                           |
|                                                                                                                                                              |          |       | End-Mar (PC)                                      |            |        |             | End-June (IT) |            |             | End-Sep (PC) |                           | End-Dec (IT) |                           |
|                                                                                                                                                              | Prog.    | Prel. | Prog.                                             | Adj. Prog. | Prel.  | Met/Not Met | Prog.         | Prel. Est. | Met/Not Met | Prog.        | Rev. Prog.                | Prog.        | Rev. Prog.                |
| <b>Quantitative performance criteria <sup>1</sup></b>                                                                                                        |          |       |                                                   |            |        |             |               |            |             |              |                           |              |                           |
| Fiscal targets                                                                                                                                               |          |       |                                                   |            |        |             |               |            |             |              |                           |              |                           |
| Primary budget balance of the national government (= deficit, floor) <sup>2,3</sup>                                                                          | -104.1   | -92.3 | -171.9                                            | -174.2     | -140.3 | Met         | -209.9        | -200.6     | Met         | -52.9        | -78.0                     | -98.8        | -119.6                    |
| Monetary targets <sup>4,5</sup>                                                                                                                              |          |       |                                                   |            |        |             |               |            |             |              |                           |              |                           |
| Stock of central bank net international reserves (floor, in millions of US\$) <sup>6,7</sup>                                                                 | 5,909    | 6,746 | 5,956                                             | 5,956      | 6,498  | Met         | 6,115         | 5,920      | Not met     | 6,173        | 5,308                     | 6,132        | 5,987                     |
| Public debt targets                                                                                                                                          |          |       |                                                   |            |        |             |               |            |             |              |                           |              |                           |
| Contracting and guaranteeing of all medium and long term nonconcessional external debt by the national government (ceiling, millions of US\$) <sup>8,9</sup> | 1,100    | 1,100 | 1,100                                             | 1,100      | 873    | Met         | 1,600         | 873        | Met         | 1,600        | Proposed to be eliminated | 2,100        | Proposed to be eliminated |
| National government external payment arrears (ceiling, millions of US\$) <sup>10</sup>                                                                       | 0        | 35    | 0                                                 | 0          | 69     | Not met     | 0             | 69         | Not met     | 0            | 0                         | 0            | 0                         |
| Monetary policy consultation clause                                                                                                                          |          |       |                                                   |            |        |             |               |            |             |              |                           |              |                           |
| Upper band                                                                                                                                                   | ...      | ...   | 7.5                                               | 7.5        | ...    | ...         | 7.5           | ...        | ...         | 7.5          | 7.5                       | 7.5          | 7.5                       |
| Center inflation target <sup>11</sup>                                                                                                                        | ...      | ...   | 5.0                                               | 5.0        | 5.8    | Met         | 5.0           | 7.0        | Met         | 5.0          | 5.0                       | 5.0          | 5.0                       |
| Lower band                                                                                                                                                   | ...      | ...   | 2.5                                               | 2.5        | ...    | ...         | 2.5           | ...        | ...         | 2.5          | 2.5                       | 2.5          | 2.5                       |
| Indicative targets                                                                                                                                           |          |       |                                                   |            |        |             |               |            |             |              |                           |              |                           |
| Stock of net domestic assets of the central bank (ceiling) <sup>5</sup>                                                                                      | -230     | -234  | -206                                              | -206       | -230   | Met         | -186          | -160       | Not met     | -177         | -111                      | -192         | -124                      |
| Priority social expenditures of the national government (floor) <sup>3</sup>                                                                                 | 24       | 24    | 40                                                | 40         | 42     | Met         | 52            | 53         | Met         | 14           | 12                        | 25           | 25                        |
| Stock of all guarantees issued by the national government (ceiling) <sup>3</sup>                                                                             | 45       | 45    | 50                                                | 50         | 0      | Met         | 50            | 0.0        | Met         | 50           | ...                       | 50           | ...                       |
| <i>Memorandum items:</i>                                                                                                                                     |          |       |                                                   |            |        |             |               |            |             |              |                           |              |                           |
| Maximum upward adjustment of the primary deficit ceiling owing to excess in concessional loans relative to program projections <sup>3</sup>                  | ...      | ...   | 59.5                                              | ...        | ...    | ...         | 79.3          | ...        | ...         | 16.8         | 16.8                      | 42.0         | 42.0                      |
| Programmed concessional loans <sup>3</sup>                                                                                                                   | ...      | ...   | 85.6                                              | ...        | ...    | ...         | 119.0         | ...        | ...         | 23.7         | 23.7                      | 69.5         | 69.5                      |
| Budgeted concessional loans <sup>3</sup>                                                                                                                     | ...      | ...   | 145.1                                             | ...        | ...    | ...         | 198.3         | ...        | ...         | 24.8         | 24.8                      | 111.4        | 111.4                     |
| Programmed external commercial debt (millions of US\$) <sup>3</sup>                                                                                          | ...      | ...   | 750                                               | 750        | 750    | ...         | 750           | 750        | ...         | 750          | 750                       | 1,250        | 1,500                     |
| Program grants <sup>3</sup>                                                                                                                                  | ...      | ...   | 3.8                                               | 3.8        | 3.5    | ...         | 6.1           | 3.8        | ...         | 0.5          | 1.3                       | 2.5          | 2.9                       |

<sup>1</sup> Performance criteria for end-March 2015 and end-September 2015, and indicative target for end-June 2015 and end-December 2015.

<sup>2</sup> The primary budget balance of the national government is defined as overall balance including grants, plus interest payments, excluding SGR-related expenditure. Targets will be adjusted upwards by the excess in concessional loans relative to the programmed amounts, up to the budgeted amounts, and downwards by the shortfall in concessional loans relative to the programmed amounts.

<sup>3</sup> Targets for end-March 2015 and end-June 2015 are cumulative flows from July 1, 2014 (beginning of the 2014/15 fiscal year). Targets for end-September 2015 and end-December 2015 are cumulative flows from July 1, 2015.

<sup>4</sup> For program monitoring, the daily average for the month when testing dates are due.

<sup>5</sup> The NIR floor will be adjusted upward by half of the excess, and downward fully by the shortfall in external budgetary support (program grants) and external commercial debt relative to the programmed amounts. The NDA ceiling will be adjusted downward by half of the excess and upward fully for the shortfall of external budgetary support (program grants) and external commercial debt relative to the programmed amounts.

<sup>6</sup> Excludes encumbered reserves.

<sup>7</sup> Using exchange rates as at end-October 2014 (see TMU ¶19).

<sup>8</sup> Cumulative flow of contracted debt, from July 1, 2014.

<sup>9</sup> The targets on the ceiling of non-concessional external debt combine nonconcessional project loans, syndicated loan and sovereign bond.

<sup>10</sup> Continuous. Cumulative flow in gross terms from July 1, 2014 for the period through end-June 2015, and from July 1, 2015 thereafter.

<sup>11</sup> Compliance will be evaluated based on the 12-month inflation average of the latest three months.

**Table 2. Kenya: Performance Against End-March and end-June 2015 Structural Benchmarks**

| <b>Measure</b>                                                                                                                                                                                                                                             | <b>Target Date</b> | <b>Status</b>                                                                                                                                                                                                                                                                             |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Complete an action plan aimed at strengthening the staffing of the Public Debt Management Office at the National Treasury (IMF Country Report No. 15/31, MEFP ¶13).                                                                                        | End-March 2015     | <b>Not met.</b> Proposed to be reset for end-September 2015 (see Table 3).                                                                                                                                                                                                                |
| Report in the Budget Policy Statement: (i) all existing PPPs, with their key features, including all commitments and obligations in PPP projects; and (ii) all government guarantees including those to counties (IMF Country Report No. 15/31, MEFP ¶13). | End-March 2015     | <b>Met.</b> List and key features of existing PPPs included in the Budget Policy Statement approved by Parliament in February 2015.                                                                                                                                                       |
| Complete report on personnel audits for the national and county governments including a time-bound action plan aimed at rationalizing personnel to avoid overlapping of positions (IMF Country Report No. 15/31, MEFP ¶11).                                | End-March 2015     | <b>Not met.</b> The staff rationalization plan was approved in August 2015 (see ¶9).                                                                                                                                                                                                      |
| Adopt a framework for county borrowing with guidelines consistent with PFM Law, and incorporate future county borrowing in the government's medium-term debt strategy (IMF Country Report No. 15/31, MEFP ¶12).                                            | End-March 2015     | <b>Met.</b> The cabinet adopted the framework for county borrowing guidelines and sent it to the parliament for approval.                                                                                                                                                                 |
| Submit to Parliament a new Central Bank of Kenya Bill that sets price stability as primary CBK objective (IMF Country Report No. 15/31, MEFP ¶17).                                                                                                         | End-March 2015     | <b>Not met.</b> The draft Bill has been reviewed by the Attorney General and is with the Commission on Implementation of the Constitution. It will thereafter be shared with Cabinet for Approval before submitting the draft Bill to Parliament. Proposed to be reset for end September. |
| Fully integrate payroll payments to core civil service through the GHRIS in IFMIS (IMF Country Report No. 15/31, MEFP ¶11).                                                                                                                                | End-June 2015      | <b>Not met.</b> Proposed to be reset for end-September 2015 (see Table 3).                                                                                                                                                                                                                |
| Complete the full Phase I core TSA to fully integrate the TSA with IFMIS (IMF Country Report No. 15/31, MEFP ¶13).                                                                                                                                         | End-June 2015      | <b>Not met.</b> Proposed to be reset for end-September 2015 (see Table 3). Significant progress made (see ¶12).                                                                                                                                                                           |

**Table 3. Kenya: Existing and Proposed Structural Benchmarks, September 2015**

| <b>Measure</b>                                                                                                                                                                                                                                                                                                                                                                               | <b>Target Date</b> | <b>Macro Criticality</b>                                                                                       |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|----------------------------------------------------------------------------------------------------------------|
| Take measures to strengthen the staffing of the Public Debt Management Office at the National Treasury (¶12). Proposed.                                                                                                                                                                                                                                                                      | End-September 2015 | Improve public debt management and reduce fiscal risks. Reset from end-March 2015.                             |
| Submit to Parliament a new Central Bank of Kenya Bill that sets price stability as primary CBK objective. Proposed.                                                                                                                                                                                                                                                                          | End-September 2015 | Strengthen CBK's independence and clarify policy objectives. Original target was end-March 2015 (see Table 2). |
| Complete the audit of assets and liabilities of all counties including those inherited at the onset of devolution (IMF Country Report No. 15/31, MEFP ¶12).                                                                                                                                                                                                                                  | End-December 2015  | Limit fiscal risks. Proposed to be reset from end-September 2015.                                              |
| Produce GFS-compliant consolidated fiscal accounts for the national government and parastatals (IMF Country Report No. 15/31, MEFP ¶13).                                                                                                                                                                                                                                                     | End-September 2015 | Limit fiscal risks.                                                                                            |
| Publish Foreign Investment Survey covering years 2012-13 (IMF Country Report No. 15/31, MEFP ¶22).                                                                                                                                                                                                                                                                                           | End-September 2015 | Improve BOP data quality, assessment of private debt vulnerabilities, and information for macro policy making. |
| Complete the migration of all National Government MDAs to IFMIS/ Internet Banking (with the exception of security agencies); capture exchequer, debt payments and other Consolidated Fund Services transactions in IFMIS; reach a Service Level Agreement between the National Treasury and the CBK on agency operations; and start automating of Exchequer release process (¶13). Proposed. | End-September 2015 | Improve liquidity management and facilitate monetary policy implementation.                                    |

## Attachment II. Technical Memorandum of Understanding

1. This memorandum sets out the understandings between the Kenyan authorities and the IMF regarding the definitions of quantitative performance criteria and indicative targets, their adjusters and data reporting requirements for the 12-month Stand-By Arrangement and Standby Credit Facility.
2. For the purposes of the program, the National Government of Kenya corresponds to the budgetary central government encompassing the activities of the national executive, legislative and judicial powers covered by the National Budget. Specifically, it includes the parliament, presidential office, national judiciary, Ministries, Departments, Agencies, and Constitutional Commissions and Independent Offices.

### II. QUANTITATIVE PERFORMANCE CRITERIA AND BENCHMARKS

3. Quantitative performance criteria were established for March 31, 2015, and September 30, 2015 with respect to:
  - the primary balance of the national government including grants, and excluding spending related to the Standard Gauge Railway project, cash basis (**floor**);
  - the net official international reserves (NIR) of the Central Bank of Kenya (CBK) (**floor**);
  - nonconcessional medium- and long-term external debt contracted or guaranteed by the national government (**ceiling**)- proposed to be eliminated after the first review; and
  - national government medium- and long-term external public debt arrears (**continuous ceiling**);
  - monetary policy consultation clause (**band**).
4. The program sets indicative targets for June 30, 2015 with respect to:
  - the net domestic assets (NDA) of the CBK (**ceiling**);
  - priority social spending of the national government (**floor**); and
  - stock of guarantees issued by the national government (**ceiling**).

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### III. PERFORMANCE CRITERION ON THE PRIMARY BALANCE OF THE NATIONAL GOVERNMENT

5. **The national government primary balance** on cash basis is defined as national government revenues and grants minus expenditures and net lending, plus due interest payments, and spending related to the Standard Gauge Railway project, adjusted for cash basis.

6. For program purposes, the **national government primary balance** on cash basis will be measured from the financing side as the sum of the following: (a) the negative of net domestic financing of the national government, excluding securitization of VAT refund arrears; (b) the negative of net external financing of the national government, excluding the executed amount of disbursements related to the Standard Gauge Railway project; and (c) domestic and external interest payments of the national government. For the March 31, 2015 and June 30, 2015 test dates, the national government primary balance will be measured cumulatively from July 1, 2014, and for the September 30, 2015 test date cumulatively from July 1, 2015.

The above items are defined as follows:

- **Net domestic financing** of the national government is defined as the sum of:
    - net domestic bank financing;
    - net domestic nonbank financing;
    - change in the stock of domestic arrears as reported by the National Treasury; and
    - proceeds from privatization.
  - **Net external financing** is defined as the sum of:
    - disbursements of **external nonconcessional project loans**, including securitization and excluding executed amounts of disbursements related to the Standard Gauge Railway project;
    - disbursements of **budget support loans**;
    - the negative of principal repayments on all **external loans**;
    - net proceeds from issuance of external debt;
    - any exceptional financing (including rescheduled principal and interest);
    - net changes in the stock of short-term external debt; and
    - any change in external arrears including interest payments.
  - **Domestic and external interest payments** of the national government are defined as the due interest charges on domestic and external national government debt.
7. **Adjustors.** The national government primary balance will be: (i) adjusted downward by the amount of the shortfall in program grants, which are expected as refunds for Kenya's participation in African Union Mission in Somalia (AMISOM), as specified in TMU Table 1 below; and (ii) adjusted



upwards by the excess in concessional loans relative to the programmed amounts, up to the budgeted amounts in line with Kenyan law.

| <b>TMU Table 1. Kenya: African Mission in Somalia (AMISOM) Grant Schedule</b>                            |      |      |      |      |
|----------------------------------------------------------------------------------------------------------|------|------|------|------|
| (Billions of Kenyan Shillings)                                                                           |      |      |      |      |
|                                                                                                          | 2015 |      |      |      |
|                                                                                                          | Mar. | Jun. | Sep. | Dec. |
| Program Amount <sup>1</sup>                                                                              | 3.8  | 6.1  | 0.5  | 2.5  |
| Source: Authorities' data.                                                                               |      |      |      |      |
| <sup>1</sup> For FY2014/15 cumulative from July 1, 2014, and for FY2015/16 cumulative from July 1, 2015. |      |      |      |      |

#### IV. PERFORMANCE CRITERION ON THE NET INTERNATIONAL RESERVES OF THE CENTRAL BANK OF KENYA

8. **The net official international reserves** (NIR) (stock) of the CBK will be calculated as the difference between total gross official international reserves and official reserve liabilities.

- **Gross official international reserves** are defined as the sum of:
  - the CBK's holdings of monetary gold (excluding amounts pledged as collateral);
  - holdings of Special Drawing Rights (SDRs);
  - CBK holdings of convertible currencies in cash or in nonresident financial institutions (deposits, securities, or other financial instruments).
- **Gross official international reserves** exclude:
  - the reserve tranche position in the IMF;
  - pledged, swapped, or any encumbered reserve assets, including but not limited to reserve assets used as collateral or guarantees for third-party external liabilities;
  - deposits with Crown agents; and
  - precious metals other than gold, assets in nonconvertible currencies and illiquid foreign assets.
- **Gross official reserve liabilities** are defined as:
  - the total outstanding liabilities of the CBK to the IMF except those arising from the August 28, 2009 SDR general allocation and the September 9, 2009 SDR special allocation;
  - convertible currency liabilities of the CBK to nonresidents with an original maturity of up to and including one year;
  - commitments to sell foreign exchange arising from derivatives (such as futures, forwards, swaps, and options).

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- The following **adjustors** will apply to the target for NIR:
  - If budgetary external program grants and external commercial debt exceed the programmed amounts set out in TMU Table 2 below, the target for NIR will be adjusted upward by half of the difference.
  - If budgetary external program grants and external commercial debt fall short of the programmed amounts set out in TMU Table 2 below, the target for NIR will be adjusted downward by the difference.

| <b>TMU Table 2. Projected Budgetary External Grants and Loans</b> |      |      |      |       |
|-------------------------------------------------------------------|------|------|------|-------|
| (US\$ millions)                                                   |      |      |      |       |
|                                                                   | 2015 |      |      |       |
|                                                                   | Mar. | Jun. | Sep. | Dec.  |
| Program grants <sup>1</sup>                                       | 40   | 52   | 14   | 25    |
| External commercial debt <sup>2</sup>                             | 750  | 750  | 750  | 1,500 |

Source: Kenyan authorities.

<sup>1</sup> For FY2014/15 cumulative from July 1, 2014, and for FY2015/16 cumulative from July 1, 2015.

<sup>2</sup> Cumulative from July 1, 2014.

**9. NIR are monitored in U.S. dollars,** and, for program monitoring purposes, assets and liabilities in currencies other than the U.S. dollar shall be converted into dollar equivalent values, using the exchange rates as specified in TMU Table 3 below, and net international reserves will be computed as the daily average for the month when the testing date is due.

| <b>TMU Table 3. Kenya: Program Exchange Rates</b> |                                       |                                 |
|---------------------------------------------------|---------------------------------------|---------------------------------|
| (Rates as of October 31, 2014)                    |                                       |                                 |
| Currency                                          | Kenyan Shillings<br>per currency unit | US Dollars per<br>currency unit |
| US Dollar                                         | 89.35                                 | 1.0000                          |
| STG Pound                                         | 142.74                                | 1.5975                          |
| Japanese Yen                                      | 0.81                                  | 0.0091                          |
| Canadian Dollars                                  | 79.76                                 | 0.8926                          |
| Euro                                              | 112.34                                | 1.2573                          |
| Swiss Franc                                       | 93.29                                 | 1.0444                          |
| Swedish Kronor                                    | 12.14                                 | 0.1359                          |
| Danish Kronor                                     | 15.09                                 | 0.1689                          |
| Chinese Yuan                                      | 14.62                                 | 6.1111                          |
| Australian Dollars                                | 78.57                                 | 1.1373                          |
| SDR                                               | 132.09                                | 1.4783                          |

Source: Central Bank of Kenya.

## V. CONTINUOUS PERFORMANCE CRITERION ON THE NATIONAL GOVERNMENT EXTERNAL PAYMENT ARREARS

**10.** National government external payment arrears to official and private creditors are defined as overdue payments (principal or interest), which were not made by their contract due date nor during the applicable grace period thereafter, on debt contracted by the national government. National government guaranteed external debt payment arrears (principal or interest) to official and private creditors are defined as overdue payments beyond 30 days after the original contract due date in order to allow the national government sufficient time to process the due repayment after the original debtor has notified of its inability to pay. The definition excludes arrears relating to debt subject to renegotiation (dispute) or rescheduling.

**11.** The performance criterion on the national government external payment arrears is defined as a cumulative flow in gross terms from July 1, 2015 and applies on a continuous basis.

## VI. MONETARY POLICY CONSULTATION CLAUSE

**12.** The quarterly consultation bands around the projected 12-month rate of inflation in consumer prices (as measured by the headline consumer price index (CPI) published by the Kenya National Bureau of Statistics), are specified in the TMU Table 4 below. If the observed average for the latest three months of the 12-months rate of CPI inflation falls outside the lower or upper bands specified in the TMU Table 4 below for end-March 2015 and end-September 2015 test dates, the authorities will complete a consultation with the Executive IMF Executive Board which would focus on: (i) the stance of monetary policy and whether the Fund-supported program remains on track; (ii) the reasons for program deviations, taking into account compensating factors; and (iii) on proposed remedial actions if deemed necessary. When the consultation is triggered, access to Fund resources would be interrupted until the consultation takes place and the relevant program review is completed.

**TMU Table 4. Inflation Consultation Band**

|                     | 2014           |                |                |                | 2015           |                |                |                  |
|---------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|------------------|
|                     | Mar.<br>Actual | Jun.<br>Actual | Sep.<br>Actual | Dec.<br>Actual | Mar.<br>Actual | Jun.<br>Actual | Sep.<br>Target | Dec.<br>Indicat. |
| Upper band          |                |                |                |                |                |                | 7.5            | 7.5              |
| Actual/Center point | 6.3            | 7.4            | 6.6            | 6.0            | 6.3            | 7.0            | 5.0            | 5.0              |
| Lower band          |                |                |                |                |                |                | 2.5            | 2.5              |

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## VII. INDICATIVE TARGET ON THE NET DOMESTIC ASSETS OF THE CENTRAL BANK OF KENYA

**13. Net domestic assets (NDA)** are defined as reserve money minus NIR converted in shillings at the accounting exchange rate specified in TMU Table 3, plus medium- and long-term liabilities (i.e., liabilities with a maturity of one year or more) of the CBK, including those arising from the August 28, 2009 SDR General allocation and the September 9, 2009 SDR Special allocation; minus the value in shillings of encumbered reserves converted at the accounting exchange rate specified in TMU Table 3.

- NDA is composed of:
  - net CBK credit to the national government;
  - outstanding net credit to domestic banks by the CBK (including overdrafts); and
  - other items net.
- Reserve money is defined as the sum of:
  - currency in circulation; and
  - required and excess reserves.
- The following **adjustors** will apply to the target for NDA:
  - If budgetary support (external grants and loans) and external commercial debt exceed the programmed amounts, the target for NDA will be adjusted downward by half of the difference.
  - If budgetary support (external grants and loans) and external commercial debt fall short of the programmed amounts, the target for NDA will be adjusted upward by the difference.

**14.** NDA are monitored in shillings, and will be computed as the daily average for the month when the testing date is due.

## VIII. INDICATIVE TARGET ON PRIORITY SOCIAL SPENDING

**15.** For the purposes of the program, priority social spending of the national government is defined as the sum of:

- cash transfers to orphans and vulnerable children;
- cash transfers to elderly;
- free primary education expenditure; and
- free secondary education expenditure.

## **IX. INDICATIVE TARGET ON GUARANTEES ISSUED BY THE NATIONAL GOVERNMENT**

**16.** The guarantees issued by the national government include all guarantees extended by the national government to counties, public enterprises and all parastatal entities. Indicative targets for end-March 2015 and end-June 2015 are cumulative flows from July 1, 2014, and the indicative target for end-September 2015 and end-December 2015 are cumulative from July 1, 2015.

## **X. STRUCTURAL BENCHMARK ON PREPARATION OF GFS-COMPLIANT CONSOLIDATED FISCAL ACCOUNTS**

**17.** The institutions to be covered under the end-September 2015 structural benchmark on the production of GFS-Compliant consolidated fiscal accounts includes (i) the budgetary central government; and (ii) all extrabudgetary units and entities.

## **XI. DATA REPORTING**

**18.** To monitor program performance, the National Treasury and the CBK will provide to the IMF the information at the frequency and within the reporting deadlines specified in TMU Table 5 below.

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**TMU Table 5. Kenya: Summary of Data to Be Reported**

| Information                                                                                                                                    | Frequency | Reporting Deadline                           | Responsible Entity     |
|------------------------------------------------------------------------------------------------------------------------------------------------|-----------|----------------------------------------------|------------------------|
| <b>1. Primary balance of the national government</b>                                                                                           |           |                                              |                        |
| Net domestic bank financing (including net commercial bank credit to the national government and net CBK credit to the national government)    | Monthly   | Within 15 days after the end of the month.   | CBK                    |
| Net nonbank financing of the national government                                                                                               | Monthly   | Within 15 days after the end of the month.   | CBK                    |
| National government arrears accumulation to domestic private parties and public enterprises outstanding for 90 days or longer.                 | Monthly   | Within 15 days after the end of the month.   | National Treasury (NT) |
| Proceeds from privatization                                                                                                                    | Monthly   | Within 15 days after the end of the month.   | NT                     |
| Interest paid on domestic debt                                                                                                                 | Monthly   | Within 15 days after the end of the month.   | CBK                    |
| Interest paid on external debt                                                                                                                 | Quarterly | Within 4 weeks after the end of the quarter. | CBK                    |
| Disbursements of external nonconcessional project loans, including securitization                                                              | Quarterly | Within 45 days after the end of the quarter. | NT                     |
| Disbursements of budget support loans                                                                                                          | Quarterly | Within 45 days after the end of the quarter. | NT                     |
| Principal repayments on all external loans                                                                                                     | Quarterly | Within 15 days after the end of the month.   | CBK                    |
| Net proceeds from issuance of external debt                                                                                                    | Monthly   | Within 15 days after the end of the month.   | CBK                    |
| Any exceptional financing (including rescheduled principal and interest)                                                                       | Monthly   | Within 15 days after the end of the month.   | NT                     |
| Net changes in the stock of short-term external debt                                                                                           | Quarterly | Within 45 days after the end of the quarter. | NT                     |
| Net change in external arrears, including interest                                                                                             | Monthly   | Within 45 days after the end of the quarter. | NT                     |
| <b>2. Gross official international reserves</b>                                                                                                |           |                                              |                        |
| CBK's holding of monetary gold (excluding amounts pledged as collateral)                                                                       | Monthly   | Within 15 days after the end of the month.   | CBK                    |
| Holdings of SDRs                                                                                                                               | Monthly   | Within 15 days after the end of the month.   | CBK                    |
| CBK holdings of convertible currencies in cash or in nonresident financial institutions (deposits, securities, or other financial instruments) | Monthly   | Within 15 days after the end of the month.   | CBK                    |

**TMU Table 5. Summary of Data to Be Reported (continued)**

|                                                                                                                                                                           |           |                                              |      |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|----------------------------------------------|------|
| <b>3. Official reserve liabilities</b>                                                                                                                                    |           |                                              |      |
| Total outstanding liabilities of the CBK to the IMF except those arising from the August 28,2009 SDR general allocation and the September 9, 2009 SDR special allocation; | Monthly   | Within 15 days after the end of the month.   | CBK  |
| Convertible currency liabilities of the CBK to nonresidents with an original maturity of up to and including one year                                                     | Monthly   | Within 15 days after the end of the month.   | CBK  |
| Commitments to sell foreign exchange arising from derivatives.                                                                                                            | Monthly   | Within 15 days after the end of the month.   | CBK  |
| <b>4. Net domestic assets</b>                                                                                                                                             |           |                                              |      |
| Net CBK credit to the national government                                                                                                                                 | Monthly   | Within 15 days after the end of the month.   | CBK  |
| Outstanding net CBK credit to domestic banks (including overdrafts)                                                                                                       | Monthly   | Within 15 days after the end of the month.   | CBK  |
| <b>5. Other indicators</b>                                                                                                                                                |           |                                              |      |
| Currency in circulation                                                                                                                                                   | Monthly   | Within 15 days after the end of the month.   | CBK  |
| Required and excess reserves                                                                                                                                              | Monthly   | Within 15 days after the end of the month.   | CBK  |
| Nonconcessional medium- and long-term external debt contracted or guaranteed by the national government                                                                   | Quarterly | Within 45 days after the end of the quarter. | NT   |
| Accumulation of national government external payment arrears.                                                                                                             | Monthly   | Within 45 days after the end of the quarter. | NT   |
| Social priority spending of the national government                                                                                                                       | Quarterly | Within 45 days after the end of the quarter. | NT   |
| Guarantees issued by the national government to counties, public enterprises and all parastatal entities.                                                                 | Monthly   | Within 45 days after the end of the quarter. | NT   |
| Inflows/outflows related to the SGR project                                                                                                                               | Quarterly | Within 45 days after the end of the quarter. | NT   |
| 12-month CPI inflation                                                                                                                                                    | Monthly   | Within 15 days after the end of the month.   | KNBS |